

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. (See "Tax Matters" herein with respect to tax consequences relating to the Bonds.)

**ANAHEIM ELEMENTARY SCHOOL DISTRICT
(Orange County, California)**

\$61,475,000
General Obligation Bonds, Election of 2010,
Series 2016

\$33,555,000
2016 General Obligation Refunding Bonds

Dated: Date of Delivery

Due: August 1, as shown on inside cover

This cover page contains certain information for general reference only. It is not a summary of this issue. Investors must read the entire official statement to obtain information essential to the making of an informed investment decision. Capitalized terms used on this cover page and not otherwise defined shall have the meanings set forth herein.

The Anaheim Elementary School District (Orange County, California) General Obligation Bonds, Election of 2010, Series 2016 (the "Series 2016 Bonds"), were authorized at an election of the registered voters of the Anaheim Elementary School District (the "District") held on November 2, 2010, at which election the requisite fifty-five percent of the persons voting on the proposition voted to authorize the issuance and sale of \$169,300,000 aggregate principal amount of general obligation bonds of the District. The Series 2016 Bonds are being issued (i) to pay the District's outstanding Prior Notes (defined herein), (ii) finance the repair, upgrading, acquisition, construction and equipping of District sites and facilities and (iii) to pay the costs of issuing the Series 2016 Bonds.

The Anaheim Elementary School District (Orange County, California) 2016 General Obligation Refunding Bonds (the "Refunding Bonds", and together with the Series 2016 Bonds, the "Bonds"), are being issued by the District (i) to advance refund all or a portion of the District's Prior Bonds (defined herein), and (ii) to pay the costs associated with the issuance of the Refunding Bonds.

The Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of Orange County is empowered and obligated to annually levy such *ad valorem* taxes upon all property subject to taxation by the District, without limitation of rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due.

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company, New York, New York (collectively referred to herein as "DTC"). Purchasers of the Bonds (the "Beneficial Owners") will not receive physical certificates representing their interests in the Bonds.

The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the date of delivery and be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017. The Bonds are issuable as fully registered bonds in denominations of \$5,000 principal amount or any integral multiple thereof. Payments of principal of and interest on the Bonds will be made by U.S. Bank National Association, as the designated paying agent, bond registrar and transfer agent (the "Paying Agent"), to DTC for subsequent disbursement to DTC Participants (defined herein) who will remit such payments to the Beneficial Owners of the Bonds.

The Bonds are subject to optional and mandatory sinking fund redemption as further described herein.

**Maturity Schedule
(See inside front cover)**

Pursuant to the terms of a public sale on August 17, 2016, the Series 2016 Bonds were awarded to Robert W. Baird & Co., Inc., as underwriter therefor, at a True-Interest Cost of 2.914071%. Pursuant to the terms of a public sale on August 17, 2016, the Refunding Bonds were awarded to Robert W. Baird & Co., Inc., as underwriter therefor, at a True-Interest Cost of 2.704758%. The Bonds are being offered when, as and if issued and received by the Underwriter, subject to the approval of legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel. The Bonds, in book-entry form, will be available through the facilities of the Depository Trust Company in New York, New York, on or about September 7, 2016.

The date of this Official Statement is: August 17, 2016

MATURITY SCHEDULE

Base CUSIP⁽¹⁾: 032555

\$61,475,000

ANAHEIM ELEMENTARY SCHOOL DISTRICT

(Orange County, California)

General Obligation Bonds, Election of 2010, Series 2016

\$18,890,000 Serial Bonds

<u>Maturity</u> <u>(August 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP</u> <u>Suffix⁽¹⁾</u>
2017	\$2,370,000	4.000%	0.450%	MQ4
2018	745,000	4.000	0.550	MR2
2019	940,000	4.000	0.650	MS0
2022	260,000	4.000	1.030	MT8
2023	350,000	4.000	1.150	MU5
2024	430,000	4.000	1.250	MV3
2025	525,000	4.000	1.360	MW1
2026	615,000	4.000	1.460	MX9
2027	715,000	4.000	1.680	MY7
2028	825,000	4.000	1.900	MZ4
2029	940,000	4.000	1.980	NA8
2030	1,060,000	4.000	2.050	NB6
2031	1,185,000	4.000	2.100	NC4
2032	1,325,000	2.500	2.550	ND2
2033	1,450,000	2.500	2.600	NE0
2034	1,580,000	2.625	2.650	NF7
2035	1,715,000	2.625	2.700	NG5
2036	1,860,000	2.625	2.750	NH3

\$4,180,000 – 2.750% Term Bonds due August 1, 2038 - Yield: 2.800%; CUSIP Suffix⁽¹⁾: NJ9

\$14,475,000 – 2.750% Term Bonds due August 1, 2042 - Yield: 2.900%; CUSIP Suffix⁽¹⁾: NL4

\$23,930,000 – 3.000% Term Bonds due August 1, 2046 - Yield: 3.000%; CUSIP Suffix⁽¹⁾: NK6

⁽¹⁾ CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ, on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. None of the original purchaser(s) of the Bonds, the Financial Advisor or the District are responsible for the selection or correctness of the CUSIP numbers set forth herein and no representation is made as to their correctness on the applicable Bonds or as included herein. CUSIP numbers have been assigned by an independent company unaffiliated with the District, the Financial Advisor or the original purchaser(s) of the Bonds, and are included solely for the convenience of the registered owners of the Bonds. The CUSIP number for a specific maturity is subject to change after the issuance thereof, as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

MATURITY SCHEDULE*

Base CUSIP⁽¹⁾: 032555

\$33,555,000

**ANAHEIM ELEMENTARY SCHOOL DISTRICT
(Orange County, California)**

2016 General Obligation Refunding Bonds

\$21,895,000 Serial Bonds

<u>Maturity (August 1)</u>	<u>Principal Amount</u>	<u>Interest Rate</u>	<u>Yield</u>	<u>CUSIP Suffix⁽¹⁾</u>
2017	405,000	4.000%	0.450%	LS1
2018	1,095,000	4.000	0.550	LT9
2019	1,115,000	4.000	0.620	LU6
2020	1,115,000	4.000	0.750	LV4
2021	330,000	4.000	0.880	LW2
2022	345,000	4.000	1.050	LX0
2023	410,000	4.000	1.170	LY8
2024	510,000	4.000	1.270	LZ5
2025	615,000	4.000	1.380	MA9
2026	730,000	4.000	1.480	MB7
2027	855,000	4.000	1.700	MC5
2028	990,000	2.000	2.000	MD3
2029	1,115,000	2.125	2.200	ME1
2030	1,250,000	2.250	2.400	MF8
2031	1,400,000	2.375	2.500	MG6
2032	1,560,000	2.500	2.600	MH4
2033	1,725,000	2.500	2.650	MJ0
2034	1,910,000	2.625	2.700	MK7
2035	2,105,000	2.625	2.750	ML5
2036	2,315,000	2.625	2.800	MM3

\$5,320,000 – 2.750% Term Bonds due August 1, 2038 - Yield: 2.850%; CUSIP Suffix⁽¹⁾: MN1

\$6,340,000 – 2.750% Term Bonds due August 1, 2042 - Yield: 2.900%; CUSIP Suffix⁽¹⁾: MP6

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This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Section 3(a)2 and 3(a)12, respectively, for the issuance and sale of municipal securities. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

Certain information set forth herein has been obtained from sources outside the District which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward-looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

IN CONNECTION WITH THIS OFFERING, THE PURCHASER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT LEVELS ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE PURCHASER MAY OFFER AND SELL THE BONDS TO CERTAIN SECURITIES DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE PURCHASER.

The District maintains a website. However, the information presented there is not part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds.

ANAHEIM ELEMENTARY SCHOOL DISTRICT

Board of Education

Jeff Cole, *President*
Jackie Filbeck, *Member*
Bob Gardner, *Member*
D.R. Heywood, *Member*
Ryan A. Ruelas, *Member*

District Administration

Dr. Linda Wagner, *Superintendent*
David A. Rivera, *Assistant Superintendent, Administrative Services*

PROFESSIONAL SERVICES

Bond and Disclosure Counsel

Stradling Yocca Carlson & Rauth,
a Professional Corporation
San Francisco, California

Financial Advisor

Piper Jaffray & Co.
El Segundo, California

Paying Agent and Escrow Agent

U.S. Bank National Association
Los Angeles, California

Verification Agent

Causey Demgen & Moore P.C.
Denver, Colorado

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**ANAHEIM ELEMENTARY SCHOOL DISTRICT
(Orange County, California)**

**\$61,475,000
General Obligation Bonds, Election of 2010,
Series 2016**

**\$33,555,000
2016 General Obligation Refunding Bonds**

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale of (i) Anaheim Elementary School District (Orange County, California) General Obligation Bonds, Election of 2010, Series 2016 in the principal amount of \$61,475,000 (the “Series 2016 Bonds”), and (ii) Anaheim Elementary School District (Orange County, California) 2016 General Obligation Refunding Bonds in the principal amount of \$33,555,000 (the “Refunding Bonds” and together with the Series 2016 Bonds, the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of Bonds to potential investors is made only by means of the entire Official Statement.

The District

The Anaheim Elementary School District (the “District”) began operations in 1867 and was previously known as the “Anaheim City School District.” The District’s territory covers approximately 22 square miles in Orange County (the “County”), California, and includes a large portion of the City of Anaheim. The District currently operates 24 elementary schools and serves a resident population of approximately 350,000 residents. For fiscal year 2016-17, the District has a projected average daily attendance (“ADA”) of 17,985 students, and taxable property within the District has a fiscal year 2015-16 assessed valuation of \$22,261,790,863.

The District is governed by a five-member Board of Education, each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The management and policies of the District are administered by a Superintendent appointed by the Board who is responsible for day-to-day District operations as well as the supervision of the District’s other key personnel. Dr. Linda Wagner is the current Superintendent of the District.

See “TAX BASE FOR REPAYMENT OF BONDS” for information regarding the District’s assessed valuation, and “DISTRICT FINANCIAL INFORMATION” and “ANAHEIM ELEMENTARY SCHOOL DISTRICT” herein for information regarding the District generally. The District’s audited financial statements for the fiscal year ended June 30, 2015 are attached hereto as APPENDIX B and should be read in their entirety. The discussion of the District’s financial history and the financial information contained herein does not purport to be complete or definitive.

Purpose of Issue

Series 2016 Bonds. The Series 2016 Bonds are being issued to (i) pay the District's Prior Notes (as defined herein), (ii) finance the repair, upgrading, acquisition, construction and equipping of District sites and facilities and (iii) pay the costs associated with the issuance of the Series 2016 Bonds.

Refunding Bonds. The Refunding Bonds are being issued to (i) advance refund a portion of the District's outstanding General Obligation Bonds, Election 2002, Series 2007 (the "Series 2007 Bonds") and all of the District's outstanding General Obligation Bonds, Election 2010, Series 2011 (the "Series 2011 Bonds," together with the Series 2007 Bonds, the "Prior Bonds"), and (ii) pay the costs associated with the issuance of the Refunding Bonds. The Prior Bonds to be refunded with proceeds of the Refunding Bonds are referred to herein as the "Refunded Bonds."

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the State of California Government Code and other applicable law, and pursuant to resolutions adopted by the District Board. See "THE BONDS – Authority for Issuance" herein.

Security and Sources of Payment for the Bonds

The Bonds are general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County (the "County Board") is empowered and obligated to annually levy such *ad valorem* taxes for the payment of the principal of and interest on the Bonds upon all property within the District subject to taxation thereby, without limitation of rate or amount (except as to certain personal property which is taxable at limited rates). See "THE BONDS – Security and Sources of Payment" herein.

Description of the Bonds

Form, Registration and Denomination. The Bonds will only be issued in fully registered book-entry form (without coupons), initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"), and will be available to actual purchasers of the Bonds (the "Beneficial Owners") in the denominations set forth on the inside cover page hereof, under the book-entry only system maintained by DTC, and only through brokers and dealers who are or act through DTC Participants as described herein. See "APPENDIX D – Book-Entry Only System" herein. Beneficial Owners will not receive physical certificates representing their interests in the Bonds. In event that the book-entry only system described herein is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolutions described herein. See "THE BONDS – Registration, Transfer and Exchange of Bonds" herein.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the "Owners," "Bond Owners" or "Holders" of the Bonds (other than under the caption "TAX MATTERS", as well as in APPENDIX A) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount or any integral multiple thereof.

Redemption. The Bonds are subject to redemption prior to their respective stated maturity dates, at the option of the District, as further described herein. The Bonds are further subject to mandatory sinking fund redemption as further described herein. See also “THE BONDS– Redemption” herein.

Payments. The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the initial date of delivery of the Bonds (the “Date of Delivery”), and be payable semiannually on each February 1 and August 1 (each a “Bond Payment Date”), commencing February 1, 2017. Principal on the Bonds is payable on August 1 in the amounts and years as set forth on the inside cover page hereof. Payments of the principal of and interest on the Bonds will be made by U.S. Bank National Association, acting as the designated paying agent, bond registrar and transfer agent (the “Paying Agent”), to DTC for subsequent disbursement through DTC Participants (defined herein) to the Beneficial Owners of the Bonds. See “APPENDIX D – Book-Entry Only System” herein.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel, based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. In addition, the difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to the Bond constitutes original issue discount, and the amount of original issue discount that accrues to the owner of the Bond is excluded from gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to the validity by Bond Counsel. It is anticipated that the Bonds will be available for delivery through the facilities of DTC in New York, New York on or about September 7, 2016.

Continuing Disclosure

The District will covenant for the benefit of Owners and Beneficial Owners to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain enumerated events in compliance with S.E.C. Rule 15c2-12(b)(5) (the “Rule”). These covenants have been made in order to assist the Underwriters (defined herein) in complying with the Rule. The specific nature of the information to be made available and of the notices of enumerated events required to be provided are summarized in APPENDIX C attached hereto.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Piper Jaffray & Co., is the financial advisor for the District (the “Financial Advisor”). Stradling Yocca Carlson & Rauth, a Professional Corporation and Piper Jaffray & Co. will receive compensation from the District contingent upon the sale and delivery of the Bonds. In addition to acting as Paying Agent for the Bonds, U.S. Bank

National Association, Los Angeles, California is acting as escrow agent ("Escrow Agent") in connection with the issuance of the Refunding Bonds. Causey Demgen & Moore P.C., Denver, Colorado is acting as verification agent for the Refunding Bonds.

Forward-Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute "forward-looking statements" within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as "plan," "expect," "estimate," "project," "budget," "intend," or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Copies of documents referred to herein and information concerning the Bonds are available from the Anaheim Elementary School District, 1001 S. East Street, Anaheim, California, 92805 Telephone: (714) 517-7500. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each of such documents, statutes and constitutional provisions.

Certain information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted

in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Capitalized terms used but not otherwise defined herein shall have the meanings assigned to such terms in the Resolutions (defined herein).

THE BONDS

Authority for Issuance

Series 2016 Bonds. The Series 2016 Bonds are issued pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, commencing with Section 53506 *et seq.*, as amended, Article XIII A of the California Constitution and pursuant to a resolution adopted by the District Board on June 22, 2016 (the “Series 2016 Resolution”). The District received authorization at an election held on November 2, 2010 by the requisite fifty-five percent of the votes cast by eligible voters within the District to issue \$169,300,000 aggregate principal amount of general obligation bonds (the “2010 Authorization”). The District has previously issued one series of bonds under the 2010 Authorization, in an aggregate initial principal amount of \$29,998,482.10. Following the issuance of the Bonds, \$75,301,517.90 of the 2010 Authorization will remain unissued.

On November 23, 2011, the District issued (i) \$4,997,334.40 of its General Obligation Bond Anticipation Notes, Election of 2010 Series 2011A (Tax-Exempt) (the “Series 2011A Notes”), and (ii) \$25,000,000 of its General Obligation Bonds Anticipation Notes, Election of 2010, Series 2011B (Qualified School Construction Bonds – Federally Taxable) (the “2011B Notes,” and together with the 2011A Bond Anticipation Notes, the “Prior Notes”). The Prior Notes were issued to finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities, in anticipation of proceeds from general obligation bonds to be issued by the District pursuant to the 2010 Authorization. See also “—Application and Investment of Bond Proceeds,” and “ANAHEIM ELEMENTARY SCHOOL DISTRICT – District Debt Structure – General Obligation Bond Anticipation Notes” herein.

The Refunding Bonds. The Refunding Bonds are issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of the California Government Code and other applicable law, and pursuant to a resolution adopted by the District Board on June 22, 2016 (the “Refunding Resolution” and, collectively with the Series 2016 Resolution, the “Resolutions”).

Security and Sources of Payment

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to annually levy *ad valorem* property taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due. The levy may include allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. Such taxes will be levied annually in addition to all other taxes during the period that the Bonds are outstanding in an amount sufficient to pay the principal of and interest on the Bonds when due. Such taxes, when collected, will be placed in the respective Debt Service Funds (defined herein), each of which is required to be segregated and maintained by the County and which is designated for the payment of the respective series of Bonds to which such Debt Service Fund relates, and interest thereon when due, and for no other purpose. Pursuant to the Resolutions, the District has pledged funds on deposit in each Debt Service Fund to the payment of the respective series of Bonds to which such fund relates. Although the County is obligated to levy *ad valorem* property taxes for the

payment of the Bonds as described above, and will maintain the Debt Service Funds, none of the Bonds are a debt of the County.

Pursuant to Section 53515 of the California Government Code, each series of the Bonds will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The liens automatically attach, without further action or authorization by the District Board, and are valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the liens, and such liens will be enforceable against the District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

The moneys in the Debt Service Funds, to the extent necessary to pay the principal of and interest on the respective series of Bonds as the same becomes due and payable, will be transferred to the Paying Agent. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants for subsequent disbursement to the Beneficial Owners of the Bonds.

The amount of the annual *ad valorem* property taxes levied by the County to repay the Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service on the Bonds and the assessed value of taxable property in the District may cause the annual tax rates to fluctuate. Economic and other factors beyond the District's control, such as general market decline in land values, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the respective annual tax rates. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" and "TAX BASE FOR REPAYMENT OF BONDS – Assessed Valuations" herein.

General Provisions

The Bonds will be issued in book-entry form only and will be initially issued and registered in the name of Cede & Co., as nominee for DTC. Beneficial Owners will not receive certificates representing their interests in the Bonds.

Interest on the Bonds accrues from the Date of Delivery, and is payable semiannually on each Bond Payment Date, commencing February 1, 2017. Interest on the Bonds will be computed on the basis of a 360-day year of twelve 30-day months. Each Bond shall bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month immediately preceding any Bond Payment Date to and including such Bond Payment Date, in which event it shall bear interest from such Bond Payment Date, or unless it is authenticated on or before January 15, 2017, in which event it shall bear interest from its dated date. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof and mature on August 1 in the years and amounts set forth on the inside cover page hereof.

Payment of interest on any Bond will be made on any Bond Payment Date to the person appearing on the bond registration books of the Paying Agent (the "Bond Register") of the Paying Agent

as the Owner thereof as of the close of business on the 15th day of the month next preceding any Bond Payment Date (a "Record Date"), such interest to be paid by wire transfer or check mailed to such Owner on the Bond Payment Date at his or her address as it appears on such Bond Register or at such other address as he or she may have filed with the Paying Agent for that purpose on or before the Record Date. The Owner in an aggregate Principal Amount of One Million Dollars (\$1,000,000) or more may request in writing to the Paying Agent that such Owner be paid interest by wire transfer to the bank and account number on file with the Paying Agent as of the Record Date. The principal, and redemption premiums, if any, payable on the Bonds will be payable upon maturity or redemption upon surrender at the principal office of the Paying Agent. The principal of, redemption premiums, if any, and interest on, the Bonds will be payable in lawful money of the United States of America. The Paying Agent is hereby authorized to pay the Bonds when duly presented for payment at maturity, and to cancel all Bonds upon payment thereof.

Annual Debt Service

Series 2016 Bonds. The following table summarizes the debt service requirements of the District for the Series 2016 Bonds (assuming no optional redemptions):

Year Ending (August 1)	Annual Principal Payment	Annual Interest Payment⁽¹⁾	Total Annual Debt Service
2017	\$2,370,000.00	\$1,686,605.63	\$4,056,605.63
2018	745,000.00	1,779,206.26	2,524,206.26
2019	940,000.00	1,749,406.26	2,689,406.26
2020	--	1,711,806.26	1,711,806.26
2021	--	1,711,806.26	1,711,806.26
2022	260,000.00	1,711,806.26	1,971,806.26
2023	350,000.00	1,701,406.26	2,051,406.26
2024	430,000.00	1,687,406.26	2,117,406.26
2025	525,000.00	1,670,206.26	2,195,206.26
2026	615,000.00	1,649,206.26	2,264,206.26
2027	715,000.00	1,624,606.26	2,339,606.26
2028	825,000.00	1,596,006.26	2,421,006.26
2029	940,000.00	1,563,006.26	2,503,006.26
2030	1,060,000.00	1,525,406.26	2,585,406.26
2031	1,185,000.00	1,483,006.26	2,668,006.26
2032	1,325,000.00	1,435,606.26	2,760,606.26
2033	1,450,000.00	1,402,481.26	2,852,481.26
2034	1,580,000.00	1,366,231.26	2,946,231.26
2035	1,715,000.00	1,324,756.26	3,039,756.26
2036	1,860,000.00	1,279,737.50	3,139,737.50
2037	2,010,000.00	1,230,912.50	3,240,912.50
2038	2,170,000.00	1,175,637.50	3,345,637.50
2039	2,340,000.00	1,115,962.50	3,455,962.50
2040	2,520,000.00	1,051,612.50	3,571,612.50
2041	4,630,000.00	982,312.50	5,612,312.50
2042	4,985,000.00	854,987.50	5,839,987.50
2043	5,355,000.00	717,900.00	6,072,900.00
2044	5,760,000.00	557,250.00	6,317,250.00
2045	6,185,000.00	384,450.00	6,569,450.00
2046	<u>6,630,000.00</u>	<u>198,900.00</u>	<u>6,828,900.00</u>
Total	<u>\$61,475,000.00</u>	<u>\$39,929,630.81</u>	<u>\$101,404,630.81</u>

⁽¹⁾ Interest payments on the Series 2016 Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

Refunding Bonds. The following table summarizes the debt service requirements of the District for the Refunding Bonds (assuming no optional redemptions):

Year Ending (August 1)	Annual Principal Payment	Annual Interest Payment⁽¹⁾	Total Annual Debt Service
2017	\$405,000.00	\$877,325.63	\$1,282,325.63
2018	1,095,000.00	958,606.26	2,053,606.26
2019	1,115,000.00	914,806.26	2,029,806.26
2020	1,115,000.00	870,206.26	1,985,206.26
2021	330,000.00	825,606.26	1,155,606.26
2022	345,000.00	812,406.26	1,157,406.26
2023	410,000.00	798,606.26	1,208,606.26
2024	510,000.00	782,206.26	1,292,206.26
2025	615,000.00	761,806.26	1,376,806.26
2026	730,000.00	737,206.26	1,467,206.26
2027	855,000.00	708,006.26	1,563,006.26
2028	990,000.00	673,806.26	1,663,806.26
2029	1,115,000.00	654,006.26	1,769,006.26
2030	1,250,000.00	630,312.50	1,880,312.50
2031	1,400,000.00	602,187.50	2,002,187.50
2032	1,560,000.00	568,937.50	2,128,937.50
2033	1,725,000.00	529,937.50	2,254,937.50
2034	1,910,000.00	486,812.50	2,396,812.50
2035	2,105,000.00	436,675.00	2,541,675.00
2036	2,315,000.00	381,418.76	2,696,418.76
2037	2,540,000.00	320,650.00	2,860,650.00
2038	2,780,000.00	250,800.00	3,030,800.00
2039	3,035,000.00	174,350.00	3,209,350.00
2040	<u>3,305,000.00</u>	<u>90,887.50</u>	<u>3,395,887.50</u>
Total	<u>\$33,555,000.00</u>	<u>\$14,847,569.51</u>	<u>\$48,402,569.51</u>

⁽¹⁾ Interest payments on the Refunding Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

See also “ANAHEIM ELEMENTARY SCHOOL DISTRICT – District Debt Structure – General Obligation Bonds” herein for a schedule of the combined debt service requirements for all of the District’s outstanding general obligation bonds.

Redemption

Optional Redemption. The Series 2016 Bonds maturing on or before August 1, 2026 are not subject to redemption prior to their fixed maturity dates. The Series 2016 Bonds maturing on or after August 1, 2027 may be redeemed prior to their respective stated maturity dates at the option of the District, from any source of funds, in whole or in part, on August 1, 2026 or on any date thereafter, at a redemption price equal to the principal amount of the Series 2016 Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption, without premium.

The Refunding Bonds maturing on or before August 1, 2026 are not subject to redemption prior to their fixed maturity dates. The Refunding Bonds maturing on or after August 1, 2027 may be redeemed prior to their respective stated maturity dates at the option of the District, from any source of funds, in whole or in part, on August 1, 2026 or on any date thereafter, at a redemption price equal to the principal amount of the Refunding Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption, without premium.

Mandatory Redemption. The Series 2016 Bonds maturing on August 1, 2038, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2037, at a redemption price equal to the principal amount thereof, plus accrued interest to the date fixed for redemption, without premium. The principal amount represented by such Bonds to be so redeemed and the dates therefor and the final principal payment date is as indicated in the following table:

<u>Redemption Date</u> <u>(August 1)</u>	<u>Principal Amount</u>
2037	\$2,010,000
2038 ⁽¹⁾	2,170,000

⁽¹⁾ Maturity.

The Series 2016 Bonds maturing on August 1, 2042, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2039, at a redemption price equal to the principal amount thereof, plus accrued interest to the date fixed for redemption, without premium. The principal amount represented by such Bonds to be so redeemed and the dates therefor and the final principal payment date is as indicated in the following table:

<u>Redemption Date</u> <u>(August 1)</u>	<u>Principal Amount</u>
2039	\$2,340,000
2040	2,520,000
2041	4,630,000
2042 ⁽¹⁾	4,985,000

⁽¹⁾ Maturity.

The Series 2016 Bonds maturing on August 1, 2046, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2046, at a redemption price equal to the principal amount thereof, plus accrued interest to the date fixed for redemption, without premium. The principal amount represented by such Bonds to be so redeemed and the dates therefor and the final principal payment date is as indicated in the following table:

<u>Redemption Date</u> <u>(August 1)</u>	<u>Principal Amount</u>
2043	\$5,355,000
2044	5,760,000
2045	6,185,000
2046 ⁽¹⁾	6,630,000

⁽¹⁾ Maturity.

The Refunding Bonds maturing on August 1, 2038, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2037, at a redemption price equal to the principal amount thereof, plus accrued interest to the date fixed for redemption, without premium. The principal amount represented by such Bonds to be so redeemed and the dates therefor and the final principal payment date is as indicated in the following table:

Redemption Date <u>(August 1)</u>	<u>Principal Amount</u>
2037	\$2,540,000
2038 ⁽¹⁾	2,780,000

⁽¹⁾ Maturity.

The Refunding Bonds maturing on August 1, 2040, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2039, at a redemption price equal to the principal amount thereof, plus accrued interest to the date fixed for redemption, without premium. The principal amount represented by such Bonds to be so redeemed and the dates therefor and the final principal payment date is as indicated in the following table:

Redemption Date <u>(August 1)</u>	<u>Principal Amount</u>
2039	\$3,035,000
2040 ⁽¹⁾	3,305,000

⁽¹⁾ Maturity.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, shall select Bonds for redemption as so directed and if not directed, in inverse order of maturity. Within a maturity, the Paying Agent shall select Bonds for redemption as directed by the District, and if not so directed, by lot. Redemption by lot shall be in such manner as the Paying Agent shall determine; provided, however, that with respect to redemption by lot, the portion of any Bond to be redeemed in part shall be in a principal amount of \$5,000, or any integral multiple thereof.

Notice of Redemption. When redemption is authorized or required pursuant to the Resolution, upon written instruction from the District, the Paying Agent will give notice (a “Redemption Notice”) of the redemption of the Bonds (or portions thereof). Each Redemption Notice will specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the portion of the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, (ii) telephonically confirmed facsimile transmission, or (iii) overnight delivery service, to the Securities Depository; and (c) at least 20 but not more than 45 days prior to the redemption

date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, or (ii) overnight delivery service, to one of the Information Services. Such Redemption Notice shall be given to such other persons as may be required pursuant to the Continuing Disclosure Certificate.

“Information Services” means Financial Information, Inc.’s “Daily Called Bond Service,” 1 Cragwood Road, 2nd Floor, South Plainfield, New Jersey 07080, Attention: Editor; Mergent Inc., 585 Kingsley Park Drive, Fort Mill, South Carolina 29715, Attention: Called Bond Department; and Standard and Poor’s J.J. Kenny Information Services’ “Called Bond Record,” 55 Water Street, 45th Floor, New York, New York 10041.

“Securities Depository” shall mean The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided herein will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds (or portions thereof) as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “—Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the principal of, and premium, if any, and interest on, such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds shall not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice, to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received. In addition, the District has the right to rescind any Redemption Notice, by written notice to the Paying Agent, on or prior to the date fixed for such redemption. The Paying Agent will distribute a notice of the rescission of such Redemption Notice in the same manner as such notice was originally provided.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amount to the unredeemed portion of the Bond surrendered. Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Notice of Redemption. If notice of redemption is given as described above, and the moneys for the redemption (including the interest accrued to the applicable date of redemption) having been set aside as described in “—Defeasance” herein, the Bonds to be redeemed will become due and payable on such date of redemption.

If on such redemption date, moneys for the redemption of all the Bonds to be redeemed, together with interest accrued to such redemption date, shall be held in trust so as to be available therefor on such redemption date, and if Redemption Notice thereof shall have been given as described above, then from and after such redemption date, interest on the Bonds to be redeemed will cease to accrue and become

payable. All money held for the redemption of Bonds will be held in trust for the account of the Owners of the Bonds so to be redeemed.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity, or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof, and, accrued interest with respect thereto to the date fixed for redemption, then such Bonds will no longer be deemed outstanding and will be surrendered to the Paying Agent for cancellation.

Registration, Transfer and Exchange of Bonds

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain at its principal office all books and records necessary for the registration, exchange and transfer of such Bonds, which shall at all times be open to inspection by the District, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register, exchange or transfer or cause to be registered, exchanged or transferred, on said books, Bonds as provided in the Resolution.

In the event that the book-entry only system as described above is no longer used with respect to the Bonds, the following provisions will govern the registration, transfer, and exchange of the Bonds.

The principal of the Bonds and interest upon the redemption thereof prior to the maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the principal trust office of the Paying Agent. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered Owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered Owner of at least \$1,000,000 in aggregate principal amount, interest payments shall be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for Bonds of like series, tenor, maturity and Transfer Amount upon presentation and surrender at the principal office of the Paying Agent, together with a request for exchange signed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred on the Bond Register only upon presentation and surrender of the Bond at the principal office of the Paying Agent together with an assignment executed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new bond or bonds of like tenor and of any authorized denomination or denominations requested by the Owner equal to the Transfer Amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required (a) to issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding either any Bond Payment Date or any date of selection of Bonds to be redeemed and ending with the close of business on the Bond Payment Date or any day on which the applicable Redemption Notice is given or (b) to transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased prior to maturity in the following ways:

(a) Cash: by irrevocably depositing with an independent escrow agent selected by the District an amount of cash which together with amounts transferred from the respective Debt Service Fund, if any, is sufficient to pay all such Bonds outstanding and designated for defeasance (including all principal thereof, interest thereon and redemption premium, if any) at or before their maturity date; or

(b) Government Obligations: by irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations together with amounts transferred from the respective Debt Service Fund, if any, and any other cash, if required, in such amount as will, together with interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, interest thereon and redemption premium, if any) at or before their maturity date;

then, notwithstanding that any of such Bonds shall not have been surrendered for payment, all obligations of the District with respect to all such designated outstanding Bonds shall cease and terminate, except only the obligation of the independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) above, to the Owners of the Bonds not so surrendered and paid all sums due with respect thereto.

“Government Obligations” shall mean direct and general obligations of the United States of America, or obligations that are unconditionally guaranteed as to principal and interest by the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips). In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that such obligations are rated or assessed at least as high as direct and general obligations of the United States of America by either S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”) or by Moody’s Investors Service (“Moody’s”).

Application and Investment of Bond Proceeds

Series 2016 Bonds. The proceeds of the Series 2016 Bonds will be used to (i) pay the Prior Notes, (ii) finance the repair, upgrading, acquisition, construction and equipping of certain District sites and facilities, and (iii) pay certain costs associated with the issuance of the Series 2016 Bonds.

A portion of the net proceeds from the sale of Bonds will be paid to U.S. Bank National Association, in its capacity as escrow agent for the Prior Notes, to the credit of an escrow fund held therefor (the "Prior Notes Escrow Fund"). Amounts deposited in the Prior Notes Escrow Fund will be held uninvested as cash and used to pay the principal of and interest on the Prior Notes, as the same shall become due and payable. Following the deposit of such proceeds, the District's obligations for the payment of the Prior Notes will terminate.

The remaining net proceeds from the sale of the Series 2016 Bonds shall be paid to the County to the credit of the "Anaheim Elementary School District General Obligation Bonds, Election of 2010, Series 2016 Building Fund" (the "Building Fund"). Any premium received by the County from the sale of the Series 2016 Bonds shall be kept separate and apart in the fund designated as the "Anaheim Elementary School District General Obligation Bonds, Election of 2010, Series 2016 Debt Service Fund" (the "Series 2016 Debt Service Fund") and used only for payment of principal of and interest on the Series 2016 Bonds. Any excess proceeds of the Series 2016 Bonds not needed for the authorized purposes for which the Series 2016 Bonds are being issued shall be transferred to the Series 2016 Debt Service Fund and applied to the payment of principal of and interest on the Series 2016 Bonds. If, after payment in full of the Series 2016 Bonds, there remain excess proceeds, any such excess amounts shall be transferred to the general fund of the District.

Refunding Bonds. The net proceeds from the sale of the Refunding Bonds shall be paid to U.S. Bank National Association, acting as the escrow agent, to the credit of the "Anaheim Elementary School District 2016 General Obligation Refunding Bonds Escrow Fund" (the "Prior Bonds Escrow Fund," and together with the Prior Notes Escrow Fund, the "Escrow Funds"). Pursuant to an escrow agreement (the "Prior Bonds Escrow Agreement") by and between the District and the Escrow Agent, a portion of the amount deposited in the Prior Bonds Escrow Fund will be used to purchase certain non-callable direct and general obligations of the United States of America, or non-callable obligations the payment of which is unconditionally guaranteed by the United States of America (collectively, the "Federal Securities"), the principal of and interest on which will be sufficient, together with any monies deposited in the Prior Bonds Escrow Fund and held as cash, to enable the payment of the redemption price of the Refunded Bonds to be redeemed on the first respective optional redemption dates therefor, together with any interest due on the Refunded Bonds on and prior to such dates.

The sufficiency of the amounts on deposit in the Prior Bonds Escrow Fund to pay principal of and interest on the Refunded Bonds, as described above, will be verified by Causey Demgen & Moore P.C. (the "Verification Agent"). As a result of the deposit and application of funds so provided in the Prior Bonds Escrow Agreement, and assuming the accuracy of the Verification Agent's computations, the Refunded Bonds will be defeased and the obligation of the County to levy *ad valorem* taxes for payment of the Refunded Bonds will terminate.

The accrued interest received by the District from the sale of the Refunding Bonds, if any, and surplus moneys remaining in the Escrow Fund following the redemption of the Refunded Bonds, shall be kept separate and apart in the fund designated as the "Anaheim Elementary School District 2016 General Obligation Refunding Bonds Debt Service Fund" (the "Refunding Debt Service Fund" and together with the Series 2016 Debt Service Fund, the "Debt Service Funds") and used only for payment of principal of and interest on the Refunding Bonds. Any excess proceeds of the Refunding Bonds not needed for the

authorized purposes for which the Refunding Bonds are being issued shall be transferred to the Refunding Debt Service Fund and applied to the payment of principal of and interest on the Refunding Bonds. If, after payment in full of the Refunding Bonds, there remain excess proceeds, any such excess amounts shall be transferred to the general fund of the District.

Investment of Bond Proceeds. Moneys in the Escrow Funds will be invested as described above. Moneys in the Building Fund are expected to be invested through the County's educational investment pool. See "APPENDIX F - ORANGE COUNTY EDUCATIONAL POOL" herein. Moneys in the Debt Service Funds will be invested in the County's commingled investment pool. See <http://ttc.ocgov.com/investments> for additional information regarding such commingled investment pool. However, the information presented on such website is not incorporated herein by any reference.

ESTIMATED SOURCES AND USES OF FUNDS

Series 2016 Bonds. The estimated sources and uses of funds with respect to the Series 2016 Bonds are as follows:

Sources of Funds

Principal Amount	\$61,475,000.00
Original Issue Premium	<u>1,016,800.25</u>
Total Sources	<u>\$62,491,800.25</u>

Uses of Funds

Building Fund	\$29,086,261.67
Debt Service Fund	1,016,800.25
Prior Notes Escrow Fund	31,471,000.00
Underwriter's Discount	714,862.04
Costs of Issuance ⁽¹⁾	<u>202,876.29</u>
Total Uses	<u>\$62,491,800.25</u>

⁽¹⁾ Includes all costs of issuance to be paid from the proceeds of the Series 2016 Bonds, including but not limited to the legal fees, financial advisory fees, printing costs, rating agency fees, and the costs and fees of the Paying Agent and escrow agent for the Prior Notes.

Refunding Bonds. The estimated sources and uses of funds with respect to the Refunding Bonds are as follows:

Sources of Funds

Principal Amount	\$33,555,000.00
Original Issue Premium	<u>623,008.30</u>
Total Sources	<u>\$34,178,008.30</u>

Uses of Funds

Prior Bonds Escrow Fund	\$33,568,549.92
Underwriter's Discount	463,907.94
Costs of Issuance ⁽¹⁾	<u>145,550.44</u>
Total Uses	<u>\$34,178,008.30</u>

⁽¹⁾ Includes all costs of issuance to be paid from proceeds of the Refunding Bonds, including but not limited to legal fees, financial advisory fees, printing costs, rating agency fees and the costs and fees of the Paying Agent, Escrow Agent and Verification Agent.

TAX BASE FOR REPAYMENT OF BONDS

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. The Bonds are payable solely from ad valorem taxes levied and collected by the County on taxable property in the District. The District's general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as County, city and special district property taxes. Assessed valuations are the same for both the District and the County's taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the "unsecured roll." Unsecured property comprises certain property not attached to land such as personal property or business property. Boats and airplanes are examples of such property. Unsecured property is assessed on the "unsecured roll." A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within the County's taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently equalized in August. Property taxes on the secured roll are due in two installments, November 1 and February 1 of the fiscal year. If unpaid, such taxes become delinquent after December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent installment plus a minimum \$10 cost on the second installment, plus any additional amount determined by the County Treasurer. Property on the secured roll with delinquent taxes is declared tax-defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus a \$15 redemption fee and a redemption penalty of 1.5% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is then subject to sale by the tax-collecting authority of the County.

Property taxes on the unsecured roll are due as of the January 1 lien date and become delinquent if they are not paid by August 31. In the case of unsecured property taxes, a 10% penalty attaches to delinquent taxes on property on the unsecured roll, and an additional penalty of 1.5% per month begins to accrue beginning November 1 of the fiscal year, and a lien may be recorded against the assessee. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. See also " – Tax Levies, Collections and Delinquencies" herein.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property such as churches, colleges, non-profit hospitals, and charitable institutions.

Future assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) will be allocated on the basis of “situs” among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies and k-14 schools will share the growth of “base” revenues from the tax rate area. Each year’s growth allocation becomes part of each agency’s allocation in the following year.

Assessed Valuations

The assessed valuation of property in the District is established by the tax assessing authority for the county in which such property is located, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the “full cash value” of the property, as defined in Article XIII A of the California Constitution. For a discussion of how properties currently are assessed, see “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS” herein.

Property within the District had a total assessed valuation for fiscal year 2015-16 of \$22,261,790,863. The following table represents a 10-year history of assessed valuations in the District:

ASSESSED VALUATIONS Anaheim Elementary School District Fiscal Years 2006-07 through 2015-16

	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>	<u>% Change</u>
2006-07	\$15,992,724,801	\$4,027,719	\$2,279,903,345	\$18,276,655,865	--
2007-08	17,386,383,976	657,927	1,084,288,375	18,471,330,278	1.07%
2008-09	18,247,151,923	4,731,155	1,066,205,761	19,318,088,839	4.58
2009-10	18,129,059,702	5,109,002	1,103,971,828	19,238,140,532	(0.41)
2010-11	17,940,124,067	5,109,002	1,147,548,857	19,092,781,926	(0.76)
2011-12	18,156,738,589	10,040,668	1,054,179,153	19,220,958,410	0.67
2012-13	18,824,883,722	312,910	1,130,640,516	19,955,837,148	3.82
2013-14	19,559,980,370	312,910	1,089,616,543	20,649,909,823	3.48
2014-15	20,325,896,620	312,910	1,354,863,822	21,681,073,352	4.99
2015-16	21,222,354,894	312,910	1,039,123,059	22,261,790,863	2.68

Source: California Municipal Statistics, Inc.

Economic and other factors beyond the District’s control, such as general market decline in property values, disruption in financial markets that may reduce availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, fire, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District. Any such reduction would result in a corresponding increase in the annual tax rates levied by the County to pay the debt service with respect to the Bonds. See “THE BONDS – Security and Sources of Payment” herein.

Drought. On January 17, 2014, the State Governor (the “Governor”) declared a state-wide Drought State of Emergency. As of such date, the State faced water shortfalls due to the driest year in recorded State history; the State’s rivers and reservoirs were below their record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (chiefly in the Sierra Nevada mountain range) at about 20% of normal average for the winter season. As part of his State of Emergency declaration, the Governor directed State officials to assist agricultural producers and communities that may be economically impacted by dry conditions. Following the Governor’s declaration, the California State Water Resources Control Board (the “Water Board”) issued a statewide notice of water shortages and potential future curtailment of water right diversions. On April 1, 2015, the Governor issued an executive order mandating certain temporary conservation measures, which were implemented by means of an emergency regulation adopted by the Water Board on May 5, 2015. The temporary conservation measures have been extended and amended by subsequent executive orders of the Governor and Water Board regulations. Most recently, on May 9, 2016, the Governor issued an executive order ordering the Department of Water Resources, the Water Board and the California Public Utilities Commission to update and extend temporary water restrictions through end of January 2017, and to take actions to transition to permanent, long-term improvements in water use. Following the Governor’s executive order, on May 18, 2016, the Water Board adopted a localized “stress test” approach of water conservation, under which local urban water agencies are required to ensure a three-year supply of water assuming three years of drought conditions. Agencies that project a water shortage at the end of the three-year period under the stress test are required to implement conservation measures through January 2017 equal to the percentage of water shortage projected.

The District cannot make any representation regarding the effects that the current drought has had, or, if it should continue, may have on the value of taxable property within the District, or to what extent the drought could cause disruptions to economic activity within the boundaries of the District.

Appeals and Adjustments of Assessed Valuation. Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization (the “SBE”), with the appropriate county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. Such reductions are subject to yearly reappraisals and may be adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution” herein.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution. Whether resulting from taxpayer appeals or county assessor reductions, adjustments to assessed value are subject to yearly reappraisals by the county assessor and may be adjusted back to their

original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A. See also “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution” herein.

No assurance can be given that property tax appeals or actions by the county assessor currently pending in the future will not significantly reduce the assessed valuation of property within the District.

Assessed Valuation by Land Use. The following table shows the distribution of taxable property within the District by principal use, as measured by assessed valuation and parcels in fiscal year 2015-16.

**ASSESSED VALUATION AND PARCELS BY LAND USE
Anaheim Elementary School District
Fiscal Year 2015-16**

	2015-16 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Rural/Agricultural	\$5,120,994	0.02%	6	0.01%
Commercial/Office/Recreational	8,467,051,736	39.90	1,827	4.20
Industrial	2,115,009,750	9.97	960	2.21
Government/Social/Institutional	0	0.00	1,189	2.74
Miscellaneous	<u>8,115,025</u>	<u>0.04</u>	<u>30</u>	<u>0.07</u>
Subtotal Non-Residential	\$10,595,297,505	49.93%	4,012	9.23%
<u>Residential:</u>				
Single Family Residence	\$6,722,593,679	31.68%	23,657	54.44%
Condominium/Townhouse	1,247,186,384	5.88	4,266	9.82
Mobile Home	33,156,968	0.16	1,269	2.92
2+ Residential Units	2,615,964,784	12.33	2,469	5.68
Timeshare	<u>8,155,574</u>	<u>0.04</u>	<u>7,781</u>	<u>17.91</u>
Subtotal Residential	\$10,627,057,389	50.07	39,442	90.77%
Total	\$21,222,354,894	100.00%	43,454	100.00%

⁽¹⁾ Total local secured assessed valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation of Single Family Homes. The following table shows the distribution of single family homes within the District among various fiscal year 2015-16 assessed valuation ranges, as well as the average and median assessed valuation of single family homes within the District.

**ASSESSED VALUATION OF SINGLE FAMILY HOMES
Anaheim Elementary School District
Fiscal Year 2015-16**

	No. of Parcels	2015-16 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single Family Residential	23,657	\$6,722,593,679	\$284,169	\$276,561

2015-16 Assessed Valuation	No. of Parcels⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	42	0.178%	0.178%	\$565,845	0.008%	0.008%
25,000 - 49,999	442	1.868	2.046	18,914,660	0.281	0.290
50,000 - 74,999	2,192	9.266	11.312	135,678,814	2.018	2.308
75,000 - 99,999	1,122	4.743	16.054	95,814,597	1.425	3.733
100,000 - 124,999	516	2.181	18.236	57,924,960	0.862	4.995
125,000 - 149,999	551	2.329	20.565	75,891,876	1.129	5.724
150,000 - 174,999	846	3.576	24.141	137,995,422	2.053	7.777
175,000 - 199,999	1,140	4.819	28.960	214,620,646	3.193	10.969
200,000 - 224,999	1,589	6.717	35.677	338,830,738	5.040	16.009
225,000 - 249,999	1,687	7.131	42.808	400,659,999	5.960	21.969
250,000 - 274,999	1,600	6.763	49.571	419,687,183	6.243	28.212
275,000 - 299,999	1,436	6.070	55.641	412,446,870	6.135	34.347
300,000 - 324,999	1,390	5.876	61.517	434,080,213	6.457	40.804
325,000 - 349,999	1,380	5.833	67.350	465,638,862	6.926	47.731
350,000 - 374,999	1,310	5.537	72.888	474,104,036	7.052	54.783
375,000 - 399,999	1,277	5.398	78.285	494,393,048	7.354	62.137
400,000 - 424,999	1,030	4.354	82.639	424,513,838	6.315	68.452
425,000 - 449,999	1,084	4.582	87.222	473,623,050	7.045	75.497
450,000 - 474,999	910	3.847	91.068	419,784,919	6.244	81.742
475,000 - 499,999	692	2.925	93.993	336,782,962	5.010	86.752
500,000 and greater	1,421	6.007	100.000	890,641,141	13.248	100.000
Total	23,657	100.000%		\$6,722,593,679	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Tax Levies, Collections and Delinquencies

The following table shows secured *ad valorem* taxes within the District, and amounts delinquent as of June 30, for fiscal years 2010-11 through 2014-15.

SECURED TAX CHARGES AND DELINQUENCIES

Fiscal Years 2010-11 through 2014-15

Anaheim Elementary School District

<u>Fiscal Year</u>	<u>Secured Tax Charge⁽¹⁾</u>	<u>Amount Delinquent as of June 30</u>	<u>Percent Delinquent June 30</u>
2010-11	\$51,478,543.63	\$867,315.80	1.68%
2011-12	51,743,506.29	774,128.89	1.50
2012-13	54,471,572.20	644,652.81	1.18
2013-14	57,328,247.38	617,173.90	1.08
2014-15	60,222,267.39	660,749.29	1.10

⁽¹⁾ 1% State general fund apportionment. Excludes redevelopment agency impounds. Reflects county-wide delinquency rate.
Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment - "Teeter Plan"

The Board of Supervisors of Orange County has approved the implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 *et seq.* of the California Revenue and Taxation Code. Under the Teeter Plan, the County apportions secured property taxes on an accrual basis when due (irrespective of actual collections) to its local political subdivisions, including the District, for which the County acts as the tax-levying or tax-collecting agency.

The Teeter Plan is applicable to all tax levies for which the County acts as the tax-levying or tax-collecting agency, or for which the County treasury is the legal depository of the tax collections. As adopted by the County, the Teeter Plan excludes Mello-Roos Community Facilities Districts and special assessment districts which provide for accelerated judicial foreclosure of property for which assessments are delinquent.

The *ad valorem* property tax to be levied to pay the interest on and principal of the Bonds will be subject to the Teeter Plan, beginning in the first year of such levy. The District will receive 100% of the *ad valorem* property tax levied to pay the Bonds irrespective of actual delinquencies in the collection of the tax by the County.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the Board of Supervisors is to order discontinuance of the Teeter Plan subsequent to its implementation, only those secured property taxes actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

Tax Rates

The following table summarizes the total *ad valorem* tax rates levied, as a percentage of assessed valuation, by all taxing entities in a typical tax rate area within the District during the period from fiscal year 2011-12 to fiscal year 2015-16.

SUMMARY OF *AD VALOREM* TAX RATES Fiscal Years 2011-12 through 2015-16 Anaheim Elementary School District

(TRA 1-007 – 2015-16 Assessed Valuation: \$13,576,079,846) ⁽¹⁾

	<u>2011-12</u>	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>
General Tax Rate	1.00000%	1.00000%	1.00000%	1.00000%	1.00000%
Metropolitan Water District	.00370	.00350	.00350	.00350	.00350
City of Anaheim	.00224	.00227	.00211	.00198	.00173
Anaheim City School District	.05371	.05382	.05848	.02867	.04227
Anaheim High School District	.02678	.02858	.02620	.02412	.04948
North Orange County Community College District	<u>.01742</u>	<u>.01902</u>	<u>.01704</u>	<u>.01704</u>	<u>.03043</u>
Total	1.10385%	1.10719%	1.10733%	1.07531%	1.12741%

⁽¹⁾ The assessed valuation of TRA 1-007 is 60.98% of the District's total assessed valuation.
Source: *California Municipal Statistics, Inc.*

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Principal Taxpayers

The following table lists the major taxpayers in the District based on their 2015-16 secured assessed valuations:

LARGEST LOCAL SECURED TAXPAYERS Anaheim Elementary School District Fiscal Year 2015-16

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2015-16 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	Walt Disney World Co.	Commercial/Theme Park	\$4,165,080,035	19.63%
2.	Anna Claire Mauerhan LLC	Commercial	263,427,932	1.24
3.	HHC HA Investments II Inc.	Commercial	200,459,449	0.94
4.	Irvine Company LLC	Apartments	159,539,368	0.75
5.	Prologis California I LLC	Industrial	95,328,576	0.45
6.	Angeli LLC	Commercial	90,720,860	0.43
7.	Mary Susan Samia Trust	Commercial	89,007,316	0.42
8.	Essex Anavia LP	Residential	84,899,913	0.40
9.	PT Metro LLC	Residential	78,382,695	0.37
10.	Rreef America REIT II Corp.	Industrial	77,556,156	0.37
11.	Avalon Anaheim Stadium LP	Apartments	75,300,608	0.35
12.	UDR 1818 Platinum LLC	Apartments	75,121,370	0.35
13.	PK II Anaheim Plaza LP	Commercial	74,804,975	0.35
14.	Anaheim Angels LP	Commercial	74,292,880	0.35
15.	BEX Portfolio Inc.	Apartments	71,704,594	0.34
16.	First American Trust FSB	Commercial	70,748,242	0.33
17.	36/38/40 West 66 Realty Company Inc.	Industrial	70,677,228	0.33
18.	Anaheim Corporate Office Plaza LP	Commercial	65,653,925	0.31
19.	Ace Anaheim Building LLC	Commercial	63,059,610	0.30
20.	IX CW 500 Orange Tower LP	Commercial	<u>62,677,801</u>	<u>0.30</u>
			<u>\$6,008,443,533</u>	<u>28.31%</u>

⁽¹⁾ 2015-16 local secured assessed valuation: \$21,222,354,894.

Source: *California Municipal Statistics, Inc.*

Walt Disney Parks and Resorts US, Inc. (“Walt Disney Parks and Resorts”), the successor company to Walt Disney World Co., is the largest secured taxpayer in the District, representing approximately 19.6% of the District’s total secured assessed valuation. Walt Disney Parks and Resorts is a wholly-owned subsidiary of The Walt Disney Company (“Disney”), a publicly-traded media and entertainment conglomerate. Walt Disney Parks and Resorts is responsible for ownership and operation of a number of Disney theme parks, resorts and leisure-related businesses. The majority of the property owned or leased by Walt Disney Parks and Resorts within the District is dedicated to the operation of the Disneyland Resort, itself composed of two theme parks, three hotels, and a retail, dining and entertainment complex.

Walt Disney Parks and Resorts generates revenues from the sale of admissions to theme parks, sales of food, beverage and merchandise, hotel charges, sales of cruise and other vacation packages and sales and rentals of vacation club properties. Significant costs include labor, infrastructure costs, depreciation, costs of merchandise, food and beverage sold, marketing and sales expenses. Infrastructure costs include repairs and maintenance, information systems expense, utilities, property taxes, insurance and transportation.

The fiscal year 2014-15 annual report for Disney reported \$16.2 billion in revenues from the parks and resorts segment of its business, and \$3 billion in net operating income. A wide variety of

factors could affect the financial performance of the businesses operated by Walt Disney Parks and Resorts, and of Disney in general, including but not limited to regional and global economic conditions, changes in consumer tastes, changes in business strategy and the maintenance of intellectual property rights. For additional information, see www.thewaltdisneycompany.com. Information presented on the websites described above is not incorporated herein by any reference

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the “Debt Report”) prepared by California Municipal Statistics, Inc., effective as of June 1, 2016. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. Column 2 shows the percentage of each overlapping agency’s assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in column 3, which is the apportionment of each overlapping agency’s outstanding debt to taxable property in the District.

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STATEMENT OF DIRECT AND OVERLAPPING DEBT

2015-16 Assessed Valuation: \$22,261,790,863

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 6/1/16</u>
Metropolitan Water District	0.907%	\$842,286
North Orange County Joint Community College District	19.684	33,770,658
Anaheim Union High School District	57.780	83,667,725
Anaheim School District	100.000	144,388,918⁽¹⁾
City of Anaheim	55.473	388,311
City of Anaheim Community Facilities Districts	100.000	32,725,000
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$295,782,898

<u>OVERLAPPING GENERAL FUND DEBT:</u>		
Orange County General Fund Obligations	4.461%	\$3,035,666
Orange County Pension Obligation Bonds	4.461	17,756,692
Orange County Board of Education Certificates of Participation	4.461	662,012
Municipal Water District of Orange County Water Facilities Corporation	0.040	1,108
North Orange County Regional Occupation Program Certificates of Participation	20.244	2,062,864
Anaheim Union High School District Certificates of Participation	57.780	2,889,000
City of Anaheim General Fund Obligations	55.473	367,296,421
Other City General Fund Obligations	Various	39,088
TOTAL GROSS OVERLAPPING GENERAL FUND DEBT		\$393,742,851
Less: MWDOC Water Facilities Corporation (100% supported)		1,108
City of Anaheim supported bonds		367,296,421
TOTAL NET OVERLAPPING GENERAL FUND DEBT		\$26,445,322

OVERLAPPING TAX INCREMENT DEBT (Successor Agencies): \$78,758,440

GROSS COMBINED TOTAL DEBT \$768,284,189 ⁽²⁾
NET COMBINED TOTAL DEBT \$400,986,660

Ratios to 2015-16 Assessed Valuation:

Direct Debt (\$144,388,918)..... 0.65%
Total Direct and Overlapping Tax and Assessment Debt..... 1.33%
Gross Combined Total Debt..... 3.45%
Net Combined Total Debt..... 1.80%

Ratios to Redevelopment Incremental Valuation (\$1,884,989,409):

Total Overlapping Tax Increment Debt..... 4.18%

⁽¹⁾ Excludes the Bonds described herein and includes the Refunded Bonds.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

The principal of and interest on the Bonds are payable solely from the proceeds of an ad valorem property tax levied by the County for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein. Articles XIII A, XIII B, XIII C and XIII D of the State Constitution, Propositions 98 and 111, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the County to levy taxes for payment of the Bonds. The tax levied by the County for payment of the Bonds was approved by the voters of the District in compliance with Article XIII A, Article XIII C, and all applicable laws.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* property taxes on real property to 1% of “full cash value” as determined by the county assessor. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the 1975-76 bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The full cash value is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by the voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value, adjusted for inflation. Reductions in assessed value could result in a corresponding increase in the annual tax rate levied by the County to pay debt service on the Bonds. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR PAYMENT OF BONDS” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem* property, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (a) on any indebtedness approved by the voters prior to July 1, 1978, or (b), as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds or more of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (c) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by fifty-five percent or more of the votes cast on the proposition, but only if certain accountability measures are included in the proposition. The tax for payment of the Series 2016 Bonds falls within the exception described in (c) of the immediately preceding sentence. In addition,

Article XIII A requires the approval of two-thirds or more of all members of the State Legislature to change any State taxes for the purpose of increasing tax revenues.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the relevant county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situation.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the California State Supreme Court have upheld the general validity of Article XIII A.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions (“unitary property”). Under the State Constitution, such property is assessed by the State Board of Equalization (“SBE”) as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed unitary and certain other property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula. See “DISTRICT FINANCIAL INFORMATION” herein.

Article XIII B of the California Constitution

Article XIII B (“Article XIII B”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines:

- (a) “change in the cost of living” with respect to school districts to mean the percentage change in California per capita income from the preceding year, and
- (b) “change in population” with respect to a school district to mean the percentage change in the average daily attendance (“ADA.”) of the school district from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the State Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that fifty percent of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See "— Propositions 98 and 111" herein.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of "tax" to include "any levy, charge, or exaction of any kind imposed by a local government" except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) A fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity.

Article XIIC and Article XIID of the California Constitution

On November 5, 1996, the voters of the State approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIIC and XIID (respectively, “Article XIIC” and “Article XIID”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIID deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIIC or XIID will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the California Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Propositions 98 and 111

On November 8, 1988, voters of the State approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changed State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as “K-14 school districts”) at a level equal to the greater of (a) the same percentage of the State general fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, and (b) the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the State Legislature to suspend this formula for a one-year period.

The Accountability Act also changed how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount are, instead of being returned to taxpayers, is transferred to K-14 school districts. Any such transfer to K-14 school districts would be excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year is automatically increased by the amount of such transfer. These

additional moneys enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which can be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the Legislature or a court might not interpret the Accountability Act to require a different percentage of State general fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's budget.

On June 5, 1990, the voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limit Act of 1990" ("Proposition 111") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in California per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the schools' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.
- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the State Legislature. Second, there are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the State Legislature and the Governor, which was expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.
- d. Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year

1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.

- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues ("Test 1") or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment ("Test 2"). Under Proposition 111, schools will receive the greater of (1) Test 1, (2) Test 2, or (3) a third test ("Test 3"), which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in California per capita personal income. Under Test 3, schools will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a "credit" to schools which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as Proposition 39) to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the State Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, including the District, community college districts, and county offices of education. As noted above, the California Constitution previously limited property taxes to 1 percent of the value of property, and property taxes could only exceed this limit to pay for (1) any local government debt approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate projected to be levied as the result of any single election be no more than \$60 (for a unified school district, such as the District), \$30 (for a high school or elementary school district), or \$25 (for a community college district) per \$100,000 of taxable property value, when assessed valuation is projected to increase in accordance with Article XIII A of the State Constitution. These requirements are not part of Proposition 39 and can be changed with a majority vote of both houses of the State Legislature and approval by the Governor. See "- Article XIII A of the California Constitution" herein.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amends the State Constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-third approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by the voters of the State on November 2, 2010, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies and eliminates the State's authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State's authority to use State fuel tax revenues to pay debt service on state transportation bonds, to borrow or change the distribution of state fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for state mandated costs. Proposition 22 impacts resources in the State's general fund and transportation funds, the State's main funding source for schools and community colleges, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst's Office (the "LAO") on July 15, 2010, the expected reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was expected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1% of the State's total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, was expected to be an increase in the State's general fund costs by approximately \$1 billion annually for several decades. See also "DISTRICT FINANCIAL INFORMATION – Dissolution of Redevelopment Agencies" herein.

Jarvis vs. Connell

On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the California Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District's budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the California Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 30

On November 6, 2012, voters of the State of California approved the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as “Proposition 30”), which temporarily increases the State Sales and Use Tax and personal income tax rates on higher incomes. Proposition 30 temporarily imposes an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposes an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017, for storage, use, or other consumption in the State. This excise tax will be levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the temporary tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Propositions 98 and 111” herein. From an accounting perspective, the revenues generated from the temporary tax increases are being deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “EPA”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to schools districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that, the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

The California Children’s Education and Health Care Protection Act of 2016, also known as Proposition 55, is a proposed constitutional amendment initiative that has qualified for the November 8, 2016 general election in California. Proposition 55 would extend the increases to personal income tax rates for high-income taxpayers that were approved as part of Proposition 30. Under Proposition 55, the Proposition 30 income tax rate increases on high-income Californians would not expire at the end of 2018, as scheduled under current law. The proposal would extend the income tax rate increases through 2030. Tax revenue received under Proposition 55 would be allocated 89% to K-12 schools and 11% to community colleges. Under the proposed constitutional amendment, the sales tax rate increase under Proposition 30 would not be extended. The District can make no representation as to whether Proposition 55 will be approved.

Proposition 2

On March 2, 2004, voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain

changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State's Budget Stabilization Account (the "BSA") established by the California Balanced Budget Act of 2004 (also known as Proposition 58).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the "Annual BSA Transfer"). Supplemental transfers to the BSA (a "Supplemental BSA Transfer") are also required in any fiscal year in which the estimated State general fund revenues that are allocable to capital gains taxes exceed 8% of the total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15-year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the State Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the State Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the State Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a "budget emergency," defined as an emergency within the meaning of Article XIII B of the Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of the funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the "PSSSA") into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would otherwise be paid to K-14 school districts as part of the minimum funding guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the minimum funding guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is "Test 1," (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for ADA growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated minimum guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements

described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated minimum funding guarantee is less than the prior year's funding level, as adjusted for ADA growth and cost of living.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 22, 26, 30, 39 and 98 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

State Budget Measures

The following information concerning the State's budgets has been obtained from publicly available information which the District believes to be reliable; however, the District does not guarantee the accuracy or completeness of this information and has not independently verified such information. Furthermore, it should not be inferred from the inclusion of this information herein that the principal of or interest on the Bonds is payable from the general fund of the District. The Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County in an amount sufficient for the payment thereof.

2016-17 Budget. On June 27, 2016, the Governor signed into the law the State budget for fiscal year 2016-17 (the "2016-17 Budget"). The following information is drawn from the Department of Finance's summary of the 2016-17 Budget.

The 2016-17 Budget projects, for fiscal year 2015-16, total general fund revenues and transfers of \$117 billion and total expenditures of \$115.6 billion. The State is projected to end the 2015-16 fiscal year with total available reserves of \$7.3 billion, including \$3.9 billion in the traditional general fund reserve and \$3.4 billion in the BSA. For fiscal year 2016-17, the 2016-17 Budget projects a growth in State general fund revenues driven primarily by total general fund revenues of \$120.3 billion and authorizes expenditures of \$122.5 billion. The State is projected to end the 2016-17 fiscal year with total available reserves of \$8.5 billion, including \$1.8 billion in the traditional general fund reserve and \$6.7 billion in the BSA.

As required by Proposition 2, the 2016-17 Budget applies \$1.3 billion towards the repayment of existing State liabilities, including loans from special funds, State and University of California pension and retiree health benefits and settle-up payments to K-14 school districts resulting from an underfunding of the Proposition 98 minimum funding guarantee in a prior fiscal year. Other significant features including measures designed to counteract the effects of poverty, fund various infrastructure improvements, and increase funding for low income housing and homelessness programs.

With respect to education funding, the 2016-17 Budget sets the Proposition 98 minimum funding guarantee at \$71.9 billion, an increase of \$3.5 billion over the revised level from the prior fiscal year. Significant features with respect to K-12 education funding include the following:

- *Local Control Funding Formula* – \$2.9 billion of Proposition 98 funding to continue the implementation of the LCFF. As a result, the 2016-17 Budget projects total LCFF implementation to be at 96% during fiscal year 2016-17.

- *College Readiness* – \$200 million in one-time Proposition 98 funding to fund a block grant for school districts and charter schools serving high school students. Funds are intended to provide additional services that support access and successful transition to higher education. Allocation of the funding will be based on the number of students in grades 9 through 12 that are English-learners, low-income or foster youth, with no district or charter school receiving less than \$75,000. The 2016-17 Budget also provides \$15 million in one-time Proposition 98 grant funding to support coordinated student outreach by local educational agencies and community college districts aimed at increasing college preparation, access, and success.
- *Teacher Workforce* – \$35 million in one-time funding, including \$25 million of Proposition 98 funding, to provide grants aimed at recruiting additional teachers and streamlining teacher credentialing programs.
- *Charter Schools* – An increase of \$20 million in one-time Proposition 98 funding to support startup costs for new charter schools in 2016 and 2017. The funds are intended to offset the loss of previously available federal funding.
- *Support Systems* – \$20 million in one-time Proposition 98 funding to assist local educational agencies provide academic, behavioral, social and emotional student support services.
- *Truancy and Dropout Prevention* – Proposition 47, approved by voters in November 2014, reduces penalties for certain non-serious and non-violent property and drug offenses, and requires that State expenditures savings resulting from these reduced penalties be invested into K-12 truancy and dropout prevention. The 2016-17 Budget allocates \$18 million of such funding to K-12 local education agencies.
- *Drinking Water* – \$9.5 million in one-time Proposition 98 funding to assist school districts that serve isolated or economically disadvantaged areas improve access to safe drinking water.
- *Mandates* – \$1.3 billion in one-time Proposition 98 funding to reduce the existing backlog of unpaid reimbursement claims to K-12 local educational agencies for the cost of State-mandated programs. The funding would be provided to local educational agencies on a per-student basis, and would be available to be used at local discretion.

For additional information regarding the 2016-17 Budget, see the State Department of Finance website at www.dof.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Future Actions. The District cannot predict what actions will be taken in the future by the State legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State's ability to fund schools. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy *ad valorem* property taxes upon all taxable property within the District for the payment of principal of and interest on the Bonds would not be impaired.

DISTRICT FINANCIAL INFORMATION

The information in this section concerning the State funding of public education is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from State revenues. The Bonds will be payable solely from the proceeds of an ad valorem tax which is required to be levied by the County in an amount sufficient for the payment thereof.

State Funding of Education

School district revenues consist primarily of guaranteed State moneys, local property taxes and funds received from the State in the form of categorical aid under ongoing programs of local assistance. All State aid is subject to the appropriation of funds in the State's annual budget.

Revenue Limit Funding. Previously, school districts operated under general purpose revenue limits established by the State Department of Education ("SBE"). In general, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment in accordance with a number of factors designed to provide cost of living adjustments ("COLAs") and to equalize revenues among school districts of the same type. Funding of a school district's revenue limit was provided by a mix of local property taxes and State apportionments of basic and equalization aid. Beginning in fiscal year 2013-14, school districts will be funded based on uniform funding grants assigned to certain grade spans. See "— Local Control Funding Formula" herein.

The following table reflects the District's historical ADA and the revenue limit rates per unit of ADA for fiscal years 2008-09 through 2012-13.

AVERAGE DAILY ATTENDANCE AND REVENUE LIMIT Fiscal Years 2008-09 through 2012-13 Anaheim Elementary School District

<u>Fiscal Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Base Revenue Limit Per ADA⁽²⁾</u>	<u>Deficit Revenue Limit Per ADA⁽²⁾</u>
2008-09	16,576	\$5,458	\$5,030
2009-10	18,611	6,097	4,975
2010-11	18,450	6,073	4,982
2011-12	18,751	6,210	4,984
2012-13	18,490	6,412	4,984

⁽¹⁾ Reflects ADA as of the second principal reporting period (P-2 ADA), ending on or before the last attendance month prior to April 15 of each school year. An attendance month is each four-week period of instruction beginning with the first day of school for any school district.

⁽²⁾ Deficit revenue limit funding, if provided for in State budgetary legislation, reduced the revenue limit allocations received by school districts by applying a deficit factor to the base revenue limit for a given fiscal year, and resulted from an insufficiency of appropriation funds in the State budget to provide for State aid owed to school districts. The State's practice of deficit limit funding was most recently reinstated beginning in fiscal year 2007-08 and eliminated with the implementation of the LCFF (defined herein).

Source: Anaheim Elementary School District.

Local Control Funding Formula. State Assembly Bill 97 (Stats. 2013, Chapter 47) ("AB 97"), enacted as part of the fiscal year 2013-14 State budget, establishes a new system for funding school districts, charter schools and county offices of education. Certain provisions of AB 97 were amended and clarified by Senate Bill 91 (Stats. 2013, Chapter 49) ("SB 91").

The primary component of AB 97, as amended by SB 91, was the implementation of the Local Control Funding Formula (“LCFF”), which replaced the revenue limit funding system for determining State apportionments, as well as the majority of categorical program funding. State allocations are now provided on the basis of target base funding grants per unit of ADA (a “Base Grant”) assigned to each of four grade spans. Each Base Grant is subject to certain adjustments and add-ons, as discussed below. Full implementation of the LCFF is expected to occur over a period of several years. Beginning in fiscal year 2013-14, an annual transition adjustment has been calculated for each school district, equal to such district’s proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. In each year, school districts have had the same proportion of their respective funding gaps closed, with dollar amounts varying depending on the size of a district’s funding gap.

The Base Grants per unit of ADA for each grade span are as follows: (i) \$6,845 for grades K-3; (ii) \$6,947 for grades 4-6; (iii) \$7,154 for grades 7-8; and (iv) \$8,289 for grades 9-12. Beginning in fiscal year 2013-14, and in each subsequent year, the Base Grants have been adjusted for COLAs by applying the implicit price deflator for government goods and services. Following full implementation of the LCFF, the provision of COLAs will be subject to appropriation for such adjustment in the annual State budget. The differences among Base Grants are linked to differentials in statewide average revenue limit rates by district type, and are intended to recognize the generally higher costs of education at higher grade levels. See also “—State Budget” herein for the adjusted Base Grants provided by current State budgetary legislation.

The Base Grants for grades K-3 and 9-12 are subject to adjustments of 10.4% and 2.6%, respectively, to cover the costs of class size reduction in early grades and the provision of career technical education in high schools. Following full implementation of the LCFF, and unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to the K-3 Base Grant. Such school districts must also make progress towards this class size reduction goal in proportion to the growth in their funding over the implementation period. Additional add-ons are also provided to school districts that received categorical block grant funding pursuant to the Targeted Instructional Improvement and Home-to-School Transportation programs during fiscal year 2012-13.

School districts that serve students of limited English proficiency (“EL” students), students from low income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated, such that students may not be counted as both EL and LI. Foster youth automatically meet the eligibility requirements for free or reduced priced meals. A supplemental grant add-on (each, a “Supplemental Grant”) is authorized for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such districts’ percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold.

The following table shows a breakdown of the District's ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal years 2013-14 through 2016-17.

ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE

Fiscal Years 2013-14 and 2016-17

Anaheim Elementary School District

Fiscal Year	Average Daily Attendance⁽¹⁾			Enrollment⁽²⁾	
	K-3	4-6	Total ADA	Total Enrollment	% of EL/LI Enrollment⁽³⁾
2013-14	10,980	7,858	18,838	19,380	91.14%
2014-15	10,983	7,865	18,848	19,248	91.05
2015-16	10,701	7,806	18,507	18,711	90.36
2016-17 ⁽⁴⁾	10,255	7,727	17,985	18,483	90.30

⁽¹⁾ Except for fiscal year 2016-17, reflects P-2 ADA.

⁽²⁾ Except for fiscal year 2016-17, reflects certified enrollment as of the fall census day (the first Wednesday in October), which is reported to the California Longitudinal Pupil Achievement Data System ("CALPADS") in each school year and used to calculate each school district's unduplicated EL/LI student enrollment. Adjustments may be made to the certified EL/LI counts by the California Department of Education. CALPADS figures exclude preschool students.

⁽³⁾ Reflects actual EL/LI enrollment percentage for each year. However, for purposes of calculating Supplemental and Concentration Grants, a school district's fiscal year 2013-14 percentage of unduplicated EL/LI students will be expressed solely as a percentage of its total fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI enrollment will be based on the two-year average of EL/LI enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district's percentage of unduplicated EL/LI students will be based on a rolling average of such district's EL/LI enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

⁽⁴⁾ Projected.

Source: Anaheim Elementary School District.

For certain school districts that would have received greater funding levels under the prior revenue limit system, the LCFF provides for a permanent economic recovery target ("ERT") add-on, equal to the difference between the revenue limit allocations such districts would have received under the prior system in fiscal year 2020-21, and the target LCFF allocations owed to such districts in the same year. To derive the projected funding levels, the LCFF assumes the discontinuance of deficit revenue limit funding, implementation of a COLA in fiscal years 2014-15 through 2020-21, and restoration of categorical funding to pre-recession levels. The ERT add-on will be paid incrementally over the implementing period of the LCFF. The District does not qualify for the ERT add-on.

The sum of a school district's adjusted Base, Supplemental and Concentration Grants will be multiplied by such district's P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, will yield a district's total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district's share of applicable local property taxes. Most school districts receive a significant portion of their funding from such State apportionments. As a result, decreases in State revenues may significantly affect appropriations made by the Legislature to school districts.

Certain schools districts, known as "basic aid" districts, have allocable local property tax collections that equal or exceed such districts' total LCFF allocation, and result in the receipt of no State apportionment aid. Basic aid school districts receive only special categorical funding, which is deemed to satisfy the "basic aid" requirement of \$120 per student per year guaranteed by Article IX, Section 6 of the State Constitution. The implication for basic aid districts is that the legislatively determined allocations to school districts, and other politically determined factors, are less significant in determining their

primary funding sources. Rather, property tax growth and the local economy are the primary determinants. The District does not currently qualify as a basic aid district.

Accountability. The State Board of Education has adopted regulations regarding the expenditure of supplemental and concentration funding. These regulations include a requirement that school districts increase or improve services for EL/LI students in proportion to the increase in funds apportioned to such districts on the basis of the number and concentration of such EL/LI students, as well as the conditions under which school districts can use supplemental or concentration funding on a school-wide or district-wide basis.

School districts are also required to adopt local control and accountability plans (“LCAPs”) disclosing annual goals for all students, as well as certain numerically significant student subgroups, to be achieved in eight areas of State priority identified by the LCFF. LCAPs may also specify additional local priorities. LCAPs must specify the actions to be taken to achieve each goal, including actions to correct identified deficiencies with regard to areas of State priority. LCAPs are required to be adopted every three years, beginning in fiscal year 2014-15, and updated annually thereafter. The State Board of Education has adopted a template LCAP for school districts.

Support and Intervention. AB 97, as amended by SB 91, establishes a new system of support and intervention to assist school districts meet the performance expectations outlined in their respective LCAPs. School districts must adopt their LCAPs (or annual updates thereto) in tandem with their annual operating budgets, and not later than five days thereafter submit such LCAPs or updates to their respective county superintendents of schools. On or before August 15 of each year, a county superintendent may seek clarification regarding the contents of a district’s LCAP (or annual update thereto), and the district is required to respond to such a request within 15 days. Within 15 days of receiving such a response, the county superintendent can submit non-binding recommendations for amending the LCAP or annual update, and such recommendations must be considered by the respective school district at a public hearing within 15 days. A district’s LCAP or annual update must be approved by the county superintendent by October 8 of each year if the superintendent determines that (i) the LCAP or annual update adheres to the State template, and (ii) the district’s budgeted expenditures are sufficient to implement the actions and strategies outlined in the LCAP.

A school district is required to receive additional support if its respective LCAP or annual update thereto is not approved, if the district requests technical assistance from its respective county superintendent, or if the district does not improve student achievement across more than one State priority for one or more student subgroups. Such support can include a review of a district’s strengths and weaknesses in the eight State priority areas, or the assignment of an academic expert to assist the district identify and implement programs designed to improve outcomes. Assistance may be provided by the California Collaborative for Educational Excellence, a state agency created by the LCFF and charged with assisting school districts achieve the goals set forth in their LCAPs. The State Board of Education has developed rubrics to assess school district performance and the need for support and intervention.

The State Superintendent of Public Instruction (the “State Superintendent”) is further authorized, with the approval of the State Board of Education, to intervene in the management of persistently underperforming school districts. The State Superintendent may intervene directly or assign an academic trustee to act on his or her behalf. In so doing, the State Superintendent is authorized (i) to modify a district’s LCAP, (ii) impose budget revisions designed to improve student outcomes, and (iii) stay or rescind actions of the local governing board that would prevent such district from improving student outcomes; provided, however, that the State Superintendent is not authorized to rescind an action required by a local collective bargaining agreement.

Other State Sources. In addition to State allocations determined pursuant to the LCFF, the District receives other State revenues consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into the LCFF. Categorical funding for certain programs was excluded from the LCFF, and school districts will continue to receive restricted State revenues to fund these programs.

Other Revenue Sources

Federal and Local Sources. The federal government provides funding for several of the District's programs, including special education programs, programs under the Every Student Succeeds Act, and specialized programs such as Drug Free Schools, Innovative Strategies, and Vocational & Applied Technology. In addition, school districts may receive additional local revenues beyond local property tax collections, such as from leases and rentals, interest earnings, interagency services, developer fees (as discussed below), redevelopment revenues (as discussed below), foundation revenues, and other local sources.

Dissolution of Redevelopment Agencies

On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all Redevelopment Agencies in California ceased to exist as a matter of law on February 1, 2012. The Court in *Matosantos* also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 1A and Proposition 22” herein. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to school districts and county offices of education, totaling \$1.7 billion statewide.

ABx1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of the Successor Agency, as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, not to exceed \$250,000 in any year, to the extent such costs have been approved in an administrative budget; then, fourth tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions

as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the Controller and the Department of Finance that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the Controller. If the Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities, including to the District. Per statute, 100% of contractual and statutory two percent pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993), are restricted to educational facilities without offset against revenue limit apportionments by the State. Only 43.3% of AB 1290 pass-throughs to the District are offset against State aid so long as the District uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABX1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received . . . had the redevelopment agency existed at that time,” and that the County Auditor-Controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of ABX1 26 using current assessed values . . . and pursuant to statutory pass-through formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

The District can make no representations as to the extent to which its revenue limit apportionments from the State may be offset by the future receipt of residual distributions or from unencumbered cash and assets of former redevelopment agencies any other surplus property tax revenues pursuant to the Dissolution Act.

Budget Process

State Budgeting Requirements. The District is required by provisions of the State Education Code to maintain a balanced budget each year, in which the sum of expenditures and the ending fund balance cannot exceed the sum of revenues and the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting and accounting format for school districts. The budget process for school districts was substantially amended by Assembly Bill 1200 (“AB 1200”), which became State law on October 14, 1991. Portions of AB 1200 are summarized below. The budget process has been further amended by subsequent amendments, including Senate Bill 97, which became law on September 26, 2013 (requiring budgets to include sufficient funds to implement local control and

accountability plans), Senate Bill 858, which became law on June 20, 2014 (requiring budgets' ending fund balances to exceed the minimum recommended reserve for economic uncertainties), and Assembly Bill 2585, which became State law on September 9, 2014 (eliminating the dual budget cycle option for school districts).

School districts must adopt a budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The county superintendent will examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance, and will determine if the budget allows the district to meet its current obligations, if the budget is consistent with a financial plan that will enable the district to meet its multi-year financial commitments, whether the budget includes the expenditures necessary to implement a local control and accountability plan, and whether the budget's ending fund balance exceeds the minimum recommended reserve for economic uncertainties.

On or before August 15, the county superintendent will approve, conditionally approve or disapprove the adopted budget for each school district. Budgets will be disapproved if they fail the above standards. The district board must be notified by August 15 of the county superintendent's recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent's recommendations. The committee must report its findings no later than August 20. Any recommendations made by the county superintendent must be made available by the district for public inspection. No later than September 22, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget may be disapproved.

For districts whose budgets have been disapproved, the district must revise and readopt its budget by September 8, reflecting changes in projected income and expense since July 1, including responding to the county superintendent's recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final district budgets and not later than October 8, will approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code Section 42127.1. No later than October 8, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget has been disapproved. Until a district's budget is approved, the district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Interim Financial Reports. Under the provisions of AB 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent fiscal year. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or two subsequent fiscal years.

The District submitted, and the County superintendent of schools accepted, "qualified" designations on each of its interim financial reports for fiscal years 2009-10 through 2012-13. Since fiscal year 2013-14, the District has submitted, and the County superintendent of schools has accepted, "positive" certifications on each of its interim financial reports.

Budgeting Trends. The table on the following page summarizes the District’s adopted general fund budgets for fiscal years 2012-13 through 2016-17, audited ending results for fiscal years 2012-13 through 2014-15, and estimated results for fiscal year 2015-16.

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GENERAL FUND BUDGETING
Anaheim Elementary School District
Fiscal Years 2012-13 through 2015-16

	Fiscal Year 2012-13		Fiscal Year 2013-14		Fiscal Year 2014-15		Fiscal Year 2015-16		Fiscal Year 2016-17
	Adopted Budget ⁽¹⁾	Audited Actuals ⁽¹⁾	Adopted Budget ⁽¹⁾	Audited Actuals ⁽¹⁾	Adopted Budget ⁽¹⁾	Audited Actuals ⁽¹⁾	Adopted Budget ⁽²⁾	Projected Totals ⁽³⁾	Adopted Budget ⁽³⁾
REVENUES:									
LCFF/Revenue Limit Sources	\$86,672,003	\$95,375,865	\$94,371,648	\$123,852,261	\$142,616,905	\$142,714,564	\$169,140,997	\$168,708,860	\$175,900,767
Federal Revenue	16,234,144	14,890,360	13,526,214	13,383,530	13,273,868	13,915,564	14,217,609	13,939,507	14,679,465
Other State Revenue	36,768,095	38,376,455	38,115,785	23,486,193	21,019,437	21,275,002	24,424,036	31,554,827	26,084,190
Other Local Revenue	<u>2,078,130</u>	<u>2,342,238</u>	<u>2,621,831</u>	<u>3,270,188</u>	<u>2,305,866</u>	<u>3,659,134</u>	<u>1,132,779</u>	<u>2,309,788</u>	<u>1,121,450</u>
TOTAL REVENUES	141,752,372	150,984,918	148,635,478	163,992,172	179,216,076	181,564,264	208,915,421	216,512,982	217,785,872
EXPENDITURES:									
Certificated Salaries	79,029,803	76,058,952	79,427,748	81,887,952	88,073,222	88,234,804	90,486,313	96,672,935	97,980,693
Classified Salaries	22,984,415	23,492,349	24,223,505	25,921,299	27,640,879	28,622,553	30,118,843	32,605,073	33,994,924
Employee Benefits	32,831,209	33,349,221	33,440,679	33,421,807	37,354,379	35,353,519	41,338,790	41,553,274	46,359,391
Books & Supplies	6,312,587	4,284,440	6,739,149	5,100,658	10,390,806	9,420,087	10,571,388	8,995,224	12,284,140
Services & Other Operating Expenditures	10,074,893	9,736,385	9,560,740	10,192,819	10,039,874	11,645,145	12,381,197	14,840,409	14,864,693
Transfers of Indirect Costs	(162,297)	(155,060)	(159,407)	(166,941)	(146,051)	(154,199)	(254,104)	--	--
Other Outgo	6,909,998	7,374,383	7,109,878	7,773,378	7,876,679	8,464,983	8,532,608	8,626,524	8,731,676
Capital Outlay	--	--	--	--	--	<u>360,661</u>	<u>1,169,300</u>	<u>320,901</u>	<u>181,725</u>
TOTAL EXPENDITURES	157,977,608	154,166,072	160,342,292	164,154,335	181,229,788	181,947,553	194,344,435	203,614,340	214,403,958
Excess (Deficiency) of Revenues Over (Under) Expenditures	(16,225,236)	(3,181,154)	(11,706,814)	(162,163)	(2,013,712)	(383,289)	14,570,986	12,898,642	3,381,914
OTHER FINANCING SOURCES (USES)									
Transfers In	--	--	--	--	--	--	--	--	--
Transfers Out	--	--	--	--	<u>(216,000)</u>	--	--	--	--
TOTAL OTHER FINANCING SOURCES (USES)	--	--	--	--	<u>(216,000)</u>	--	--	--	--
NET CHANGE IN FUND BALANCE	(16,225,236)	(3,181,154)	(11,706,814)	(162,163)	(2,229,712)	(383,289)	14,570,986	12,898,642	3,381,914
FUND BALANCE – BEGINNING	<u>21,990,983</u>	<u>21,990,983</u>	<u>18,809,829</u>	<u>18,809,829</u>	<u>16,312,669</u>	<u>18,647,666</u>	<u>14,570,986</u>	<u>18,264,377</u>	<u>31,163,019</u>
FUND BALANCE – ENDING	<u>\$5,765,747</u>	<u>\$18,809,829</u>	<u>\$7,103,015</u>	<u>\$18,647,666</u>	<u>\$14,082,957</u>	<u>\$18,264,377</u>	<u>\$31,579,912</u>	<u>\$31,163,019</u>	<u>\$34,544,933</u>

⁽¹⁾ From the District's Comprehensive Audited Financial Statements for fiscal years 2012-13 through 2014-15, respectively. For fiscal years 2014-15, reflects the original budget of the District, approved prior to the close of the prior fiscal year's books.

⁽²⁾ From the District's Second Interim Financial Report for fiscal year 2015-16 approved by the Board on March 9, 2016. Reflects the original adopted budget for fiscal year 2015-16, approved prior to the close of the prior fiscal year's books.

⁽³⁾ From the District's Adopted Budget for fiscal year 2016-17 approved by the Board on June 22, 2016.

Source: Anaheim Elementary School District.

Comparative Financial Statements

The District's audited financial statements for the year ended June 30, 2015 are included for reference in APPENDIX B hereto. Audited financial statements for the District for the fiscal year ended June 30, 2015, and prior fiscal years are on file with the District and available for public inspection at the Office of the Assistant Superintendent, Administrative Services of the District, 1001 S. East Street, Anaheim, California, 92805 Telephone: (714) 517-7500. The table on the following page reflects the District's revenues, expenditures and fund balances for fiscal years 2010-11 through 2014-15.

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AUDITED STATEMENT OF GENERAL FUND REVENUES, EXPENDITURES AND FUND BALANCES

Anaheim Elementary School District Fiscal Years 2010-11 through 2014-15

	Audited Actuals <u>2010-11</u>	Audited Actuals <u>2011-12</u>	Audited Actuals <u>2012-13</u>	Audited Actuals <u>2013-14</u>	Audited Actuals <u>2014-15</u>
REVENUES:					
Revenue limit sources/LCFF sources	\$93,739,882	\$95,172,680	\$95,375,865	\$123,852,261	\$142,714,564
Federal sources	16,193,246	23,501,880	14,890,360	13,383,530	13,915,564
Other State sources	40,244,232	41,217,291	42,215,284	27,574,076	25,583,396
Other local sources	<u>2,202,233</u>	<u>2,170,790</u>	<u>2,342,238</u>	<u>3,270,188</u>	<u>3,659,134</u>
Total Revenues	152,379,593	162,062,641	154,823,747	168,080,055	185,872,658
EXPENDITURES:					
Instruction	91,037,753	98,621,448	94,549,779	100,980,482	109,549,142
Instruction-related activities					
Supervision of instruction and administration	6,847,459	7,555,312	7,059,678	7,633,469	11,598,778
Instructional library, media and technology	1,592,808	1,524,199	1,722,626	1,409,595	2,179,255
School site administration	10,522,210	11,640,350	11,271,703	11,356,865	12,539,877
Pupil services					
Home-to-school transportation	4,938,939	5,193,514	3,751,519	5,101,780	5,312,675
Food services	--	--	--	--	--
All other pupil services	10,012,870	10,787,822	12,279,950	11,832,276	13,062,826
General administration					
Centralized data processing	1,608,885	1,686,700	1,555,689	1,753,157	1,926,186
All other administration	7,031,240	7,569,074	6,979,982	7,719,470	7,866,326
Plant services	10,536,308	11,708,117	11,459,592	12,681,746	13,755,899
Facility acquisition and construction	383,639	--	--	--	--
Transfers to other agencies	<u>6,416,501</u>	<u>7,028,995</u>	<u>7,374,383</u>	<u>7,773,378</u>	<u>8,464,983</u>
Total Expenditures	150,928,612	163,315,531	158,004,901	168,242,218	186,255,947
Excess (Deficiency) of Revenues Over Expenditures	1,450,981	(1,252,890)	(3,181,154)	(162,163)	(383,289)
Other Financing Sources (Uses):					
Interfund transfers in	2,715,345	2,000,000	--	--	--
Other sources	--	--	--	--	--
Interfund transfers out	<u>(715,345)</u>	--	--	--	--
Total Other Financing Sources (Uses)	2,000,000	2,000,000	--	--	--
Net Change in Fund Balances	3,450,981	747,110	(3,181,154)	(162,163)	(383,289)
Fund Balance at Beginning of Year	17,767,362	23,282,663	21,990,983	18,809,829	18,647,666
Adjustments	2,064,320 ⁽¹⁾	(2,038,790) ⁽²⁾	--	--	--
Fund Balance at Beginning of Year, as Restated	<u>19,831,682</u>	<u>21,243,873</u>	<u>21,990,983</u>	<u>18,809,829</u>	<u>18,647,666</u>
Fund Balance at End of Year	<u>\$23,282,663</u>	<u>\$21,990,983</u>	<u>\$18,809,829</u>	<u>\$18,647,666</u>	<u>\$18,264,377</u>

⁽¹⁾ Reflects the implementation of Governmental Accounting Standards Board Statement No. 54, which required the reclassification of certain of the District's non-governmental funds as general fund activities.

⁽²⁾ In fiscal year 2011-12, the District took formal action to commit funds on deposit in its Deferred Maintenance Fund to specific purposes. This required a restatement and inclusion within non-general fund activities, per GASB Statement No. 54.

Source: Anaheim Elementary School District.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California School Accounting Manual. This manual, according to Section 41010 of the California Education Code, is to be followed by all California school districts. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

ANAHEIM ELEMENTARY SCHOOL DISTRICT

The information in this section concerning the operations of the District and the District's operating budget are provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. The Bonds will be payable solely from the proceeds of an ad valorem tax which is required to be levied by the County in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources for Payment" herein.

Introduction

The Anaheim Elementary School District (the "District") began operations in 1867 and was previously known as the "Anaheim City School District." The District's territory covers approximately 22 square miles in Orange County (the "County"), California, and includes a large portion of the City of Anaheim. The District currently operates 24 elementary schools and serves a resident population of approximately 350,000. For fiscal year 2016-17, the District has a projected ADA of 17,985 students, and taxable property within the District has a fiscal year 2015-16 assessed valuation of \$ 22,261,790,863.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the District and copies of subsequent audited financial reports of the District may be obtained by contacting: Anaheim Elementary School District, Attention: Superintendent.

Administration

The District is governed by a five-member Board of Education (the "Board"), each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their offices and the dates their term expires, are listed below:

BOARD OF EDUCATION Anaheim Elementary School District

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Jeff Cole	President	December 2018
Jackie Filbeck	Member	December 2016
Bob Gardner	Member	December 2016
D.R. Heywood	Member	December 2018
Ryan A. Ruelas	Member	December 2018

The Superintendent of the District is responsible for administering the affairs of the District in accordance with the policies of the Board. Currently, Dr. Linda Wagner is the Superintendent of the

District. Brief biographies of the Superintendent and the Assistant Superintendent, Administrative Services follow:

Dr. Linda Wagner, Superintendent. Dr. Wagner was appointed as Superintendent of the District in March of 2013. Previously, Dr. Wagner served as the Superintendent of the Monrovia Unified School District for four years. Dr. Wagner's other prior positions include serving as Superintendent of Keppel Union School District and Acton-Agua Dulce Unified School District, as well as serving other school districts as an Assistant Superintendent, principal and teacher. Dr. Wagner has over 26 years of experience in education. She received her Bachelor of Arts, Master of Arts and Doctorate degrees from the University of La Verne.

David A. Rivera, Assistant Superintendent, Administrative Services. Mr. Rivera has served as the Assistant Superintendent, Administrative Services of the District since December of 2014. Previously, he served as the Chief Business Office of the Covina Valley Unified School District for three years. His other prior positions include serving as Assistant Superintendent, Business Services of the South Whittier School District for three years and Director of Fiscal Services at Norwalk-La Mirada Unified School District for over 13 years. Mr. Rivera received his bachelor's degree in management from Pepperdine University.

District Growth

The following table shows an eight-year enrollment history for the District, together with a projection for fiscal year 2016-17.

HISTORICAL ENROLLMENT		
Anaheim Elementary School District		
Fiscal Years 2008-09 through 2016-17		
<u>Fiscal Year</u>	<u>Enrollment</u>	<u>% Change</u>
2008-09	19,278	--
2009-10	19,312	0.18%
2010-11	19,095	(1.12)
2011-12	19,310	1.13
2012-13	19,125	(0.96)
2013-14	19,308	0.96
2014-15	19,248	(0.75)
2015-16	18,711	(2.36)
2016-17 ⁽¹⁾	18,483	(1.22)

⁽¹⁾ Projected.

Note: Fiscal year 2008-09 through 2012-13 enrollment as of October report submitted to the California Basic Educational Data System ("CBEDS"). Fiscal years 2013-14 through 2015-16 reflect certified enrollment as of the fall census day reported CALPADS.

Source: Anaheim Elementary School District.

Labor Relations

The District currently employs 1,001 full-time certificated employees and 431 classified employees. In addition, the District employs 958 part-time faculty and staff. These employees, except management and some part-time employees, are represented by three bargaining units as noted below:

LABOR RELATIONS Anaheim Elementary School District

<u>Labor Organization</u>	<u>Number of Employees in Organization</u>	<u>Contract Expiration Date</u>
Anaheim City School District Educators' Association	925	June 30, 2017
Classified School Employees Association	628	June 30, 2018

Source: Anaheim Elementary School District.

Retirement Programs

The information set forth below regarding the District's retirement programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the District, the Financial Advisor or the Underwriters.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the State Teachers' Retirement System ("STRS"). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State recently passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 (“AB 1469”) into law as a part of the State’s fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the “2014 Liability”), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate will increase over a three-year phase-in period in accordance with the following schedule:

**MEMBER CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205

Source: AB 1469.

Pursuant to AB 1469, K-14 school districts’ contribution rate will increase over a seven-year phase-in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 school districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter the STRS Teachers’ Retirement Board (the “STRS Board”), is required to increase or decrease the K-14 school districts’ contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members’ contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The District’s contributions to STRS were \$6,480,586 in fiscal year 2011-12, \$6,259,060 in fiscal year 2012-13, \$6,746,487 in fiscal year 2013-14 and \$7,805,731 in fiscal year 2014-15. The District has

projected \$10,287,500 for its contribution to STRS for fiscal year 2015-16. The District has budgeted \$12,179,730 for its contribution to STRS in fiscal year 2016-17.

The State also contributes to STRS, currently in an amount equal to 4.891% of teacher payroll for fiscal year 2015-16. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Pursuant to AB 1469, the State contribution rate will increase over a three year period to a total of 6.328% in fiscal year 2016-17. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants at June 30, 2014 included 1,580 public agencies and 1,513 K-14 school districts. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. The District is currently required to contribute to PERS at an actuarially determined rate, which is 11.847% of eligible salary expenditures for fiscal year 2015-16 and 13.888% in fiscal year 2016-17. Participants enrolled in PERS prior to January 1, 2013 contribute 7% of their respective salaries, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 6% of their respective salaries for fiscal year 2015-16 and fiscal year 2016-17. See "—California Public Employees' Pension Reform Act of 2013" herein.

The District's contributions to PERS were \$2,590,922 in fiscal year 2011-12, \$2,653,928 in fiscal year 2012-13, \$2,849,091 in fiscal year 2013-14 and \$3,214,651 in fiscal year 2014-15. The District has projected \$3,599,948 for its contribution to PERS for fiscal year 2015-16. The District has budgeted \$4,340,127 for its contribution to PERS in fiscal year 2016-17.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The following table summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are “forward-looking” information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

FUNDED STATUS
STRS (Defined Benefit Program) and PERS
(Dollar Amounts in Millions) ⁽¹⁾
Fiscal Years 2010-11 through 2014-15

<u>STRS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA) ⁽²⁾</u>	<u>Unfunded Liability (MVA) ⁽²⁾⁽³⁾</u>	<u>Value of Trust Assets (AVA) ⁽⁴⁾</u>	<u>Unfunded Liability (AVA) ⁽⁴⁾</u>
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718
2014-15	241,753	180,633	72,626	165,553	76,200

<u>PERS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA) ⁽²⁾</u>	<u>Unfunded Liability (MVA) ⁽²⁾</u>	<u>Value of Trust Assets (AVA) ⁽⁴⁾</u>	<u>Unfunded Liability (AVA) ⁽⁴⁾</u>
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁵⁾	-- ⁽⁵⁾
2014-15 ⁽⁶⁾	73,325	56,814	16,511	-- ⁽⁵⁾	-- ⁽⁵⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets.

⁽³⁾ Excludes assets allocated to the SBPA reserve.

⁽⁴⁾ Reflects actuarial value of assets.

⁽⁵⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

⁽⁶⁾ On April 19, 2016, the PERS Finance & Administration Committee approved the K-14 school district contribution rate for fiscal year 2016-17 and released certain actuarial information to be incorporated into the June 30, 2015 actuarial valuation to be released in summer 2016.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

The STRS Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the STRS Defined Benefit Program. The following are certain of the actuarial assumptions adopted by the STRS Board with respect to the STRS Defined Benefit Program Actuarial Valuation for fiscal year 2014-15: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” 7.50% investment rate of return (net of investment and administrative expenses), 4.50% interest on member accounts, 3.75% projected wage growth, and 3.00% projected inflation. According to the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2015, the future revenue from contributions and appropriations for the STRS Defined Benefit Program was projected to be sufficient to finance its obligations. This finding reflects the scheduled contribution increases specified in AB 1469 and is based on the valuation assumptions and the valuation policy adopted by the STRS Board.

In recent years, the PERS Board of Administration (the “PERS Board”) has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS’ rate of expected price inflation and its investment rate of return (net of administrative expenses) (the “PERS Discount Rate”) from 7.75% to 7.5%. As one consequence of such decrease, the annual contribution amounts paid by PERS member public agencies, including the District, have been increased by 1 to 2% for miscellaneous plans and by 2 to 3% for safety plans beginning in fiscal year 2013-14. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board voted to reduce the PERS Discount Rate to 6.5% over a period of 20 years. This change could result in increased contributions over time from both employers and employees.

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions will first be reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District’s required contributions to PERS will not increase in the future.

California Public Employees’ Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees’ Pension Reform Act of 2013 (the “Reform Act”), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the “Implementation Date”). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25

years of service), and (iii) caps “pensionable compensation” for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, the Governmental Accounting Standards Board (“GASB”) approved Statements Nos. 67 and 68 (“Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

For fiscal year ending June 30, 2015, the District’s proportionate share of the net STRS pension liability was \$105,123,270. As of such date, the District’s proportionate share of the net PERS pension liability was \$26,871,628. For more information, see Note 12 to the fiscal year 2014-15 audited financial statements of the District included as APPENDIX B hereto.

Other Post-Employment Benefits

Plan Description. The District administers a single-employer defined benefit healthcare plan (the “Plan”). The Plan provides health, dental and vision benefits (the “Benefits”) to certificated and classified employees age 55 retiring with at least 10 years of service until age 65. Retirees may enroll their dependents under the Plan, but the cost of premiums for such dependents is borne by the retiree. As of June 30, 2015, membership of the plan consisted of 134 retirees and beneficiaries currently receiving benefits and 1,356 active plan members.

Funding Policy. The District currently finances benefits on a “pay-as-you-go” basis to cover the cost of insurance premiums for current retirees. For Fiscal Year 2014-15, the District paid \$3,315,143 to the Plan. For Fiscal Year 2015-16, the District contributed \$1,917,897 to the Plan. For Fiscal Year 2016-17, the District has budgeted a contribution of \$2,999,910 to the Plan.

Accrued Liability. The District has implemented *Governmental Accounting Standards Board Statement #45, Accounting and Financial Reporting by Employers for Postemployment Benefit Plans*

Other Than Pension Plans, pursuant to which the District has commissioned and received several actuarial studies of its outstanding liabilities with respect to the Post-Employment Benefits. The most recent of these studies (the “Study”) determined that the unfunded actuarial accrued liability (the “UAAL”) with respect to the Post-Employment Benefits, as of a July 1, 2015 valuation date, was \$67,239,302. The Study also concluded that the annual required contribution (“ARC”) for fiscal year 2015-16 was \$4,503,714. The ARC is the amount that would be necessary to fund the value of future benefits earned by current employees during each fiscal year (the “Normal Cost”) and the amount necessary to amortize the UAAL, in accordance with the GASB Statements Nos. 43 and 45.

As of June 30, 2015 the District recognized a net long-term obligation of \$15,114,760 with respect to the Benefits (the “Net OPEB Obligation”), based on the District’s contributions towards the ARC during fiscal year 2014-15, as adjusted for changes to the ARC and interest on the prior year’s Net OPEB Obligation. See “DISTRICT FINANCIAL INFORMATION – District Debt Structure – Long-Term Debt” and “APPENDIX B –THE DISTRICT’S FISCAL YEAR 2014-15 AUDITED FINANCIAL STATEMENTS – Note 11” herein.

Risk Management

The District is exposed to various risks of loss related to property, general liability, workers’ compensation and employee benefits. These risks are addressed through a combination of commercial insurance, self-insurance (for workers’ compensation only), and participation in certain public entity risk pools.

The District participates in the (i) Alliance for Schools of Cooperative Insurance Programs (“ASCIP”), which arranges for and provides workers’ compensation insurance and claims managements, and property and liability insurance coverage, and (ii) the Schools Excess Liability Fund (“SELF”) for excess liability coverage. The relationship between the District and each of ASCIP and SELF is such that the such insurance pools are not component units of the District for financial reporting purposes.

There are several claims pending with respect to District employees. In the opinion of the District, the related liability, if any, stemming from these claims will not materially affect the financial condition of the District. Settled claims have not exceeded available insurance coverages in the past three fiscal years. Based upon prior claims experience, the District believes that it has adequate insurance coverage. For more information, see “APPENDIX B –THE DISTRICT’S 2014-15 AUDITED FINANCIAL STATEMENTS – Note 14” herein.

District Debt Structure

Long-Term Debt. A schedule of changes in long-term debt for the year ended June 30, 2015 is shown below:

	Balance July 1, 2014	Additions	Deletions	Balance June 30, 2015
General obligation bonds	\$171,320,614	\$3,067,327	\$6,875,000	\$167,512,941
Unamortized premium	3,976,604	--	767,505	3,209,099
Unamortized discount	(158,009)	--	(32,674)	(125,335)
Total general obligation bonds	175,139,209	\$3,067,327	7,609,831	170,596,705
Early retirement incentive	1,275,201	--	611,454	663,747
Compensated absences	788,123	76,417	--	864,540
Net OPEB Obligation	14,380,168	734,592	--	15,114,760
Net pension liability	164,718,733	--	32,723,835	131,994,898
Total	<u>\$356,301,434</u>	<u>\$3,878,336</u>	<u>\$40,945,120</u>	<u>\$319,234,650</u>

Source: Anaheim Elementary School District.

Bond Anticipation Notes. The 2011A Notes mature on November 1, 2016 and yield interest at a rate of 2.80%. The 2011B Notes maturing on November 1, 2016 and yield interest at a rate of 3.128%. The Prior Notes were issued to finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities, in anticipation of proceeds from general obligation bonds to be issued by the District pursuant to the 2010 Authorization. The Prior Notes are an obligation of the District payable from (i) proceeds of a future sale of such bonds, or (ii) from other funds of the District lawfully available for the purpose of repaying the Notes. Following the application and deposit of a portion of the proceeds of the Bonds as described in "THE BONDS – Application and Investment of Bond Proceeds" herein, all obligations of the District with respect to the Prior Notes will terminate.

General Obligation Bonds. The District has issued general obligation bonds pursuant to two voter-approved authorizations, as well as several series of general obligation refunding bonds to refinance portions thereof. The following table shows the currently outstanding prior bond issuances of the District (not including the Bonds).

OUTSTANDING GENERAL OBLIGATION BONDS Anaheim Elementary School District

Bond Issuance	Initial Principal Amount	Principal Currently Outstanding⁽¹⁾	Date of Delivery
Election of 2002, Series 2004	\$33,653,461.45	\$485,168.65	June 10, 2004
Election of 2002, Series 2007	44,881,415.65	38,421,415.65	February 13, 2007
Election of 2010, Series 2011	29,998,482.10	24,830,000.00	April 13, 2011
2014 Refunding Bonds, Series A	5,375,000.00	4,910,000.00	March 26, 2014
2014 Refunding Bonds, Series B	45,710,000.00	40,145,000.00	March 26, 2014

⁽¹⁾ As of August 1, 2016. Includes principal of Refunded Bonds of the District expected to be refinanced with proceeds of the Refunding Bonds.

The table on the following page shows the combined debt service schedule with respect to the total outstanding general obligation debt of the District, including the Bonds (and assuming no optional redemptions).

OUTSTANDING BONDED INDEBTEDNESS⁽¹⁾
Anaheim Elementary School District

Year Ending (Aug. 1)	Series 2004 Bonds	Series 2007 Bonds	2014 Refunding Bonds Series A	2014 Refunding Bonds Series B	The Bonds	Total Annual Debt Service
2017	\$955,000.00	\$792,300.00	\$640,750.00	\$5,014,451.80	\$5,338,931.26	\$12,741,433.06
2018	--	-	789,550.00	6,062,074.20	4,577,812.52	11,429,436.72
2019	--	-	826,750.00	6,345,200.80	4,719,212.52	11,891,163.32
2020	--	-	870,250.00	6,644,595.60	3,697,012.52	11,211,858.12
2021	--	820,000.00	910,000.00	6,950,462.80	2,867,412.52	11,547,875.32
2022	--	775,000.00	956,000.00	7,273,710.00	3,129,212.52	12,133,922.52
2023	--	725,000.00	1,002,750.00	7,610,372.50	3,260,012.52	12,598,135.02
2024	--	9,970,000.00	--	--	3,409,612.52	13,379,612.52
2025	--	10,325,000.00	--	--	3,572,012.52	13,897,012.52
2026	--	10,695,000.00	--	--	3,731,412.52	14,426,412.52
2027	--	11,075,000.00	--	--	3,902,612.52	14,977,612.52
2028	--	11,475,000.00	--	--	4,084,812.52	15,559,812.52
2029	--	11,885,000.00	--	--	4,272,012.52	16,157,012.52
2030	--	12,320,000.00	--	--	4,465,718.76	16,785,718.76
2031	--	12,770,000.00	--	--	4,670,193.76	17,440,193.76
2032	--	--	--	--	4,889,543.76	4,889,543.76
2033	--	--	--	--	5,107,418.76	5,107,418.76
2034	--	--	--	--	5,343,043.76	5,343,043.76
2035	--	--	--	--	5,581,431.26	5,581,431.26
2036	--	--	--	--	5,836,156.26	5,836,156.26
2037	--	--	--	--	6,101,562.50	6,101,562.50
2038	--	--	--	--	6,376,437.50	6,376,437.50
2039	--	--	--	--	6,665,312.50	6,665,312.50
2040	--	--	--	--	6,967,500.00	6,967,500.00
2041	--	--	--	--	5,612,312.50	5,612,312.50
2042	--	--	--	--	5,839,987.50	5,839,987.50
2043	--	--	--	--	6,072,900.00	6,072,900.00
2044	--	--	--	--	6,317,250.00	6,317,250.00
2045	--	--	--	--	6,569,450.00	6,569,450.00
2046	--	--	--	--	6,828,900.00	6,828,900.00
Total	<u>\$955,000.00</u>	<u>\$93,627,300.00</u>	<u>\$5,996,050.00</u>	<u>\$45,900,867.70</u>	<u>\$149,807,200.32</u>	<u>\$296,286,418.02</u>

⁽¹⁾ Does not include debt service on the Refunded Bonds.

TAX MATTERS

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of corporations.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner’s basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

Bond Counsel’s opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the “Code”), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner’s original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner’s basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the “IRS”) has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE INTEREST ON THE BONDS OR THE MARKET VALUE OF THE BONDS. LEGISLATIVE CHANGES HAVE BEEN PROPOSED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME TAX BEING IMPOSED ON CERTAIN OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS SUCH AS THE BONDS. THE INTRODUCTION OR ENACTMENT OF ANY SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE BONDS, SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of bond counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) with respect to the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

Proposed forms of the opinions of Bond Counsel for the Series 2016 Bonds and Refunding Bonds are attached hereto as APPENDIX A.

LEGAL MATTERS

Legality for Investment in California

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and under provisions of the California Government Code, are eligible for security for deposits of public moneys in the State.

Continuing Disclosure

Current Undertaking. In connection with the issuance of the Bonds, the District has covenanted for the benefit of Owners and Beneficial Owners of the Bonds to provide certain financial information and operating data relating to the District (the “Annual Reports”) by not later than nine months following the end of the District’s fiscal year (the District’s fiscal year ends on June 30), commencing with the report for the 2015-16 fiscal year (which is due not later than April 1, 2016), and to provide notices of the occurrence of certain enumerated events. The Annual Reports and notices of material events will be filed by the District in accordance with the requirements of the Rule. The specific nature of the information to be contained in the Annual Reports or the notices of material events is included in “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS” attached hereto. These covenants have been made in order to assist the Underwriters in complying with the Rule.

Previous Undertakings. Within the past five years, the District failed to associate the annual report for fiscal year 2010-11 with the 2011 Notes, as required by the undertaking taken in connection with the 2011 Notes pursuant to the Rule. In addition, certain portions of the annual report for fiscal year 2010-11 were filed one day after the date required by the District’s prior undertakings pursuant to the Rule. Within the past five years, the District also failed to file notices of certain listed events, as required by its prior undertakings pursuant to the Rule.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District’s ability to receive *ad valorem* taxes or to collect other revenues or contesting the District’s ability to issue and retire the Bonds.

Information Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 (“TIPRA”). Under Section 6049 of the Internal Revenue Code of 1986, as amended by TIPRA, interest paid on tax-exempt obligations is subject to information reporting in a manner similar to interest paid on taxable obligations. The effective date of this provision is for interest paid after December 31, 2005, regardless of when the tax-exempt obligations were issued. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Legal Opinions

The validity of the Bonds and certain other legal matters are subject to the approving opinions of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, as Bond Counsel. Copies of the proposed forms of such legal opinions are attached to this Official Statement as APPENDIX A.

Verification

Upon delivery of the Bonds, Causey Demgen & Moore P.C., Denver, Colorado, will deliver a report on the mathematical accuracy of certain computations based upon certain information and assertions assumptions provided to them relating to (a) the adequacy of moneys held in the Escrow Fund as cash, to pay the redemption price of and interest on the Refunded Bonds.

MISCELLANEOUS

Ratings

The Bonds have been assigned ratings of “Aa3” and “AA-” by Moody’s Investors Service (“Moody’s”) and S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”), respectively. The ratings reflect only the view of the rating agencies, and any explanation of the significance of such ratings should be obtained from the rating agencies at the following addresses: Moody’s Investors Service, 7 World Trade Center at 250 Greenwich Street, New York, NY 10007; Standard & Poor’s, 55 Water Street, 45th Floor, New York, New York 10041. There is no assurance that the ratings will be retained for any given period of time or that the same will not be revised downward or withdrawn entirely by the rating agencies if, in the judgment of the rating agencies, circumstances so warrant. The District undertakes no responsibility to oppose any such revision or withdrawal. Any such downward revision or withdrawal of the ratings obtained may have an adverse effect on the market price of the Bonds.

Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement), and on independent investigations, studies and assumptions by such rating agencies.

The District has covenanted in a Continuing Disclosure Certificate to file on the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access website (“EMMA”) notices of any rating changes on the Bonds. See “APPENDIX C - FORM OF CONTINUING DISCLOSURE” attached hereto. Notwithstanding such covenant, information relating to rating changes on the Bonds may be publicly available from the rating agencies prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to the rating agencies and their respective websites and official media outlets for the most current rating changes with respect to the Bonds after the initial issuance of the Bonds.

Financial Statements

The financial statements with supplemental information for the year ended June 30, 2015, the independent auditor’s report of the District, and the related statements of activities and of cash flows for the year then ended, and the report of Vavrinek, Trine, Day & Co., LLP (the “Auditor”) dated December 14, 2015, are included in this Official Statement as APPENDIX B. In connection with the inclusion herein, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

Underwriting

Purchase of Bonds. Pursuant to the terms of a Notice Inviting Proposals for Purchase of Series 2016 Bonds (the “Series 2016 Notice Inviting Proposals”), the Series 2016 Bonds were awarded to Robert W. Baird & Co. Inc., as underwriter therefor (the “Underwriter”), at a True Interest Cost of 2.914071%. The Underwriter will purchase all of the Series 2016 Bonds for a purchase price of \$61,776,938.21 (which is equal to the principal amount of the Series 2016 Bonds of \$61,475,000.00, plus original issue premium of \$1,016,800.25, and less \$714,862.04 of underwriting discount).

Pursuant to the terms of a Notice Inviting Proposals for Purchase of Refunding Bonds (the “Refunding Notice Inviting Proposals” and together with the Series 2016 Notice Inviting Proposals, the “Notices Inviting Proposals”), the Refunding Bonds were awarded to Robert W. Baird & Co., Inc., as underwriter therefor, at a True Interest Cost of 2.704758%. The Underwriter will purchase all of the Refunding Bonds for a purchase price of \$33,714,100.36 (which is equal to the principal amount of the Refunding Bonds of \$33,555,000.00, plus original issue premium of \$623,008.30, and less \$463,907.94 of underwriting discount).

The Notices Inviting Proposals provides that the Underwriter will purchase all of the Bonds, if any are purchased. The initial offering prices stated on the inside cover of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell Bonds to certain dealers and others at prices lower than such initial offering prices.

Additional Information

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolution providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

Some of the data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. This Official Statement has been approved by the District.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended only as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners, beneficial or otherwise, of any of the Bonds. This Official Statement and the delivery thereof have been duly approved and authorized by the District.

ANAHEIM ELEMENTARY SCHOOL DISTRICT

By _____ /s/ Dr. Linda Wagner
Superintendent

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APPENDIX A

FORMS OF OPINIONS OF BOND COUNSEL FOR THE BONDS

Upon issuance of the Series 2016 Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion with respect to the Series 2016 Bonds in substantially the following form:

September 7, 2016

Board of Education
Anaheim Elementary School District

Members of the Board of Education:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$61,475,000 Anaheim Elementary School District (Orange County, California) General Obligation Bonds, Election of 2010, Series 2016 (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code of the State of California (the “Act”), commencing with Section 53506 et seq., a fifty-five percent vote of the qualified electors of the Anaheim Elementary School District (the “District”) voting at an election held on November 6, 2010, and a resolution of the Board of Education of the District (the “Resolution”).

2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.

3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

4. Interest on the Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the

Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases and the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

Upon issuance of the Refunding Bonds, Stradling Yocca Carlson & Rauth, a Professional Corporation, Bond Counsel, proposes to render its final approving opinion with respect to the Refunding Bonds in substantially the following form:

September 7, 2016

Board of Education
Anaheim Elementary School District

Members of the Board of Education:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$33,555,000 Anaheim Elementary School District (Orange County, California) 2016 General Obligation Refunding Bonds (the "Bonds"). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, and a resolution (the "Resolution") of the Board of Education of the Anaheim Elementary School District (the "District").
2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.
4. Interest on the Bonds is exempt from State of California personal income tax.
5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases and the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

APPENDIX B

THE DISTRICT'S 2014-15 AUDITED FINANCIAL STATEMENTS

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ANAHEIM CITY SCHOOL DISTRICT

AUDIT REPORT

JUNE 30, 2015

San Diego

Los Angeles

San Francisco
Bay Area

christywhite
A PROFESSIONAL
ACCOUNTANCY CORPORATION
associates

**ANAHEIM CITY SCHOOL DISTRICT
OF ORANGE COUNTY**

ANAHEIM, CALIFORNIA

JUNE 30, 2015

The Anaheim City School District began operations in 1867, and encompasses an area of approximately twenty-two square miles located in Orange County. The District is currently operating twenty-four elementary schools.

GOVERNING BOARD

Member	Office	Term Expires
Bob Gardner	President	November 2016
Jeff Cole, Ed.D.	Clerk	November 2018
Ryan A. Ruelas	Member	November 2018
David Robert D.R. Heywood	Member	November 2018
Jackie Filbeck	Member	November 2016

DISTRICT ADMINISTRATORS

Linda Wagner, Ed.D.
Superintendent

Mary O. Grace, Ed.D.
Assistant Superintendent, Educational Services

David A. Rivera
Assistant Superintendent, Administrative Services

Luis Camarena
Assistant Superintendent, Human Resources

**ANAHEIM CITY SCHOOL DISTRICT
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FINANCIAL SECTION



INDEPENDENT AUDITORS' REPORT

Christy White, CPA

Michael Ash, CPA

Heather Rubio

SAN DIEGO
LOS ANGELES
SAN FRANCISCO/BAY AREA

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www.christywhite.com

*Licensed by the California
State Board of Accountancy*

Governing Board
Anaheim City School District
Anaheim, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Anaheim City School District, as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the Anaheim City School District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of Anaheim City School District, as of June 30, 2015, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of a Matter

As described in Note 1 to the financial statements, in 2015 Anaheim City School District adopted new accounting guidance, Governmental Accounting Standards Board Statement No. 68, *Accounting and Financial Reporting for Pensions*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the required supplementary information, such as management's discussion and analysis, budgetary comparison information, schedule of funding progress for OPEB benefits, schedules of proportionate share of net pension liability, and schedules of District contributions for pensions be presented to supplement the basic financial statements. Such information, although not part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Anaheim City School District's basic financial statements. The supplementary information listed in the table of contents, including the schedule of expenditures of Federal awards, which is required by the U.S. Office of Management and Budget Circular A-133, *Audits of State, Local Governments, and Non-Profit Organizations*, is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The supplementary information listed in the table of contents is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 14, 2015 on our consideration of Anaheim City School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Anaheim City School District's internal control over financial reporting and compliance.

Christy White Associates

San Diego, California
December 14, 2015

ANAHEIM CITY SCHOOL DISTRICT MANAGEMENT'S DISCUSSION AND ANALYSIS

INTRODUCTION

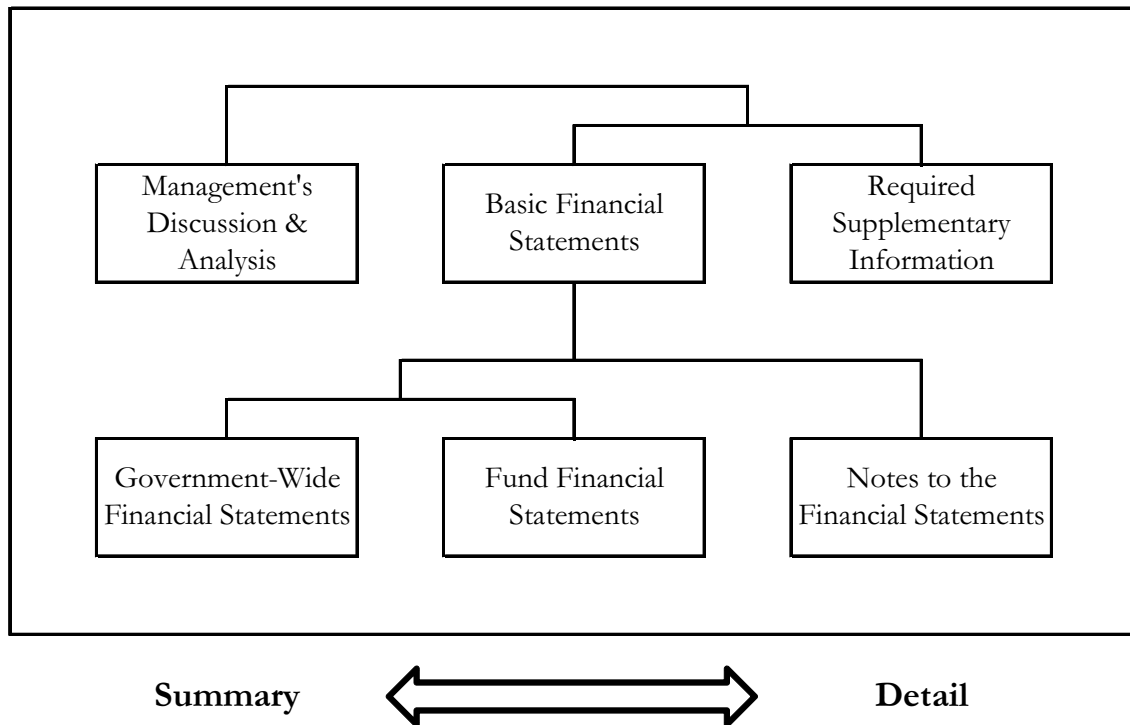
Our discussion and analysis of Anaheim City School District's (District) financial performance provides an overview of the District's financial activities for the fiscal year ended June 30, 2015. It should be read in conjunction with the District's financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- The District's net position was \$16,695,658 at June 30, 2015. This was an increase of \$126,612 from the prior year after restatement.
- Overall revenues were \$211,616,058 which exceeded expenses of \$211,489,446.

OVERVIEW OF FINANCIAL STATEMENTS

Components of the Financials Section



ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, *continued*
FOR THE YEAR ENDED JUNE 30, 2015

This annual report consists of three parts – Management's Discussion and Analysis (this section), the basic financial statements, and required supplementary information. The three sections together provide a comprehensive overview of the District. The basic financial statements are comprised of two kinds of statements that present financial information from different perspectives:

- **Government-wide financial statements**, which comprise the first two statements, provide both short-term and long-term information about the entity's overall financial position.
- **Fund financial statements** focus on reporting the individual parts of District operations in more detail. The fund financial statements comprise the remaining statements.
 - ▶ **Governmental Funds** provide a detailed *short-term* view that helps you determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.
 - ▶ **Proprietary Funds** report services for which the District charges customers a fee. Like the government-wide statements, they provide both long- and short-term financial information.
 - ▶ **Fiduciary Funds** report balances for which the District is a custodian or *trustee* of the funds, such as Associated Student Bodies and pension funds.

The financial statements also include notes that explain some of the information in the statements and provide more detailed data. The basic financial statements are followed by a section of required and other supplementary information that further explain and support the financial statements.

Government-Wide Statements

The government-wide statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the government's assets and liabilities. All of the current year's revenues and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health. Over time, increases or decreases in the District's net position are an indicator of whether its financial health is improving or deteriorating, respectively.

The government-wide financial statements of the District include governmental activities. All of the District's basic services are included here, such as regular education, food service, maintenance and general administration. Revenue limit funding and federal and state grants finance most of these activities.

**ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2015**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE

Net Position

The District's net position was \$16,695,658 at June 30, 2015, as reflected in the table below. Of this amount, (\$172,970,752) was unrestricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the Governing Board's ability to use that net position for day-to-day operations.

	Governmental Activities		
	2015	2014	Net Change
ASSETS			
Current and other assets	\$ 71,666,827	\$ 90,627,692	\$ (18,960,865)
Capital assets	303,293,076	297,299,677	5,993,399
Total Assets	374,959,903	387,927,369	(12,967,466)
DEFERRED OUTFLOWS OF RESOURCES	11,283,478	-	11,283,478
LIABILITIES			
Current liabilities	23,525,872	24,107,227	(581,355)
Long-term liabilities	310,594,694	191,582,701	119,011,993
Total Liabilities	334,120,566	215,689,928	118,430,638
DEFERRED INFLOWS OF RESOURCES	35,427,157	345,780	35,081,377
NET POSITION			
Net investment in capital assets	165,052,140	163,321,957	1,730,183
Restricted	24,614,270	30,125,157	(5,510,887)
Unrestricted	(172,970,752)	(21,555,453)	(151,415,299)
Total Net Position	\$ 16,695,658	\$171,891,661	\$ (155,196,003)

**ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2015**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE (continued)

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the Statement of Activities. The table below takes the information from the Statement, rounds off the numbers, and rearranges them slightly, so you can see our total revenues, expenses, and special items for the year.

	Governmental Activities		
	2015	2014	Net Change
REVENUES			
Program revenues			
Charges for services	\$ 3,013,151	\$ 2,396,647	\$ 616,504
Operating grants and contributions	38,118,119	40,815,141	(2,697,022)
Capital grants and contributions	7,839,931	12,379,465	(4,539,534)
General revenues			
Property taxes	71,963,501	73,718,169	(1,754,668)
Unrestricted federal and state aid	87,942,028	70,452,799	17,489,229
Other	2,739,328	1,946,107	793,221
Total Revenues	211,616,058	201,708,328	9,907,730
EXPENSES			
Instruction	122,225,959	111,525,424	10,700,535
Instruction-related services	29,686,029	23,106,358	6,579,671
Pupil services	20,110,656	18,647,838	1,462,818
General administration	10,509,715	10,333,661	176,054
Plant services	14,800,903	14,189,162	611,741
Debt service	6,248,648	8,180,625	(1,931,977)
Other Outgo	7,907,536	7,822,592	84,944
Total Expenses	211,489,446	193,805,660	17,683,786
Change in net position	126,612	7,902,668	(7,776,056)
Net Position - Beginning, as Restated	16,569,046	163,988,993	(147,419,947)
Net Position - Ending	\$ 16,695,658	\$171,891,661	\$ (155,196,003)

** Restatement to Beginning Net Position relates to both the 2015 year and the 2014 year*

The cost of all our governmental activities this year was \$211,489,446 (refer to the table above). The amount that our taxpayers ultimately financed for these activities through taxes was only \$71,963,501 because the cost was paid by other governments and organizations who subsidized certain programs with grants and contributions.

**ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2015**

FINANCIAL ANALYSIS OF THE ENTITY AS A WHOLE (continued)

Changes in Net Position (continued)

In the table below we have presented the net cost of each of the District's functions. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

	Net Cost of Services	
	2015	2014
Instruction	\$ 96,835,804	\$ 78,188,017
Instruction-related services	22,640,320	17,292,951
Pupil services	16,136,375	13,938,363
General administration	9,095,232	8,456,573
Plant services	11,712,559	11,448,583
Debt service	6,248,648	8,180,625
Transfers to other agencies	(150,693)	709,295
Total Expenses	\$ 162,518,245	\$ 138,214,407

FINANCIAL ANALYSIS OF THE DISTRICT'S MAJOR FUNDS

The financial performance of the District as a whole is reflected in its governmental funds as well. As the District completed this year, its governmental funds reported a combined fund balance of \$56,042,824, which is less than last year's ending fund balance of \$66,097,999. The District's General Fund had \$383,289 less in operating revenues than expenditures for the year ended June 30, 2015. The Building Fund had \$15,337,234 less in operating revenues than expenditures for the year ended June 30, 2015. The Capital Facilities Fund had \$3,339,935 more in operating revenues than expenditures for the year ended June 30, 2015. The Bond Interest & Redemption Fund had \$3,501,132 less in operating revenues than expenditures for the year ended June 30, 2015.

CURRENT YEAR BUDGET 20142014201420142014-15

During the fiscal year, budget revisions and appropriation transfers are presented to the Board for their approval on a monthly basis to reflect changes to both revenues and expenditures that become known during the year. In addition, the Board of Education approves financial projections included with the Adopted Budget, First Interim, and Second Interim financial reports. The Unaudited Actuals reflect the District's financial projections and current budget based on State and local financial information.

**ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2015**

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

By the end of 201420142014201420142014-15 the District had invested \$303,293,076 in capital assets, net of accumulated depreciation.

	Governmental Activities		
	2015	2014	Net Change
CAPITAL ASSETS			
Land	\$ 47,070,352	\$ 47,070,352	\$ -
Construction in progress	9,679,805	31,772,053	(22,092,248)
Land improvements	10,671,208	10,638,736	32,472
Buildings & improvements	374,505,764	334,982,841	39,522,923
Furniture & equipment	15,474,521	14,890,720	583,801
Accumulated depreciation	(154,108,574)	(142,055,025)	(12,053,549)
Total Capital Assets	\$303,293,076	\$297,299,677	\$ 5,993,399

Long-Term Liabilities

At year-end, the District had \$310,594,694 in long-term liabilities, an increase of 67.3% from last year, primarily due to the implementation of GASB 68 – as shown in the table below. (More detailed information about the District's long-term liabilities is presented in footnotes to the financial statements.)

	Governmental Activities		
	2015	2014	Net Change
LONG-TERM LIABILITIES			
Total general obligation bonds	\$170,596,705	\$175,139,209	\$ (4,542,504)
Early retirement incentive	663,747	1,275,201	(611,454)
Compensated absences	864,540	788,123	76,417
Net OPEB obligation	15,114,760	14,380,168	734,592
Net pension liability	131,994,898	-	131,994,898
Less: current portion of long-term debt	(8,639,956)	(5,891,457)	(2,748,499)
Total Long-term Liabilities	\$310,594,694	\$185,691,244	\$ 124,903,450

**ANAHEIM CITY SCHOOL DISTRICT
MANAGEMENT'S DISCUSSION AND ANALYSIS, continued
FOR THE YEAR ENDED JUNE 30, 2015**

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

At the time these financial statements were prepared and audited, the District was aware of several circumstances that could affect its future financial health.

Landmark legislation passed in Year 2013 reformed California school district finance by creating the Local Control Funding Formula (LCFF). The District continues to analyze the impact of the LCFF on funding for our program offerings and services. The LCFF is designed to provide a flexible funding mechanism that links student achievement to state funding levels. The LCFF provides a per pupil base grant amount, by grade span, that is augmented by supplemental funding for targeted student groups in low income brackets, those that are English language learners and foster youth. The State anticipates all school districts to reach the statewide targeted base funding levels by 2020-21 but the annual amount funded to meet the target is uncertain.

Factors related to LCFF that the District is monitoring includes: (1) estimates of funding in the next budget year and beyond; (2) the Local Control and Accountability Plan (LCAP) that aims to link student accountability measurements to funding allocations; (3) ensuring the integrity of reporting student data through the California Longitudinal Pupil Achievement Data System (CALPADs); and, (4) meeting annual compliance and audit requirements.

The State's economy is expected to grow at a modest rate of about 2%-3% annually over the next two years with little chance of recession, according to the UCLA Anderson Economic Forecast for September 2015. The ability of the State to fund the LCFF and other programs is largely dependent on the strength of the State's economy and remains uncertain.

GASB 68, Accounting and Financial Reporting for Pensions, is effective in the 2014-15 fiscal. The new standard requires the reporting of annual pension cost using an actuarially determined method and a net pension liability is expected to result. The District participates in state employee pensions plans, PERS and STRS, and both are underfunded. The District's proportionate share of the liability is reported in the Statement of Financial Position as of June 30, 2015. The amount of the liability is material to the financial position of the District. To address the underfunding issues, the pension plans intend to raise employer rates in future years and the increased costs could be significant.

Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, inter-district transfers in or out, economic conditions and housing values. Losses in enrollment will cause a school district to lose operating revenues without necessarily permitting the district to make adjustments in fixed operating costs.

All of these factors were considered in preparing the District's budget for the 2015-16 fiscal year.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the District's Business Office, Anaheim City School District, 1001 S. East Street, Anaheim, California 92805.

ANAHEIM CITY SCHOOL DISTRICT
STATEMENT OF NET POSITION
JUNE 30, 2015

	Governmental Activities
ASSETS	
Cash and cash equivalents	\$ 59,515,067
Accounts receivable	11,945,262
Inventory	206,498
Capital assets, not depreciated	56,750,157
Capital assets, net of accumulated depreciation	246,542,919
Total Assets	374,959,903
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows related to pensions	11,283,478
Total Deferred Outflows of Resources	11,283,478
LIABILITIES	
Accrued liabilities	14,838,742
Unearned revenue	47,174
Long-term liabilities, current portion	8,639,956
Long-term liabilities, non-current portion	310,594,694
Total Liabilities	334,120,566
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows related to pensions	35,119,797
Deferred amount on refunding	307,360
Total Deferred Inflows of Resources	35,427,157
NET POSITION	
Net investment in capital assets	165,052,140
Restricted:	
Capital projects	16,675,001
Debt service	4,915,020
Educational programs	3,024,249
Unrestricted	(172,970,752)
Total Net Position	\$ 16,695,658

The accompanying notes are an integral part of these financial statements.

**ANAHEIM CITY SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2015**

Function/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	
GOVERNMENTAL ACTIVITIES					
Instruction	\$ 122,225,959	\$ 239,622	\$ 17,310,602	\$ 7,839,931	\$ (96,835,804)
Instruction-related services					
Instructional supervision and administration	13,660,343	86,493	6,643,950	-	(6,929,900)
Instructional library, media, and technology	2,442,732	-	305,048	-	(2,137,684)
School site administration	13,582,954	374	9,844	-	(13,572,736)
Pupil services					
Home-to-school transportation	6,275,318	-	69,816	-	(6,205,502)
Food services	493,764	-	472,030	-	(21,734)
All other pupil services	13,341,574	73,431	3,359,004	-	(9,909,139)
General administration					
Centralized data processing	2,002,000	-	-	-	(2,002,000)
All other general administration	8,507,715	12,739	1,401,744	-	(7,093,232)
Plant services	14,800,903	1,578,896	1,509,448	-	(11,712,559)
Interest on long-term debt	6,248,648	-	-	-	(6,248,648)
Other Outgo	7,907,536	1,021,596	7,036,633	-	150,693
Total Governmental Activities	\$ 211,489,446	\$ 3,013,151	\$ 38,118,119	\$ 7,839,931	(162,518,245)
General revenues					
Taxes and subventions					
Property taxes, levied for general purposes					64,355,428
Property taxes, levied for debt service					6,369,713
Property taxes, levied for other specific purposes					1,238,360
Federal and state aid not restricted for specific purposes					87,942,028
Interest and investment earnings					128,553
Miscellaneous					2,610,775
Subtotal, General Revenue					162,644,857
CHANGE IN NET POSITION					126,612
Net Position - Beginning, as Restated					16,569,046
Net Position - Ending					\$ 16,695,658

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
GOVERNMENTAL FUNDS
BALANCE SHEET
JUNE 30, 2015

	General Fund	Building Fund	Capital Facilities Fund	Bond Interest & Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
ASSETS						
Cash and cash equivalents	\$ 17,962,549	\$ 14,003,768	\$ 12,800,729	\$ 7,386,612	\$ 4,763,402	\$ 56,917,060
Accounts receivable	10,234,984	5,613	1,156,537	-	370,190	11,767,324
Due from other funds	124,983	78	-	-	7,721	132,782
Stores inventory	206,498	-	-	-	-	206,498
Total Assets	\$ 28,529,014	\$ 14,009,459	\$ 13,957,266	\$ 7,386,612	\$ 5,141,313	\$ 69,023,664
LIABILITIES						
Accrued liabilities	\$ 9,638,201	\$ 2,091,170	\$ 13,187	\$ -	\$ 333,063	\$ 12,075,621
Due to other funds	579,262	-	2,259	-	276,524	858,045
Unearned revenue	47,174	-	-	-	-	47,174
Total Liabilities	10,264,637	2,091,170	15,446	-	609,587	12,980,840
FUND BALANCES						
Nonspendable	281,498	-	-	-	-	281,498
Restricted	2,933,350	11,918,289	13,941,820	7,386,612	2,824,080	39,004,151
Committed	-	-	-	-	1,707,646	1,707,646
Unassigned	15,049,529	-	-	-	-	15,049,529
Total Fund Balances	18,264,377	11,918,289	13,941,820	7,386,612	4,531,726	56,042,824
Total Liabilities and Fund Balances	\$ 28,529,014	\$ 14,009,459	\$ 13,957,266	\$ 7,386,612	\$ 5,141,313	\$ 69,023,664

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT
OF NET POSITION
JUNE 30, 2015

Total Fund Balance - Governmental Funds \$ 56,042,824

Amounts reported for assets and liabilities for governmental activities in the statement of net position are different from amounts reported in governmental funds because:

Capital assets:

In governmental funds, only current assets are reported. In the statement of net position, all assets are reported, including capital assets and accumulated depreciation:

Capital assets	\$ 457,401,650	
Accumulated depreciation	<u>(154,108,574)</u>	303,293,076

Deferred amount on refunding:

In governmental funds, the net effect of refunding bonds is recognized when debt is issued, whereas this amount is deferred and amortized in the government-wide financial statements:

(307,360)

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is not recognized until the period in which it matures and is paid. In the government-wide statement of activities, it is recognized in the period that it is incurred. The additional liability for unmatured interest owing at the end of the period was:

(2,471,592)

Long-term liabilities:

In governmental funds, only current liabilities are reported. In the statement of net position, all liabilities, including long-term liabilities, are reported. Long-term liabilities relating to governmental activities consist of:

Total general obligation bonds	\$ 170,596,705	
Early retirement incentive	663,747	
Compensated absences	864,540	
Net pension liability	<u>131,994,898</u>	(304,119,890)

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT
OF NET POSITION, continued
JUNE 30, 2015

Deferred outflows and inflows of resources relating to pensions:

In governmental funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods.

In the statement of net position, deferred outflows and inflows of resources relating to pensions are reported.

Deferred outflows of resources related to pensions	\$	11,283,478	
Deferred inflows of resources related to pensions		<u>(35,119,797)</u>	(23,836,319)

Internal service funds:

Internal service funds are used to conduct certain activities for which costs are charged to other funds on a full cost-recovery basis. Because internal service funds are presumed to operate for the benefit of governmental activities, assets, deferred outflows of resources, liabilities, and deferred inflows of resources of internal service funds are reported with governmental activities in the statement of net position. Net position for internal service funds is:

(11,905,081)

Total Net Position - Governmental Activities

\$	<u>16,695,658</u>
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The accompanying notes are an integral part of these financial statements.

**ANAHEIM CITY SCHOOL DISTRICT
GOVERNMENTAL FUNDS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2015**

	General Fund	Building Fund	Capital Facilities Fund	Bond Interest & Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
REVENUES						
LCFF sources	\$ 142,714,564	\$ -	\$ -	\$ -	\$ 700,000	\$ 143,414,564
Federal sources	13,915,564	-	-	-	2,557,803	16,473,367
Other state sources	25,583,396	-	-	32,516	10,831,286	36,447,198
Other local sources	3,659,134	84,596	3,945,482	6,381,667	23,752	14,094,631
Total Revenues	185,872,658	84,596	3,945,482	6,414,183	14,112,841	210,429,760
EXPENDITURES						
Current						
Instruction	109,549,142	-	-	-	3,611,074	113,160,216
Instruction-related services						
Instructional supervision and administration	11,598,778	-	-	-	1,168,651	12,767,429
Instructional library, media, and technology	2,179,255	-	-	-	29,976	2,209,231
School site administration	12,539,877	-	-	-	-	12,539,877
Pupil services						
Home-to-school transportation	5,312,675	-	-	-	-	5,312,675
Food services	-	-	-	-	491,167	491,167
All other pupil services	13,062,826	-	-	-	42,198	13,105,024
General administration						
Centralized data processing	1,926,186	-	-	-	-	1,926,186
All other general administration	7,866,326	-	-	-	154,199	8,020,525
Plant services	13,755,899	-	-	-	360,808	14,116,707
Facilities acquisition and maintenance	-	15,421,830	389,743	-	2,428,223	18,239,796
Transfers to other agencies	8,464,983	-	215,804	-	-	8,680,787
Debt service						
Principal	-	-	-	5,789,938	-	5,789,938
Interest and other	-	-	-	4,125,377	-	4,125,377
Total Expenditures	186,255,947	15,421,830	605,547	9,915,315	8,286,296	220,484,935
Excess (Deficiency) of Revenues Over Expenditures	(383,289)	(15,337,234)	3,339,935	(3,501,132)	5,826,545	(10,055,175)
Other Financing Sources (Uses)						
Transfers in	-	5,794,016	-	-	-	5,794,016
Transfers out	-	-	-	-	(5,794,016)	(5,794,016)
Net Financing Sources (Uses)	-	5,794,016	-	-	(5,794,016)	-
NET CHANGE IN FUND BALANCE	(383,289)	(9,543,218)	3,339,935	(3,501,132)	32,529	(10,055,175)
Fund Balance - Beginning	18,647,666	21,461,507	10,601,885	10,887,744	4,499,197	66,097,999
Fund Balance - Ending	\$ 18,264,377	\$ 11,918,289	\$ 13,941,820	\$ 7,386,612	\$ 4,531,726	\$ 56,042,824

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES,
EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED JUNE 30, 2015

Net Change in Fund Balances - Governmental Funds \$ (10,055,175)

Amounts reported for governmental activities in the statement of activities are different from amounts reported in governmental funds because:

Capital outlay:

In governmental funds, the costs of capital assets are reported as expenditures in the period when the assets are acquired. In the statement of activities, costs of capital assets are allocated over their estimated useful lives as depreciation expense. The difference between capital outlay expenditures and depreciation expense for the period is:

Expenditures for capital outlay:	\$ 18,065,015	
Depreciation expense:	<u>(12,070,537)</u>	5,994,478

Debt service:

In governmental funds, repayments of long-term debt are reported as expenditures. In the government-wide statements, repayments of long-term debt are reported as reductions of liabilities. Expenditures for repayment of the principal portion of long-term debt were:

6,875,000

Deferred amounts on refunding:

In governmental funds, deferred amounts on refundings are recognized in the period they are incurred. In the government-wide statements, the deferred amounts on refundings are amortized over the life of the debt. The net effect of the deferred amounts on refundings during the period was:

38,420

Gain or loss from the disposal of capital assets:

In governmental funds, the entire proceeds from disposal of capital assets are reported as revenue. In the statement of activities, only the resulting gain or loss is reported. The difference between the proceeds from disposal of capital assets and the resulting gain or loss is:

(1,079)

Unmatured interest on long-term debt:

In governmental funds, interest on long-term debt is recognized in the period that it becomes due. In the government-wide statement of activities, it is recognized in the period it is incurred. Unmatured interest owing at the end of the period, less matured interest paid during the period but owing from the prior period, was:

(141,006)

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES,
EXPENDITURES, AND CHANGES IN FUND BALANCE TO THE STATEMENT OF
ACTIVITIES, continued
FOR THE YEAR ENDED JUNE 30, 2015

Accreted interest on long-term debt:

In governmental funds, accreted interest on capital appreciation bonds is not recorded as an expenditure from current sources. In the government-wide statement of activities, however, this is recorded as interest expense for the period. (3,067,327)

Compensated absences:

In governmental funds, compensated absences are measured by the amounts paid during the period. In the statement of activities, compensated absences are measured by the amount earned. The difference between compensated absences paid and compensated absences earned, was: (76,417)

Pensions:

In governmental funds, pension costs are recognized when employer contributions are made, in the government-wide statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and employer contributions was: (508,602)

Other liabilities not normally liquidated with current financial resources:

In the government-wide statements, expenses must be accrued in connection with any liabilities incurred during the period that are not expected to be liquidated with current financial resources. Examples include special termination benefits such as retirement incentives financed over time, and structured legal settlements. This year, expenses incurred for such obligations were: 611,454

Amortization of debt issuance premium or discount:

In governmental funds, if debt is issued at a premium or at a discount, the premium or discount is recognized as an Other Financing Source or an Other Financing Use in the period it is incurred. In the government-wide statements, the premium or discount is amortized over the life of the debt. Amortization of premium or discount for the period is: 734,831

Internal Service Funds:

Internal service funds are used to conduct certain activities for which costs are charged to other funds on a full cost-recovery basis. Because internal service funds are presumed to benefit governmental activities, internal service activities are reported as governmental in the statement of activities. The net increase or decrease in internal service funds was: (277,965)

Change in Net Position of Governmental Activities

\$	126,612
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The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF NET POSITION
 JUNE 30, 2015

	Governmental Activities
	Internal Service Fund
ASSETS	
Current assets	
Cash and cash equivalents	\$ 2,598,007
Accounts receivable	177,938
Due from other funds	753,865
Total Assets	3,529,810
LIABILITIES	
Current liabilities	
Accrued liabilities	291,529
Due to other funds	28,602
Total current liabilities	320,131
Non-current liabilities	15,114,760
Total Liabilities	15,434,891
NET POSITION	
Unrestricted	(11,905,081)
Total Net Position	\$ (11,905,081)

The accompanying notes are an integral part of these financial statements.

**ANAHEIM CITY SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION
 FOR THE YEAR ENDED JUNE 30, 2015**

	Governmental Activities
	Internal Service Fund
OPERATING REVENUE	
Charges for services	\$ 19,278,167
Total operating revenues	<u>19,278,167</u>
OPERATING EXPENSE	
Salaries and benefits	19,568,309
Professional services	2,658
Total operating expenses	<u>19,570,967</u>
Operating income/(loss)	<u>(292,800)</u>
NON-OPERATING REVENUES/(EXPENSES)	
Interest income	14,835
Total non-operating revenues/(expenses)	<u>14,835</u>
CHANGE IN NET POSITION	(277,965)
Net Position - Beginning	(11,627,116)
Net Position - Ending	<u>\$ (11,905,081)</u>

The accompanying notes are an integral part of these financial statements.

**ANAHEIM CITY SCHOOL DISTRICT
 PROPRIETARY FUNDS
 STATEMENT OF CASH FLOWS
 FOR THE YEAR ENDED JUNE 30, 2015**

	Governmental Activities
	Internal Service Fund
Cash flows from operating activities	
Cash received (paid) from assessments made to (from) other funds	\$ 20,393,652
Cash payments for payroll, insurance, and operating costs	(18,598,384)
Net cash provided by (used for) operating activities	1,795,268
Cash flows from investing activities	
Interest received	14,835
Net cash provided by (used for) investing activities	14,835
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	1,810,103
 CASH AND CASH EQUIVALENTS	
Beginning of year	787,904
End of year	\$ 2,598,007
 Reconciliation of operating income (loss) to cash provided by (used for) operating activities	
Operating income (loss)	\$ (292,800)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:	
Changes in assets and liabilities:	
(Increase) decrease in accounts receivable	13,049
(Increase) decrease in due from other funds	1,102,436
Increase (decrease) in accounts payable	209,389
Increase (decrease) in due to other funds	28,602
Increase (decrease) in non-current liabilities	734,592
Net cash provided by (used for) operating activities	\$ 1,795,268

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
 FIDUCIARY FUNDS
 STATEMENT OF NET POSITION
 JUNE 30, 2015

	Agency Funds
	Student Body
	Fund
ASSETS	
Cash and cash equivalents	\$ 212,326
Total Assets	\$ 212,326
LIABILITIES	
Due to student groups	\$ 212,326
Total Liabilities	\$ 212,326

The accompanying notes are an integral part of these financial statements.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Financial Reporting Entity

The Anaheim City School District (the “District”) accounts for its financial transactions in accordance with the policies and procedures of the Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to generally accepted accounting principles as prescribed by the Governmental Accounting Standards Board (GASB) and the American Institute of Certified Public Accountants (AICPA).

The District operates under a locally elected Board form of government and provides educational services to grades K-6 as mandated by the state. A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments and agencies that are not legally separate from the District. For the District, this includes general operations and student-related activities.

B. Component Units

Component units are legally separate organizations for which the District is financially accountable. Component units may also include organizations that are fiscally dependent on the District in that the District approves their budget, the issuance of their debt or the levying of their taxes. In addition, component units are other legally separate organizations for which the District is not financially accountable but the nature and significance of the organization's relationship with the District is such that exclusion would cause the District's financial statements to be misleading or incomplete. The District has no such component units.

C. Basis of Presentation

Government-Wide Statements. The statement of net position and the statement of activities display information about the primary government (the District). These statements include the financial activities of the overall government, except for fiduciary activities. Eliminations have been made to minimize the double-counting of internal activities. Governmental activities generally are financed through taxes, intergovernmental revenue, and other non-exchange transactions.

The statement of activities presents a comparison between direct expenses and program revenue for each function of the District's governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reserved for the statement of activities. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting of operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

C. Basis of Presentation (*continued*)

Fund Financial Statements. The fund financial statements provide information about the District's funds, including its proprietary and fiduciary funds. Separate statements for each fund category – governmental, proprietary and fiduciary – are presented. The emphasis of fund financial statements is on major governmental funds, each displayed in a separate column. All remaining governmental funds are aggregated and reported as non-major funds.

Governmental funds are used to account for activities that are governmental in nature. Governmental activities are typically tax-supported and include education of pupils, operation of food service and child development programs, construction and maintenance of school facilities, and repayment of long-term debt.

Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the District, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting.

Fiduciary funds are used to account for assets held by the District in a trustee or agency capacity for others that cannot be used to support the District's own programs.

Major Governmental Funds

General Fund: The General Fund is the main operating fund of the District. It is used to account for all activities except those that are required to be accounted for in another fund. In keeping with the minimum number of funds principle, all of the District's activities are reported in the General Fund unless there is a compelling reason to account for an activity in another fund. A District may have only one General Fund.

Building Fund: This fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code Section 15146*) and may not be used for any purposes other than those for which the bonds were issued. Other authorized revenues to the Building Fund are proceeds from the sale or lease-with-option-to-purchase of real property (*Education Code Section 17462*) and revenue from rentals and leases of real property specifically authorized for deposit into the fund by the governing board (*Education Code Section 41003*).

Capital Facilities Fund: This fund is used primarily to account separately for moneys received from fees levied on developers or other agencies as a condition of approving a development (*Education Code Sections 17620–17626*). The authority for these levies may be county/city ordinances (*Government Code Sections 65970–65981*) or private agreements between the District and the developer. Interest earned in the Capital Facilities Fund is restricted to that fund (*Government Code Section 66006*).

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

C. Basis of Presentation (*continued*)

Major Governmental Funds (*continued*)

Bond Interest and Redemption Fund: This fund is used for the repayment of bonds issued for the District (*Education Code Sections 15125–15262*). The board of supervisors of the county issues the bonds. The proceeds from the sale of the bonds are deposited in the county treasury to the Building Fund of the District. Any premiums or accrued interest received from the sale of the bonds must be deposited in the Bond Interest and Redemption Fund of the District. The county auditor maintains control over the District's Bond Interest and Redemption Fund. The principal and interest on the bonds must be paid by the county treasurer from taxes levied by the county auditor-controller.

Non-Major Governmental Funds

Special Revenue Funds: Special revenue funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditures for specified purposes other than debt service or capital projects. The District maintains the following special revenue funds:

Child Development Fund: This fund is used to account separately for federal, state, and local revenues to operate child development programs. All moneys received by the District for, or from the operation of, child development services covered under the Child Care and Development Services Act (*Education Code Section 8200 et seq.*) shall be deposited into this fund. The moneys may be used only for expenditures for the operation of child development programs. The costs incurred in the maintenance and operation of child development services shall be paid from this fund, with accounting to reflect specific funding sources (*Education Code Section 8328*).

Deferred Maintenance Fund: This fund is used to account separately for state apportionments and the District's contributions for deferred maintenance purposes (*Education Code Sections 17582–17587*). In addition, whenever the state funds provided pursuant to *Education Code Sections 17584 and 17585* (apportionments from the State Allocation Board) are insufficient to fully match the local funds deposited in this fund, the governing board of a school district may transfer the excess local funds deposited in this fund to any other expenditure classifications in other funds of the District (*Education Code Sections 17582 and 17583*).

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

C. Basis of Presentation (*continued*)

Non-Major Governmental Funds (*continued*)

Capital Project Funds: Capital project funds are established to account for financial resources to be used for the acquisition or construction of major capital facilities (other than those financed by proprietary funds and trust funds).

County School Facilities Fund: This fund is established pursuant to *Education Code Section 17070.43* to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), or the 2004 State School Facilities Fund (Proposition 55) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code Section 17070 et seq.*).

Special Reserve Fund for Capital Outlay Projects: This fund exists primarily to provide for the accumulation of General Fund moneys for capital outlay purposes (*Education Code Section 42840*).

Proprietary Funds

Internal Service Funds: Internal service funds are created principally to render services to other organizational units of the District on a cost-reimbursement basis. These funds are designed to be self-supporting with the intent of full recovery of costs, including some measure of the cost of capital assets, through user fees and charges.

Self-Insurance Fund: Self-insurance funds are used to separate moneys received for self-insurance activities from other operating funds of the District. Separate funds may be established for each type of self-insurance activity, such as workers' compensation, health and welfare, and deductible property loss (*Education Code Section 17566*).

Fiduciary Funds

Trust and Agency Funds: Trust and agency funds are used to account for assets held in a trustee or agent capacity for others that cannot be used to support the District's own programs. The key distinction between trust and agency funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held.

Student Body Fund: The Student Body Fund is an agency fund and, therefore, consists only of accounts such as cash and balancing liability accounts, such as due to student groups. The student body itself maintains its own general fund, which accounts for the transactions of that entity in raising and expending money to promote the general welfare, morale, and educational experiences of the student body (*Education Code Sections 48930–48938*).

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

D. Basis of Accounting – Measurement Focus

Government-Wide, Proprietary, and Fiduciary Financial Statements

The government-wide, proprietary, and fiduciary fund financial statements are reported using the economic resources measurement focus. The government-wide, proprietary, and fiduciary fund financial statements are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of when the related cash flows take place.

Net Position equals assets and deferred outflows of resources minus liabilities and deferred inflows of resources. Net investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. The net position should be reported as restricted when constraints placed on its use are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities results from special revenue funds and the restrictions on their use.

Proprietary funds distinguish operating revenues and expenses from non operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the internal service fund are charges to other funds for self insurance costs. Operating expenses for internal service funds include the costs of insurance premiums and claims related to self-insurance.

Governmental Funds

Basis of accounting refers to when revenues and expenditures are recognized in the accounts and reported in the financial statements. Governmental funds use the modified accrual basis of accounting.

Revenues – Exchange and Non-Exchange Transactions

Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded under the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. "Available" means the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. Generally, "available" means collectible within the current period or within 60 days after year-end. However, to achieve comparability of reporting among California school districts and so as not to distort normal revenue patterns, with specific respect to reimbursements grants and corrections to State-aid apportionments, the California Department of Education has defined available for school districts as collectible within one year.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, grants, and entitlements. Under the accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from the grants and entitlements is recognized in the fiscal year in which all eligibility requirements have been satisfied.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

D. Basis of Accounting – Measurement Focus (*continued*)

Revenues – Exchange and Non-Exchange Transactions (*continued*)

Eligibility requirements include timing requirements, which specify the year when the resources are to be used or the fiscal year when use is first permitted; matching requirements, in which the District must provide local resources to be used for a specific purpose; and expenditure requirements, in which the resources are provided to the District on a reimbursement basis. Under the modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue

Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received that have not met eligibility requirements are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures

On the accrual basis of accounting, expenses are recognized at the time a liability is incurred. On the modified accrual basis of accounting, expenditures are generally recognized in the accounting period in which the related fund liability is incurred, as under the accrual basis of accounting. However, under the modified accrual basis of accounting, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. Allocations of cost, such as depreciation and amortization, are not recognized in the governmental funds. When both restricted and unrestricted resources are available for use, it is the District's policy to use restricted resources first, then unrestricted resources as they are needed.

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position

Cash and Cash Equivalents

The District's cash and cash equivalents consist of cash on hand, demand deposits and short-term investments with original maturities of three months or less from the date of acquisition. Cash held in the county treasury is recorded at cost, which approximates fair value.

Inventories

Inventories are recorded using the purchases method in that the cost is recorded as an expenditure at the time the individual inventory items are requisitioned. Inventories are valued at historical cost and consist of expendable supplies held for consumption.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (*continued*)

Capital Assets

The accounting and reporting treatment applied to the capital assets associated with a fund is determined by its measurement focus. Capital assets are reported in the governmental activities column of the government-wide statement of net position, but are not reported in the fund financial statements.

Capital assets are capitalized at cost (or estimated historical cost) and updated for additions and retirements during the year. Donated fixed assets are recorded at their fair market values as of the date received. The District maintains a capitalization threshold of \$5,000. The District does not own any infrastructure as defined in GASB Statement No. 34. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized. All reported capital assets, except for land and construction in progress, are depreciated. Improvements are depreciated over the remaining useful lives of the related capital assets. Depreciation is computed using the straight-line method over the following estimated useful lives:

<u>Asset Class</u>	<u>Estimated Useful Life</u>
Buildings and Improvements	25-50 years
Furniture and Equipment	15-20 years
Vehicles	8 years

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "Due from other funds/Due to other funds." These amounts are eliminated in the governmental activities columns of the statement of net position.

Compensated Absences

Accumulated unpaid employee vacation benefits are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide financial statements. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resource. These amounts are recorded in the fund from which the employees who have accumulated leave are paid.

Accumulated sick leave benefits are not recognized as liabilities of the District. The District's policy is to record sick leave as an operating expense in the period taken because such benefits do not vest, nor is payment probable; however, unused sick leave is added to the creditable service period for calculation of retirement benefits when the employee retires.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (*continued*)

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the funds.

Premiums and Discounts

In the government-wide and proprietary fund financial statements, long-term obligations are reported as liabilities in the applicable governmental activities or proprietary fund statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight line method.

Deferred Outflows/Deferred Inflows of Resources

In addition to assets, the District will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the District will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the defined benefit pension plans (the Plans) of the California State Teachers' Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by the Plans. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund Balance

Fund balance is divided into five classifications based primarily on the extent to which the District is bound to observe constraints imposed upon the use of the resources in the governmental funds. The classifications are as follows:

Nonspendable - The nonspendable fund balance classification reflects amounts that are not in spendable form. Examples include inventory, prepaid items, the long-term portion of loans receivable, and nonfinancial assets held for resale. This classification also reflects amounts that are in spendable form but that are legally or contractually required to remain intact, such as the principal of a permanent endowment.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

E. Assets, Deferred Outflows of Resources, Liabilities, Deferred Inflows of Resources, Fund Balance and Net Position (*continued*)

Fund Balance (*continued*)

Restricted - The restricted fund balance classification reflects amounts subject to externally imposed and legally enforceable constraints. Such constraints may be imposed by creditors, grantors, contributors, or laws or regulations of other governments, or may be imposed by law through constitutional provisions or enabling legislation.

Committed - The committed fund balance classification reflects amounts subject to internal constraints self-imposed by formal action of the Governing Board. The constraints giving rise to committed fund balance must be imposed no later than the end of the reporting period. The actual amounts may be determined subsequent to that date but prior to the issuance of the financial statements. In contrast to restricted fund balance, committed fund balance may be redirected by the government to other purposes as long as the original constraints are removed or modified in the same manner in which they were imposed, that is, by the same formal action of the Governing Board.

Assigned - The assigned fund balance classification reflects amounts that the government *intends* to be used for specific purposes. Assignments may be established either by the Governing Board or by a designee of the governing body, and are subject to neither the restricted nor committed levels of constraint. In contrast to the constraints giving rise to committed fund balance, constraints giving rise to assigned fund balance are not required to be imposed, modified, or removed by formal action of the Governing Board. The action does not require the same level of formality and may be delegated to another body or official. Additionally, the assignment need not be made before the end of the reporting period, but rather may be made any time prior to the issuance of the financial statements.

Unassigned - In the General Fund only, the unassigned fund balance classification reflects the residual balance that has not been assigned to other funds and that is not restricted, committed, or assigned to specific purposes. However, deficits in any fund, including the General Fund that cannot be eliminated by reducing or eliminating amounts assigned to other purposes are reported as negative unassigned fund balance.

The District applies restricted resources first when expenditures are incurred for purposes for which either restricted or unrestricted (committed, assigned and unassigned) amounts are available. Similarly, within unrestricted fund balance, committed amounts are reduced first followed by assigned, and then unassigned amounts when expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

F. Interfund Activity

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental activities columns of the statement of activities.

G. Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

H. Budgetary Data

The budgetary process is prescribed by provisions of the California Education Code and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1 of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for. For purposes of the budget, on-behalf payments have not been included as revenue and expenditures as required under generally accepted accounting principles.

I. Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County Auditor-Controller bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 1 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

J. New Accounting Pronouncements

GASB Statement No. 68 – In June 2012, GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for pensions. It also improves information provided by state and local governmental employers about financial support for pensions that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and interperiod equity, and creating additional transparency. The Statement is effective for periods beginning after June 15, 2014. The District has implemented GASB Statement No. 68 for the year ended June 30, 2015.

GASB Statement No. 71 – In November 2013, GASB issued Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date – an amendment of GASB Statement No. 68*. This standard seeks to clarify certain implementation issues related to amounts that are deferred and amortized at the time GASB 68 is first adopted. It applies to situations in which the measurement date of an actuarial valuation differs from the government's fiscal year. The Statement is effective for periods beginning after June 15, 2014. The District has implemented GASB Statement No. 71 for the year ended June 30, 2015.

GASB Statement No. 72 – In February 2015, GASB issued Statement No. 72, *Fair Value Measurement and Application*. This standard addresses accounting and financial reporting issues related to fair value measurements. The Statement is effective for periods beginning after June 15, 2015. The District has not yet determined the impact on the financial statements.

GASB Statement No. 73 – In June 2015, GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That are Not within the Scope of GASB Statement 68, and Amendments to Certain Provisions of GASB Statements 67 and 68*. This standard establishes requirements for defined benefit pensions that are not within the scope of GASB Statement 68 and amends certain provisions of GASB Statements 67 and 68. The Statement is effective for periods beginning after June 15, 2016. The District has not yet determined the impact on the financial statements.

GASB Statement No. 75 – In June 2015, GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. This standard's primary objective is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions. The Statement is effective for periods beginning after June 15, 2017. The District has not yet determined the impact on the financial statements.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 2 – CASH AND INVESTMENTS

A. Summary of Cash and Investments

	Governmental	Internal Service	Total	Fiduciary
	Funds	Funds	Governmental Activities	Funds
Cash in county	\$ 56,780,874	\$ 2,598,007	\$ 59,378,881	\$ -
Cash on hand and in banks	61,186	-	61,186	212,326
Cash in revolving fund	75,000	-	75,000	-
Total cash and cash equivalents	\$ 56,917,060	\$ 2,598,007	\$ 59,515,067	\$ 212,326

B. Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the state; U.S. Treasury instruments; registered state warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; collateralized mortgage obligations; and the County Investment Pool.

Investment in County Treasury – The District maintains substantially all of its cash in the County Treasury in accordance with *Education Code Section 41001*. The Orange County Treasurer’s pooled investments are managed by the County Treasurer who reports on a monthly basis to the board of supervisors. In addition, the function of the County Treasury Oversight Committee is to review and monitor the County’s investment policy. The committee membership includes the Treasurer and Tax Collector, the Auditor-Controller, Chief Administrative Officer, Superintendent of Schools Representative, and a public member. The fair value of the District’s investment in the pool is based upon the District’s pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 2 – CASH AND INVESTMENTS (continued)

C. General Authorizations

Except for investments by trustees of debt proceeds, the authority to invest District funds deposited with the county treasury is delegated to the County Treasurer and Tax Collector. Additional information about the investment policy of the County Treasurer and Tax Collector may be obtained from its website. The table below identifies the investment types permitted by California Government Code.

<u>Authorized Investment Type</u>	<u>Maximum Remaining Maturity</u>	<u>Maximum Percentage of Portfolio</u>	<u>Maximum Investment in One Issuer</u>
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U. S. Treasury Obligations	5 years	None	None
U. S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

D. Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District manages its exposure to interest rate risk by investing in the County Treasury. The District maintains a pooled investment with the County Treasury with a fair value of approximately \$59,415,431 and an amortized book value of \$59,378,881. The average weighted maturity for this pool is 370 days.

E. Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The investments in the County Treasury are not required to be rated. As of June 30, 2015, the pooled investments in the County Treasury were rated AA-.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 2 – CASH AND INVESTMENTS (*continued*)

F. Custodial Credit Risk – Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California Government Code requires that a financial institution secure deposits made by state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law. The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2015, the District's bank balance was not exposed to custodial credit risk.

NOTE 3 – ACCOUNTS RECEIVABLE

Accounts receivable at June 30, 2015 consisted of the following:

	General Fund	Building Fund	Capital Facilities Fund	Non-Major Governmental Funds	Internal Service Funds	Total Governmental Activities
Federal Government						
Categorical aid	\$ 2,517,852	\$ -	\$ -	\$ 282,627	\$ -	\$ 2,800,479
State Government						
Apportionment	32,559	-	-	-	-	32,559
Categorical aid	4,675,184	-	-	85,738	-	4,760,922
Lottery	1,674,709	-	-	-	-	1,674,709
Local Government						
Other local sources	1,334,680	5,613	1,156,537	1,825	177,938	2,676,593
Total	\$ 10,234,984	\$ 5,613	\$ 1,156,537	\$ 370,190	\$ 177,938	\$ 11,945,262

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 4 – CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2015 was as follows:

	Balance July 01, 2014	Additions	Deletions	Balance June 30, 2015
Governmental Activities				
Capital assets not being depreciated				
Land	\$ 47,070,352	\$ -	\$ -	\$ 47,070,352
Construction in progress	31,772,053	17,453,413	39,545,661	9,679,805
Total Capital Assets not Being Depreciated	78,842,405	17,453,413	39,545,661	56,750,157
Capital assets being depreciated				
Land improvements	10,638,736	32,472	-	10,671,208
Buildings & improvements	334,982,841	39,522,923	-	374,505,764
Furniture & equipment	14,890,720	601,868	18,067	15,474,521
Total Capital Assets Being Depreciated	360,512,297	40,157,263	18,067	400,651,493
Less Accumulated Depreciation				
Land improvements	6,139,526	356,706	-	6,496,232
Buildings & improvements	123,810,030	11,050,925	-	134,860,955
Furniture & equipment	12,105,469	662,906	16,988	12,751,387
Total Accumulated Depreciation	142,055,025	12,070,537	16,988	154,108,574
Governmental Activities				
Capital Assets, net	\$ 297,299,677	\$ 45,540,139	\$ 39,546,740	\$ 303,293,076

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 7,777,400
Instructional supervision and administration	760,436
Instructional library, media, and technology	263,895
School site administration	945,425
Home-to-school transportation	1,014,651
Food services	3,450
All other pupil services	88,917
Centralized data processing	98,020
All other general administration	456,259
Plant services	662,084
	<u>\$ 12,070,537</u>

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 5 – INTERFUND TRANSACTIONS

A. Interfund Receivables/Payables (Due From/Due To)

Individual interfund receivable and payable balances at June 30, 2015 were as follows:

Due To Other Funds	Due From Other Funds				
	General Fund	Building Fund	Non-Major Governmental Funds	Internal Service Fund	Total
General Fund	\$ -	\$ -	\$ 7,721	\$ 571,541	\$ 579,262
Capital Facilities Fund	353	-	-	1,906	2,259
Non-Major Governmental Funds	96,028	78	-	180,418	276,524
Internal Service Fund	28,602	-	-	-	28,602
Total Due From Other Funds	\$ 124,983	\$ 78	\$ 7,721	\$ 753,865	\$ 886,647

The General Fund owed the Non-Major Child Development Fund for salary and statutory benefit costs.	\$ 7,721
The General Fund owed the Internal Service Fund for other postemployment Benefits and health and welfare costs.	571,541
The Capital Facilities Fund owed the General Fund for other postemployment benefits and statutory benefit costs.	353
The Capital Facilities Fund owed the Internal Service Fund for health and welfare costs.	1,906
The Non-Major Child Development Fund owed the General Fund for statutory benefit costs, maintenance expenses, and use allowance.	96,028
The Non-Major Child Development Fund owed the Internal Service Fund for health and welfare costs.	180,418
The Non-Major County School Facilities Fund owed the Building Fund for reimbursement of expenses.	78
The Internal Service Fund owed the General Fund for health and welfare costs.	28,602
Total	\$ 886,647

B. Operating Transfers

Interfund transfers for the year ended June 30, 2015 consisted of the Non-Major County School Facilities Fund transferring \$5,794,016 to the Building Fund for reimbursement of expenses.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 6 – ACCRUED LIABILITIES

Accrued liabilities at June 30, 2015 consisted of the following:

	General Fund	Building Fund	Capital Facilities Fund	Non-Major Governmental Funds	Internal Service Funds	District-Wide	Total Governmental Activities
Payroll	\$ 5,075,663	\$ -	\$ 12,366	\$ 267,331	\$ -	\$ -	\$ 5,355,360
Construction	-	2,091,170	821	-	-	-	2,091,991
Vendors payable	4,562,538	-	-	65,732	291,529	-	4,919,799
Unmatured interest	-	-	-	-	-	2,471,592	2,471,592
Total	\$ 9,638,201	\$ 2,091,170	\$ 13,187	\$ 333,063	\$ 291,529	\$ 2,471,592	\$ 14,838,742

NOTE 7 – UNEARNED REVENUE

Unearned revenue at June 30, 2015, consisted of \$47,174 of federal sources within the General Fund.

NOTE 8 – BRIDGE FINANCING

During the 2013-14 fiscal year, the District participated in the Orange County Department of Education's Bridge Financing program to supplement cash flows. By June 30, 2015, the notes were paid in full.

During the 2014-15 fiscal year, the District participated in the Orange County Department of Education's Bridge Financing program to supplement cash flows. By December 31, 2014 the District had paid off \$12,000,000.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 9 – LONG-TERM DEBT

A schedule of changes in long-term debt for the year ended June 30, 2015 consisted of the following:

	Restated Balance			Balance	Balance Due
	July 01, 2014	Additions	Deductions	June 30, 2015	In One Year
Governmental Activities					
General obligation bonds	\$ 171,320,614	\$ 3,067,327	\$ 6,875,000	\$ 167,512,941	\$ 7,683,876
Unamortized premium	3,976,604	-	767,505	3,209,099	767,505
Unamortized discount	(158,009)	-	(32,674)	(125,335)	(32,674)
Total general obligation bonds	175,139,209	3,067,327	7,609,831	170,596,705	8,418,707
Early retirement incentive	1,275,201	-	611,454	663,747	221,249
Compensated absences	788,123	76,417	-	864,540	-
Net OPEB obligation	14,380,168	734,592	-	15,114,760	-
Net pension liability	164,718,733	-	32,723,835	131,994,898	-
Total	\$ 356,301,434	\$ 3,878,336	\$ 40,945,120	\$ 319,234,650	\$ 8,639,956

- Payments for general obligation bonds are made in the Bond Interest and Redemption Fund.
- Payments for the early retirement incentive are made in the General Fund.
- Payments for compensated absences are typically liquidated in the General Fund and the Non-Major Governmental Funds.

A. General Obligation Bonds

The outstanding general obligation bonded debt of the District as of June 30, 2015 is as follows:

Series	Issue Date	Maturity Date	Interest Rate	Original Issue	Bonds			Bonds	
					Outstanding July 01, 2014	Additions	Deductions	Outstanding June 30, 2015	
Election 2002, Series 2004	June 1, 2004	August 1, 2017	4.000% - 5.220%	\$33,653,461	\$ 814,739	\$ 43,084	\$ -	\$ 857,823	
2005 Refunding	June 23, 2005	August 1, 2023	3.000% - 5.000%	63,452,339	6,940,330	453,340	3,580,000	3,813,670	
Election 2002, Series 2007	January 23, 2007	August 1, 2031	3.750% - 5.350%	44,881,416	55,163,298	2,346,430	790,000	56,719,728	
Election 2010, Series 2011	March 30, 2011	August 1, 2040	3.000% - 6.250%	29,998,482	26,775,000	-	1,945,000	24,830,000	
Election 2010, Series 2011A	November 9, 2011	November 1, 2016	4.010%	4,997,334	5,542,247	224,473	-	5,766,720	
Election 2010, Series 2011B	November 9, 2011	November 1, 2016	3.128%	25,000,000	25,000,000	-	-	25,000,000	
2014 Refunding, Series A	March 6, 2014	August 1, 2023	4.000% - 5.000%	5,375,000	5,375,000	-	-	5,375,000	
2014 Refunding, Series B	March 6, 2014	August 1, 2023	0.496% - 3.825%	45,710,000	45,710,000	-	560,000	45,150,000	
					\$ 171,320,614	\$ 3,067,327	\$ 6,875,000	\$ 167,512,941	

Election 2002

In an election held on March 5, 2002, the voters authorized the District to issue and sale \$111,000,000 of principal amount of general obligation bonds. These bonds were issued for the purpose of financing the renovation, construction, acquisition and improvement of local school facilities and land, including replacing outdated wiring, lighting, plumbing and sewer systems, and building permanent classrooms and new schools. There were three issuances under this election.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 9 – LONG-TERM DEBT (continued)

A. General Obligation Bonds (continued)

Election 2002 (continued)

- Series 2004, which was issued on June 1, 2004 for \$33,653,461 with interest rates ranging from 4.000% to 5.220%. The original issuance consisted of \$32,295,000 of current interest serial bonds, \$16,770,000 of current interest term bonds, and \$1,358,461 of capital appreciation serial bonds. Interest on the current interest bonds is payable each February 1 and August 1 to maturity, commencing February 1, 2005. Principal of the current interest bonds is payable on August 1 in each of the years as per the repayment schedule, commencing August 1, 2005. The capital appreciation bonds will not bear current interest, but will increase in value by the accumulation of earned interest from their denominational amounts on the date of delivery to their respective maturity values at maturity. In 2005, the District issued the 2005 General Obligation Refunding Bonds to advance refund a portion of the outstanding principal balance. The principal balance outstanding at June 30, 2015 amounted to \$857,823.
- Series 2007, which was issued on January 23, 2007 for \$44,881,416 with interest rates ranging from 3.750% to 5.350%. The original issuance consisted of \$9,710,000 of current interest serial bonds and \$35,171,416 of capital appreciation serial bonds. Interest on the current interest bonds is payable each February 1 and August 1 to maturity, commencing February 1, 2008. Principal of the current interest bonds is payable on August 1 in each of the years as per the repayment schedule, commencing August 1, 2008. The capital appreciation bonds will not bear current interest, but will increase in value by the accumulation of earned interest from their denominational amounts on the date of delivery to their respective maturity values at maturity. The principal balance outstanding at June 30, 2015 amounted to \$56,719,728.

2005 General Obligation Refunding Bonds

- On June 23, 2005, the District issued \$63,452,339 of general obligation refunding bonds. The bonds were issued to advance refund all or a portion of the outstanding principal amount of the District's General Obligation Bonds, Election of 2002, Series 2002 and the District's General Obligation Bonds, Election of 2002, Series 2004. The original issuance had interest rates ranging from 3.000% to 3.850% and consisted of \$59,300,000 of current interest serial bonds and \$4,152,339 of capital appreciation serial bonds. Interest on the current interest bonds accrues from the date of issuance and is payable semi-annually on February 1 and August 1 of each year, commencing August 1, 2005. Principal of the current interest bonds is payable on August 1 in each of the years as per the repayment schedule, commencing August 1, 2005. The capital appreciation bonds accrete interest from the date of issuance, compounded semi-annually on February 1 and August 1 of each year, commencing August 1, 2005. In 2014, the District issued the 2014 General Obligation Refunding Bonds, Series A and Series B to advance refund a portion of the outstanding principal balance. The principal balance outstanding at June 30, 2015 amounted to \$3,813,670.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 9 – LONG-TERM DEBT (continued)

A. General Obligation Bonds (continued)

Election 2010

In an election held on November 2, 2010, the voters authorized the District to issue and sale \$169,300,000 of principal amount of general obligation bonds. These bonds were issued for the purpose of financing specific school facility construction, repair and improvement projects. There were three issuances under this election:

- Series 2011, which was issued on March 30, 2011 for \$29,998,482 with interest rates ranging from 3.000% to 6.250%. The original issuance consisted of \$5,030,000 of current interest serial bonds, \$24,090,000 of current interest term bonds, and \$878,482 of capital appreciation serial bonds. Interest on the current interest bonds is payable each February 1 and August 1 to maturity, commencing August 1, 2011. Principal of the current interest bonds is payable on August 1 in each of the years as per the repayment schedule, commencing August 1, 2012. The capital appreciation bonds will not pay interest on a current, periodic basis but will accrete in value to their maturity value payable only at maturity on August 1 in each of the years and in the amounts set forth on the payment schedule. Interest on the capital appreciation bonds will be compounded on each February 1 and August 1 to maturity, commencing August 1, 2011. The principal balance outstanding at June 30, 2015 amounted to \$24,830,000.
- Series 2011A bond anticipation notes, which was issued on November 9, 2011 for \$4,997,334 with an interest rate of 4.010%. The original issuance consisted entirely of capital appreciation serial notes. The notes will not pay interest on a current, periodic basis but will accrete in value to their maturity value payable only at maturity. Interest on the notes will be compounded semiannually on each May 1 and November 1, from and including May 1, 2012. The principal balance outstanding at June 30, 2015 amounted to \$5,766,270.
- Series 2011B bond anticipation notes, which was issued on November 9, 2011 for \$25,000,000 with an interest rate of 3.128%. The original issuance consisted entirely of current interest serial notes. Interest on the notes is payable on each May 1 and November 1 to maturity, commencing on May 1, 2012. Principal of the notes is payable November 1, 2016. The principal balance outstanding at June 30, 2015 amounted to \$25,000,000.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 9 – LONG-TERM DEBT (continued)

A. General Obligation Bonds (continued)

2014 General Obligation Refunding Bonds

- On March 6, 2014, the District issued \$5,375,000 of Series A general obligation refunding bonds and \$45,710,000 of Taxable Series B general obligation refunding bonds. The bonds were issued to advance refund a portion of the outstanding principal amount of the District's 2005 General Obligation Refunding Bonds. The net proceeds were used to purchase U.S. government securities which were deposited in an irrevocable trust to provide for all future debt service of the 2005 Refunding Bonds. As a result, that portion of the 2005 Refunding Bonds is considered defeased, and the District has removed the liability from their financial statements. The outstanding principal of the defeased bonds is \$49,352,799 at June 30, 2015.

The Series A refunding bonds had interest rates ranging from 4.000% to 5.000% and consisted of \$5,375,000 of current interest serial bonds. The Taxable Series B refunding bonds had interest rates ranging from 0.496% to 3.825% and consisted of \$45,710,000 of current interest serial bonds. Interest on the bonds accrues from the date of issuance and is payable semi-annually on February 1 and August 1 of each year, commencing August 1, 2014. Principal of the bonds is payable on August 1 in each of the years as per the repayment schedule, commencing August 1, 2014. The principal balance outstanding at June 30, 2015 of the Series A bonds amounted to \$5,375,000. The principal balance outstanding at June 30, 2015 of the Series B bonds amounted to \$45,150,000.

The bonds mature through 2041 as follows:

Year Ended June 30,	Principal	Interest	Total
2016	\$ 7,683,876	\$ 7,780,136	\$ 15,464,012
2017	30,600,000	3,551,371	34,151,371
2018	5,005,000	3,065,050	8,070,050
2019	6,825,169	3,408,306	10,233,475
2020	6,785,000	2,767,335	9,552,335
2021 - 2025	31,525,731	11,256,203	42,781,934
2026 - 2030	24,341,888	39,000,009	63,341,897
2031 - 2035	18,173,797	31,537,141	49,710,938
2036 - 2040	12,580,000	4,011,719	16,591,719
2041	3,555,000	432,344	3,987,344
Accretion	20,437,480	(20,437,480)	-
Total	\$ 167,512,941	\$ 86,372,134	\$ 253,885,075

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 9 – LONG-TERM DEBT (continued)

B. Early Retirement Incentive

The District provided an early retirement incentive to thirty-two certificated employees in 2009-10 financing the incentive through the purchase of annuity contracts. The District provided an additional early retirement incentive to employees in 2012-13 financing the incentive through the purchase of annuity contracts. The outstanding principal balance of the financed contracts as of June 30, 2015 was \$663,747 to be repaid according to the following schedule:

Year Ended June 30,	Payment
2016	\$ 221,249
2017	221,249
2018	221,249
Total payments	<u>\$ 663,747</u>

C. Compensated Absences

Total unpaid employee compensated absences as of June 30, 2015 amounted to \$864,540. This amount is included as part of long-term liabilities in the government-wide financial statements.

D. Other Postemployment Benefits

The District follows GASB Statement No.45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*. The District's annual required contribution for the year ended June 30, 2015, was \$4,291,768 with net interest and other adjustments of (\$242,033) for a net annual OPEB cost of \$4,049,735 and contributions made by the District during the year were \$3,315,143, which resulted in an increase to net OPEB obligation of \$734,592. The ending OPEB balance at June 30, 2015 was \$15,114,760. See Note 11 for additional information regarding the OPEB Obligation and the postemployment benefit plan.

E. Net Pension Liability

The District follows GASB Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The District's restated beginning net pension liability was \$164,718,733, and was decreased by \$32,723,835 during the year ended June 30, 2015. The ending net pension liability at June 30, 2015 was \$131,994,898. See Note 12 for additional information regarding the net pension liability.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 10 – FUND BALANCES

Fund balances were composed of the following elements at June 30, 2015:

	General Fund	Building Fund	Capital Facilities Fund	Bond Interest & Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
Non-spendable						
Revolving cash	\$ 75,000	\$ -	\$ -	\$ -	\$ -	\$ 75,000
Stores inventory	206,498	-	-	-	-	206,498
Total non-spendable	281,498	-	-	-	-	281,498
Restricted						
Educational programs	2,933,350	-	-	-	90,899	3,024,249
Capital projects	-	11,918,289	13,941,820	-	2,733,181	28,593,290
Debt service	-	-	-	7,386,612	-	7,386,612
Total restricted	2,933,350	11,918,289	13,941,820	7,386,612	2,824,080	39,004,151
Committed						
Other commitments	-	-	-	-	1,707,646	1,707,646
Total committed	-	-	-	-	1,707,646	1,707,646
Unassigned						
Reserve for economic uncertainties	10,916,853	-	-	-	-	10,916,853
Remaining unassigned	4,132,676	-	-	-	-	4,132,676
Total unassigned	15,049,529	-	-	-	-	15,049,529
Total	\$ 18,264,377	\$ 11,918,289	\$ 13,941,820	\$ 7,386,612	\$ 4,531,726	\$ 56,042,824

The District is committed to maintaining a prudent level of financial resources to protect against the need to reduce service levels because of temporary revenue shortfalls or unpredicted expenditures. The District's Minimum Fund Balance Policy requires a Reserve for Economic Uncertainties, consisting of unassigned amounts, equal to no less than three percent of General Fund expenditures and other financing uses.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 11 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB)

A. Plan Description and Contribution Information

The District administers a single-employer defined benefit other postemployment plan (OPEB) that provides medical, dental and vision insurance benefits to eligible retirees. The District implemented Governmental Accounting Standards Board Statement #45, *Accounting and Financial Reporting by Employers for Postemployment Benefit Plans Other Than Pension Plans*, in 2007-08.

Membership of the plan consisted of the following:

Retirees and beneficiaries receiving benefits	134
Active plan members	1,356
Total*	<u>1,490</u>
Number of participating employers	1

*As of July 1, 2013 actuarial study

Certificated, classified and management employees become eligible to retire with District-paid medical, dental and vision benefits after the later of age 55 and completion of at least 10 years of District service, or upon earlier qualifications for disability retirement. Benefits are paid until age 65. Retirees have the option to enroll their dependents under the District plans, but the cost of the dependent coverage is the responsibility of the retiree.

B. Funding Policy

The District's funding policy is based on the projected pay-as-you-go financing requirements, with additional amounts to prefund benefits as determined annually by the governing board. For fiscal year 2014-2015, the District contributed \$3,315,143.

As of June 30, 2015, the District has not established a plan or equivalent that contains an irrevocable transfer of assets dedicated to providing benefits to retirees in accordance with the terms of the plan and that are legally protected from creditors.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 11 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB) (*continued*)

C. Annual OPEB Cost and Net OPEB Obligation

The District’s annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District’s annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the District’s net OPEB obligation to the Plan:

Annual required contribution	\$	4,291,768
Interest on net OPEB obligation		542,976
Adjustment to annual required contribution		(785,009)
Annual OPEB cost (expense)		<u>4,049,735</u>
Contributions made		<u>(3,315,143)</u>
Increase (decrease) in net OPEB obligation		734,592
Net OPEB obligation, beginning of the year		<u>14,380,168</u>
Net OPEB obligation, end of the year	\$	<u>15,114,760</u>

The annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB obligation for the year ended June 30, 2015 and the preceding two years were as follows:

Year Ended June 30,	Annual OPEB Cost	Percentage Contributed	Net OPEB Obligation
2015	\$ 4,049,735	82%	\$ 15,114,760
2014	\$ 4,080,390	37%	\$ 14,380,168
2013	\$ 4,222,419	36%	\$ 11,806,722

D. Funded Status and Funding Progress

The funded status of the plan as of the most recent actuarial evaluation consists of the following:

Actuarial Valuation Date	Actuarial Valuation of Assets	Actuarial Accrued Liability (AAL)	Unfunded AAL (UAAL)	Funded Ratio	Covered Payroll	UAAL as a Percentage of Covered Payroll
July 1, 2013	\$ -	\$ 36,996,374	\$ 36,996,374	0%	\$ 104,899,091	35%

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 11 – POSTEMPLOYMENT BENEFITS OTHER THAN PENSIONS (OPEB) (*continued*)

D. Funded Status and Funding Progress (*continued*)

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, investment returns, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the Plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

The schedule of funding progress, presented as required supplementary information following the notes to financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

E. Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

Additional information as of the latest actuarial valuation follows:

Valuation Date	7/1/2013
Actuarial Cost Method	Projected Unit Credit
Amortization Method	Level dollar
Remaining Amortization Period	29
Actuarial Assumptions:	
Investment rate of return	4.0%
Discount rate	4.0%
Health care trend rate	8.0%
Inflation rate	4.0%

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 12 – PENSION PLANS

Qualified employees are covered under multiple-employer contributory retirement plans maintained by agencies of the State of California. Certificated employees are members of the California State Teachers' Retirement System (CalSTRS), and classified employees are members of the California Public Employees' Retirement System (CalPERS). The District recognized \$11,528,987 for their proportionate share of pension expense for the year ended June 30, 2015.

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the California State Teachers' Retirement System (CalSTRS); a cost-sharing multiple employer public employee retirement system defined benefit pension plan administered by CalSTRS. The plan provides retirement and disability benefits and survivor benefits to beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the State Teachers' Retirement Law. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS annual financial report may be obtained from CalSTRS, 7919 Folsom Blvd., Sacramento, CA 95826.

Benefits provided

The CalSTRS defined benefit plan has two benefit formulas:

CalSTRS 2% at 60: Members first hired on or before December 31, 2012, to perform service that could be creditable to CalSTRS

CalSTRS 2% at 62: Members first hired on or after January 1, 2013, to perform service that could be creditable to CalSTRS

CalSTRS 2% at 60

CalSTRS 2% at 60 members are eligible for normal retirement at age 60, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. Early retirement options are available at age 55 with five years of credited service or as early as age 50 with 30 years of credited service. The age factor for retirements after age 60 increases with each quarter year of age to 2.4 percent at age 63 or older. Members who have 30 years or more of credited service receive an additional increase of up to 0.2 percent to the age factor, known as the career factor. The maximum benefit with the career factor is 2.4 percent of final compensation.

CalSTRS 2% at 62

CalSTRS 2% at 62 members are eligible for normal retirement at age 62, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. An early retirement option is available at age 55. The age factor for retirement after age 62 increases with each quarter year of age to 2.4 percent at age 65 or older.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California State Teachers' Retirement System (CalSTRS) (continued)

Contributions

Active plan members are required to contribute 8.15% of their salary for fiscal year 2015 and the District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by CalSTRS Teachers' Retirement Board. The required employer contribution rate for fiscal year 2015 was 8.88% of annual payroll. The contribution requirements of the plan members are established by state statute. Contributions to the plan from the District were \$7,805,734 for the year ended June 30, 2015.

On-Behalf Payments

The District was the recipient of on-behalf payments made by the State of California to CalSTRS for K-12 education. These payments consist of state general fund contributions of approximately \$4,308,394 to CalSTRS (5.679% of 2012-13 creditable compensation subject to CalSTRS).

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2015, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the		
net pension liability	\$	105,123,270
States's proportionate share of the net		
pension liability associated with the District		63,477,968
Total	\$	<u>168,601,238</u>

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California State Teachers' Retirement System (CalSTRS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

The net pension liability was measured as of June 30, 2014, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2014, the District's proportion was 0.180 percent, which did not change from its proportion measured as of June 30, 2013.

For the year ended June 30, 2015, the District recognized pension expense of \$9,074,875. In addition, the District recognized pension expense and revenue of \$5,479,857 for support provided by the State. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between projected and actual earnings on plan investments	\$ -	\$ 25,886,405
District contributions subsequent to the measurement date	7,805,734	-
	<u>\$ 7,805,734</u>	<u>\$ 25,886,405</u>

\$7,805,734 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Inflows of Resources</u>
2016	\$ 6,471,601
2017	6,471,601
2018	6,471,601
2019	6,471,602
	<u>\$ 25,886,405</u>

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California State Teachers' Retirement System (CalSTRS) (continued)

Actuarial assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014 using the following actuarial assumptions, applied to all periods included in the measurement:

Consumer Price Inflation	3.00%
Investment Yield (Net of Expenses)	7.50%
Wage Inflation	3.75%
Interest on Member Accounts	4.50%

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

The actuarial assumptions used in the June 30, 2013 valuation were based on the results of an actuarial experience study for the period July 1, 2006–June 30, 2010.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance - PCA) as an input to the process. Based on the model from CalSTRS consulting actuary's (Milliman) investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation by PCA is based on board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term* Expected Real Rate of Return
Global Equity	47%	4.50%
Private Equity	12%	6.20%
Real Estate	15%	4.35%
Inflation Sensitive	5%	3.20%
Fixed Income	20%	0.20%
Cash/Liquidity	1%	0.00%
	100%	

* 10-year geometric average

ANAHEIM CITY SCHOOL DISTRICT
 NOTES TO FINANCIAL STATEMENTS, *continued*
 JUNE 30, 2015

NOTE 12 – PENSION PLANS (*continued*)

California State Teachers' Retirement System (CalSTRS) (*continued*)

Discount rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB 1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.60 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.60 percent) or 1-percentage-point higher (8.60 percent) than the current rate:

	1% Decrease (6.60%)	Current Discount Rate (7.60%)	1% Increase (8.60%)
District's proportionate share of the net pension liability	\$ 163,859,684	\$ 105,123,270	\$ 56,147,774

Pension plan fiduciary net position

Detailed information about the pension plan's fiduciary net position is available in the separately issued CalSTRS financial report.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California Public Employees' Retirement System (CalPERS)

Plan Description

The District contributes to the School Employer Pool under the California Public Employees' Retirement System (CalPERS); a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by state statutes, as legislatively amended, within the Public Employees' Retirement Laws. CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS annual financial report may be obtained from the CalPERS Executive Office, 400 P Street, Sacramento, CA 95811.

Benefits provided

The benefits for the defined benefit plan are based on members' years of service, age, final compensation, and benefit formula. Benefits are provided for disability, death, and survivors of eligible members or beneficiaries. Members become fully vested in their retirement benefits earned to date after five years of credited service.

Contributions

Active plan members who entered into the plan prior to January 1, 2013 are required to contribute 7.0% of their salary. The California Public Employees' Pension Reform Act (PEPRA) specifies that new members entering into the plan on or after January 1, 2013, shall pay the higher of fifty percent of normal costs or 6.0% of their salary. Additionally, for new members entering the plan on or after January 1, 2013, the employer is prohibited from paying any of the employee contribution to CalPERS unless the employer payment of the member's contribution is specified in an employment agreement or collective bargaining agreement that expires after January 1, 2013.

The District is required to contribute an actuarially determined rate. The actuarial methods and assumptions used for determining the rate are those adopted by the CalPERS Board of Administration. The required employer contribution rate for fiscal year 2015 was 11.771% of annual payroll. Contributions to the plan from the District were \$3,214,652 for the year ended June 30, 2015.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2015, the District reported a liability of \$26,871,628 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2014, and the total pension liability used to calculate the net pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2014, the District's proportion was 0.237 percent, which increased 0.003 percent from its proportion measured as of June 30, 2013.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California Public Employees’ Retirement System (CalPERS) (continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (continued)

For the year ended June 30, 2015, the District recognized pension expense of \$2,454,112. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences between projected and actual earnings on plan investments	\$ -	\$ 9,233,392
Changes in proportion and differences between District contributions and proportionate share of contributions	263,092	-
District contributions subsequent to the measurement date	3,214,652	-
	<u>\$ 3,477,744</u>	<u>\$ 9,233,392</u>

\$3,214,652 reported as deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
2016	\$ 65,773	\$ 2,308,348
2017	65,773	2,308,348
2018	65,773	2,308,348
2019	65,773	2,308,348
	<u>\$ 263,092</u>	<u>\$ 9,233,392</u>

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 12 – PENSION PLANS (continued)

California Public Employees' Retirement System (CalPERS) (continued)

Actuarial assumptions

The total pension liability was determined by applying update procedures to an actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014 using the following actuarial assumptions, applied to all periods included in the measurement:

Consumer Price Inflation	2.75%
Investment Yield (Net of Expenses)	7.50%
Wage Inflation	Varies by Entry Age and Service

CalPERS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are derived using CalPERS' membership data for all funds. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB.

The actuarial assumptions used in the June 30, 2013 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. In determining the long-term expected rate of return, both short-term and long-term market return expectations as well as the expected pension fund cash flows were taken into account. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 12 – PENSION PLANS (*continued*)

California Public Employees’ Retirement System (CalPERS) (*continued*)

Actuarial assumptions (*continued*)

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

Asset Class	Assumed Asset Allocation	Real Return Years 1-10*	Real Return Years 11+**
Global Equity	47%	5.25%	5.71%
Global Fixed Income	19%	0.99%	2.43%
Inflation Sensitive	6%	0.45%	3.36%
Private Equity	12%	6.83%	6.95%
Real Estate	11%	4.50%	5.13%
Infrastructure and Forestland	3%	4.50%	5.09%
Liquidity	2%	-0.55%	-1.05%
	<u>100%</u>		

* An expected inflation of 2.5% used for this period

** An expected inflation of 3.0% used for this period

Discount rate

The discount rate used to measure the total pension liability was 7.50 percent. A projection of the expected benefit payments and contributions was performed to determine if assets would run out. The test revealed the assets would not run out. Therefore the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for the Schools Pool. The results of the crossover testing for the Schools Pool are presented in a detailed report that can be obtained at CalPERS’ website.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.50 percent investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 15 basis points. An investment return excluding administrative expenses would have been 7.65 percent. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 12 – PENSION PLANS (*continued*)

California Public Employees’ Retirement System (CalPERS) (*continued*)

Sensitivity of the District’s proportionate share of the net pension liability to changes in the discount rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.50 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.50 percent) or 1-percentage-point higher (8.50 percent) than the current rate:

	1% Decrease (6.50%)	Current Discount Rate (7.50%)	1% Increase (8.50%)
District's proportionate share of the net pension liability	\$ 47,138,969	\$ 26,871,628	\$ 9,936,221

Pension plan fiduciary net position

Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalPERS financial report.

NOTE 13 – COMMITMENTS AND CONTINGENCIES

A. Grants

The District received financial assistance from federal and state agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2015.

B. Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2015.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, *continued*
JUNE 30, 2015

NOTE 13 – COMMITMENTS AND CONTINGENCIES (*continued*)

C. Construction Commitments

As of June 30, 2015, the District had the following commitments with respect to unfinished capital projects:

	Remaining Construction Commitments
Capital Projects	
Juarez Seismic Work	\$ 51,615
Lincoln Reconstruction	6,486
Revere Seismic Work	2,660,040
Stoddard Modernization	5,870,302
Edison Expansion	9,687
Marshall Reconstruction	1,750
Total	<u>\$ 8,599,880</u>

NOTE 14 – PARTICIPATION IN JOINT POWERS AUTHORITIES

The District participates in two joint powers agreements (JPA), the Alliance of Schools for Cooperative Insurance Programs (ASCIP), Workers' Compensation, whose purpose is to provide for the establishment, operation and maintenance for claims against the District and the Alliance of Schools for Cooperative Insurance Programs Property & Liability, providing liability and property insurance coverage. The District also declares membership in the Schools Excess Liability Fund (SELF) for excess liability coverage.

ASCIP is a non-profit public agency Joint Powers Authority (JPA). As a member owned and governed insurance pool, the membership elects their representatives to the Executive Committee to direct the organization on their behalf.

The relationship between the Anaheim City School District and the JPAs are such that neither JPA is a component unit of the District for financial reporting purposes. The audited financial statements are available from the respective entities.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS, continued
JUNE 30, 2015

NOTE 15 – DEFERRED OUTFLOWS/INFLOWS OF RESOURCES

Refunded Debt

Pursuant to GASB Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources, and Net Position* and GASB Statement No. 65, *Items Previously Reported as Assets and Liabilities*, the District recognized deferred outflows of resources in the District-wide financial statements. The deferred inflow of resources pertains to the difference in the carrying value of the refunded debt and its reacquisition price (deferred amount on refunding). Previous financial reporting standards require this to be presented as part of the District's long-term debt. This deferred inflow of resources is recognized as a component of interest expense in a systematic and rational manner over the remaining life of the old debt or the new debt, whichever is shorter. At June 30, 2015, the deferred amount on refunding was \$307,360.

Pension Plans

Pursuant to GASB Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27.*, the District recognized deferred outflows and inflows of resources related to pensions in the District-wide financial statements. The District's deferred outflows and inflows of resources related to pensions were as follows at June 30, 2015:

	Deferred outflows related to pensions	Deferred inflows related to pensions
STRS Pension	\$ 7,805,734	\$ 25,886,405
PERS Pension	3,477,744	9,233,392
Total	\$ 11,283,478	\$ 35,119,797

NOTE 16 – RESTATEMENT OF NET POSITION

The beginning net position of Governmental Activities has been restated in order to record the District's proportionate share of net pension liability and deferred outflows of resources related to pensions in accordance with GASB Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The effect on beginning net position is presented as follows:

	Governmental Activities
Net Position - Beginning, as Previously Reported	\$ 171,891,661
Restatement	(155,322,615)
Net Position - Beginning, as Restated	\$ 16,569,046

NOTE 17 – SUBSEQUENT EVENT

The District participated in the Orange County Department of Education's Bridge Financing Program to supplement cash flows. On August 3, 2015 the District issued \$10,000,000 due by December 31, 2015.

REQUIRED SUPPLEMENTARY INFORMATION

**ANAHEIM CITY SCHOOL DISTRICT
GENERAL FUND – BUDGETARY COMPARISON SCHEDULE
FOR THE YEAR ENDED JUNE 30, 2015**

	Budgeted Amounts		Actual*	Variances -
	Original	Final	(Budgetary Basis)	Final to Actual
REVENUES				
LCFF sources	\$ 142,616,905	\$ 144,099,294	\$ 142,714,564	\$ (1,384,730)
Federal sources	13,273,868	14,061,649	13,915,564	(146,085)
Other state sources	21,019,437	22,130,600	21,275,002	(855,598)
Other local sources	2,305,866	3,251,744	3,659,134	407,390
Total Revenues	179,216,076	183,543,287	181,564,264	(1,979,023)
EXPENDITURES				
Certificated salaries	88,073,222	88,820,076	88,234,804	585,272
Classified salaries	27,640,879	28,313,195	28,622,553	(309,358)
Employee benefits	37,354,379	35,865,941	35,353,519	512,422
Books and supplies	10,390,806	11,328,859	9,420,087	1,908,772
Services and other operating expenditures	10,039,874	12,226,023	11,645,145	580,878
Capital outlay	-	-	360,661	(360,661)
Other outgo				
Excluding transfers of indirect costs	7,876,679	7,847,228	8,464,983	(617,755)
Transfers of indirect costs	(146,051)	(145,519)	(154,199)	8,680
Total Expenditures	181,229,788	184,255,803	181,947,553	2,308,250
Excess (Deficiency) of Revenues				
Over Expenditures	(2,013,712)	(712,516)	(383,289)	329,227
Other Financing Sources (Uses)				
Transfers out	(216,000)	(205,640)	-	205,640
Net Financing Sources (Uses)	(216,000)	(205,640)	-	205,640
NET CHANGE IN FUND BALANCE	(2,229,712)	(918,156)	(383,289)	534,867
Fund Balance - Beginning	16,312,669	18,647,666	18,647,666	-
Fund Balance - Ending	\$ 14,082,957	\$ 17,729,510	\$ 18,264,377	\$ 534,867

* The actual amounts reported on this schedule do not agree with the amounts reported on the Statement of Revenues, Expenditures, and Changes in Fund Balance for the following reason:

- On behalf payments of \$4,308,394 are not included in the actual revenues and expenditures reported in this schedule.

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF FUNDING PROGRESS
FOR THE YEAR ENDED JUNE 30, 2015**

Actuarial Valuation Date	Actuarial Valuation of Assets	Actuarial Accrued Liability (AAL)	Unfunded AAL (UAAL)	Funded Ratio	Covered Payroll	UAAL as a Percentage of Covered Payroll
July 1, 2013	\$ -	\$ 36,996,374	\$ 36,996,374	0%	\$ 104,899,091	35%
July 1, 2011	\$ -	\$ 35,107,723	\$ 35,107,723	0%	\$ 105,808,546	33%
July 1, 2009	\$ -	\$ 29,398,045	\$ 29,398,045	0%	\$ 112,511,602	26%

See accompanying note to required supplementary information.

ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY -
CALSTRS
FOR THE YEAR ENDED JUNE 30, 2015

	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.180%
District's proportionate share of the net pension liability	\$ 105,123,270
States's proportionate share of the net pension liability associated with the District	63,477,968
Total	<u>\$ 168,601,238</u>
District's covered-employee payroll	\$ 88,025,812
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	119.4%
Plan fiduciary net position as a percentage of the total pension liability.	76.5%

See accompanying note to required supplementary information.

ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY -
CALPERS
FOR THE YEAR ENDED JUNE 30, 2015

	<u>June 30, 2015</u>
District's proportion of the net pension liability	0.237%
District's proportionate share of the net pension liability	\$ 26,871,628
District's covered-employee payroll	\$ 27,113,243
District's proportionate share of the net pension liability as a percentage of its covered-employee payroll	99.1%
Plan fiduciary net position as a percentage of the total pension liability.	83.4%

See accompanying note to required supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS - CALSTRS
FOR THE YEAR ENDED JUNE 30, 2015**

	<u>June 30, 2015</u>
Contractually required contribution	\$ 7,805,734
Contributions in relation to the contractually required contribution*	(7,805,734)
Contribution deficiency (excess)	<u>\$ -</u>
District's covered-employee payroll	\$ 88,025,812
Contributions as a percentage of covered-employee payroll	8.87%

*Amounts do not include on behalf contributions

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF DISTRICT CONTRIBUTIONS - CALPERS
FOR THE YEAR ENDED JUNE 30, 2015**

	<u>June 30, 2015</u>
Contractually required contribution	\$ 3,214,652
Contributions in relation to the contractually required contribution	(3,214,652)
Contribution deficiency (excess)	<u>\$ -</u>
District's covered-employee payroll	\$ 27,113,243
Contributions as a percentage of covered-employee payroll	11.86%

See accompanying note to required supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
FOR THE YEAR ENDED JUNE 30, 2015**

NOTE 1 – PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

This schedule is required by GASB Statement No. 34 as required supplementary information (RSI) for the General Fund and for each major special revenue fund that has a legally adopted annual budget. The budgetary comparison schedule presents both (a) the original and (b) the final appropriated budgets for the reporting period as well as (c) actual inflows, outflows, and balances, stated on the District's budgetary basis. A separate column to report the variance between the final budget and actual amounts is also presented, although not required.

Schedule of Funding Progress

This schedule is required by GASB Statement No. 45 for all sole and agent employers that provide other postemployment benefits (OPEB). The schedule presents, for the most recent actuarial valuation and the two preceding valuations, information about the funding progress of the plan, including, for each valuation, the actuarial valuation date, the actuarial value of assets, the actuarial accrued liability, the total unfunded actuarial liability (or funding excess), the actuarial value of assets as a percentage of the actuarial accrued liability (funded ratio), the annual covered payroll, and the ratio of the total unfunded actuarial liability (or funding excess) to annual covered payroll.

Schedule of the District's Proportionate Share of the Net Pension Liability

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's proportion (percentage) of the collective net pension liability, the District's proportionate share (amount) of the collective net pension liability, the District's covered-employee payroll, the District's proportionate share (amount) of the collective net pension liability as a percentage of the employer's covered-employee payroll, and the pension plan's fiduciary net position as a percentage of the total pension liability.

Schedule of District Contributions

This 10-year schedule is required by GASB Statement No. 68 for each cost-sharing pension plan. Until a full 10-year trend is compiled, the schedule will only show those years under which GASB Statement No. 68 was applicable. The schedule presents the District's statutorily or contractually required employer contribution, the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the difference between the statutorily or contractually required employer contribution and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution, the District's covered-employee payroll, and the amount of contributions recognized by the pension plan in relation to the statutorily or contractually required employer contribution as a percentage of the District's covered-employee payroll.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO REQUIRED SUPPLEMENTARY INFORMATION, continued
FOR THE YEAR ENDED JUNE 30, 2015

NOTE 2 – EXCESS OF EXPENDITURES OVER APPROPRIATIONS

For the year ended June 30, 2015, the District incurred an excess of expenditures over appropriations in individual major funds presented in the Budgetary Comparison Schedule by major object code as follows:

	Expenditures and Other Uses		
	Budget	Actual	Excess
General Fund			
Classified salaries	\$ 28,313,195	\$ 28,622,553	\$ 309,358
Capital outlay	\$ -	\$ 360,661	\$ 360,661
Other outgo			
Excluding transfers of indirect costs	\$ 7,847,228	\$ 8,464,983	\$ 617,755

SUPPLEMENTARY INFORMATION

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
FOR THE YEAR ENDED JUNE 30, 2015**

Federal Grantor/Pass-Through Grantor/Program or Cluster	CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U. S. DEPARTMENT OF EDUCATION:			
Elementary and Secondary School Counseling Demonstration Program	84.215E	*	\$ 415,563
Carol M. White Physical Education Program	84.215F	*	31,342
<i>Passed through California Department of Education:</i>			
Title I, Part A, Basic Grants Low-Income and Neglected	84.010	14329	6,030,073
Title II, Part A Cluster			
Title II, Part A, Administrator Training	84.367	14344	1,818
Title II, Part A, Teacher Quality	84.367A	14341	825,418
Subtotal Title II, Part A Cluster			827,236
Title II, Part B, CA Mathematics and Science Partnerships	84.366	14512	34,564
Title III, Limited English Proficient (LEP) Student Program	84.365	14346	1,168,208
Special Education Cluster			
IDEA Basic Local Assistance Entitlement, Part B, Sec 611	84.027	13379	3,181,541
IDEA Local Assistance, Part B, Sec 611, Private School ISPs	84.027	10115	4,000
IDEA Mental Health Allocation Plan, Part B, Sec 611	84.027	14468	215,120
Part B, Preschool Grants	84.173	13430	130,103
IDEA Preschool Local Entitlement, Part B, Sec 611	84.027A	13682	350,637
Preschool Staff Development	84.173A	13431	2,128
Subtotal Special Education Cluster			3,883,529
IDEA Early Intervention Grants	84.181	23761	82,197
Title X, McKinney-Vento Homeless Assistance	84.196	14332	114,185
Total U. S. Department of Education			12,586,897
U. S. DEPARTMENT OF AGRICULTURE:			
<i>Passed through California Department of Education:</i>			
CACFP Claims - Centers and Family Day Care	10.558	13393	443,182
<i>Passed through California Department of Public Health:</i>			
Supplemental Nutritional Assistance Program - Network for a Healthy California	10.551	*	76,564
Total U. S. Department of Agriculture			519,746
U. S. DEPARTMENT OF HEALTH AND HUMAN SERVICES:			
<i>Passed through California Department of Health Services:</i>			
Medicaid Cluster			
Medi-Cal Billing Option	93.778	10013	718,992
Medi-Cal Administrative Activities	93.778	10060	135,354
Subtotal Medicaid Cluster			854,346
Head Start	93.600	10016	2,114,621
Total U. S. Department of Health & Human Services			2,968,967
Total Federal Expenditures			\$ 16,075,610

* - Pass-Through Entity Identifying Number not available or not applicable

See accompanying note to supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE (ADA)
FOR THE YEAR ENDED JUNE 30, 2015**

	Second Period Report	Annual Report
SCHOOL DISTRICT		
TK/K through Third		
Regular ADA	10,684.67	10,679.60
Extended Year Special Education	7.47	7.47
Special Education - Nonpublic Schools	3.60	3.82
Extended Year Special Education - Nonpublic Schools	0.29	0.29
Total TK/K through Third	10,696.03	10,691.18
Fourth through Sixth		
Regular ADA	7,790.93	7,777.77
Extended Year Special Education	3.47	3.47
Special Education - Nonpublic Schools	5.49	4.90
Extended Year Special Education - Nonpublic Schools	0.31	0.31
Total Fourth through Sixth	7,800.20	7,786.45
TOTAL SCHOOL DISTRICT	18,496.23	18,477.63

See accompanying note to supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
FOR THE YEAR ENDED JUNE 30, 2015**

Grade Level	Minutes Requirement	Minutes Requirement Reduced	2014-15 Actual Minutes	Number of Days	Status
Kindergarten	36,000	35,000	36,062	180	Complied
Grade 1	50,400	49,000	50,871	180	Complied
Grade 2	50,400	49,000	50,871	180	Complied
Grade 3	50,400	49,000	50,871	180	Complied
Grade 4	54,000	52,500	55,199	180	Complied
Grade 5	54,000	52,500	55,199	180	Complied
Grade 6	54,000	52,500	55,199	180	Complied

See accompanying note to supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
FOR THE YEAR ENDED JUNE 30, 2015**

	2016 (Budget)	2015	2014	2013
General Fund - Budgetary Basis**				
Revenues And Other Financing Sources	\$ 208,915,421	\$ 181,564,264	\$ 163,992,172	\$ 150,984,918
Expenditures And Other Financing Uses	194,344,435	181,947,553	164,154,335	154,166,072
Net change in Fund Balance	\$ 14,570,986	\$ (383,289)	\$ (162,163)	\$ (3,181,154)
Ending Fund Balance	\$ 32,835,363	\$ 18,264,377	\$ 18,647,666	\$ 18,809,829
Available Reserves*	\$ 20,704,843	\$ 15,049,529	\$ 10,710,465	\$ 14,903,614
Available Reserves As A Percentage Of Outgo	10.65%	8.27%	6.52%	9.67%
Long-term Debt	\$ 310,594,694	\$ 319,234,650	\$ 191,582,701	\$ 192,943,491
Average Daily Attendance At P-2	18,291	18,496	18,753	18,513

The General Fund balance has decreased by \$545,452 over the past two years. The fiscal year 2015-16 budget projects an increase of \$14,570,986. For a District this size, the State recommends available reserves of at least 3% of General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating deficits in each of the past three years but anticipates incurring an operating surplus during the 2015-16 fiscal year. Total long term obligations have increased by \$126,291,159 over the past two years.

Average daily attendance has decreased by 17 ADA over the past two years. Additional decline of 205 ADA is anticipated during the 2015-16 fiscal year.

*Available reserves consist of all unassigned fund balance within the General Fund.

** The actual amounts reported on this schedule do not agree with the amounts reported on the Statement of Revenues, Expenditures, and Changes in Fund Balance for the following reason:

- On behalf payments of \$4,308,394 are not included in the actual revenues and expenditures reported in this schedule.

See accompanying note to supplementary information.

**ANAHEIM CITY SCHOOL DISTRICT
RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED
FINANCIAL STATEMENTS
FOR THE YEAR ENDED JUNE 30, 2015**

There were no adjustments to the Unaudited Actual Financial Report, which required reconciliation to the audited financial statements at June 30, 2015.

ANAHEIM CITY SCHOOL DISTRICT
COMBINING BALANCE SHEET
JUNE 30, 2015

	Child Development Fund	Deferred Maintenance Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Non-Major Governmental Funds
ASSETS					
Cash and cash equivalents	\$ 303,628	\$ 1,727,417	\$ 2,961	\$ 2,729,396	\$ 4,763,402
Accounts receivable	368,487	645	42	1,016	370,190
Due from other funds	7,721	-	-	-	7,721
Total Assets	\$ 679,836	\$ 1,728,062	\$ 3,003	\$ 2,730,412	\$ 5,141,313
LIABILITIES					
Accrued liabilities	\$ 312,491	\$ 20,416	\$ 6	\$ 150	\$ 333,063
Due to other funds	276,446	-	78	-	276,524
Total Liabilities	588,937	20,416	84	150	609,587
FUND BALANCES					
Restricted	90,899	-	2,919	2,730,262	2,824,080
Committed	-	1,707,646	-	-	1,707,646
Total Fund Balances	90,899	1,707,646	2,919	2,730,262	4,531,726
Total Liabilities and Fund Balance	\$ 679,836	\$ 1,728,062	\$ 3,003	\$ 2,730,412	\$ 5,141,313

See accompanying note to supplementary information.

ANAHEIM CITY SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
FOR THE YEAR ENDED JUNE 30, 2015

	Child Development Fund	Deferred Maintenance Fund	County School Facilities Fund	Special Reserve Fund for Capital Outlay Projects	Non-Major Governmental Funds
REVENUES					
LCFF sources	\$ -	\$ 700,000	\$ -	\$ -	\$ 700,000
Federal sources	2,557,803	-	-	-	2,557,803
Other state sources	2,997,715	-	7,833,571	-	10,831,286
Other local sources	583	5,081	6,360	11,728	23,752
Total Revenues	5,556,101	705,081	7,839,931	11,728	14,112,841
EXPENDITURES					
Current					
Instruction	3,611,074	-	-	-	3,611,074
Instruction-related services					
Instructional supervision and administration	1,168,651	-	-	-	1,168,651
Instructional library, media, and technology	29,976	-	-	-	29,976
Pupil services					
Food services	491,167	-	-	-	491,167
All other pupil services	42,198	-	-	-	42,198
General administration					
All other general administration	154,199	-	-	-	154,199
Plant services	120,820	239,988	-	-	360,808
Facilities acquisition and maintenance	-	53,612	2,045,915	328,696	2,428,223
Total Expenditures	5,618,085	293,600	2,045,915	328,696	8,286,296
Excess (Deficiency) of Revenues					
Over Expenditures	(61,984)	411,481	5,794,016	(316,968)	5,826,545
Other Financing Sources (Uses)					
Transfers out	-	-	(5,794,016)	-	(5,794,016)
Net Financing Sources (Uses)	-	-	(5,794,016)	-	(5,794,016)
NET CHANGE IN FUND BALANCE	(61,984)	411,481	-	(316,968)	32,529
Fund Balance - Beginning	152,883	1,296,165	2,919	3,047,230	4,499,197
Fund Balance - Ending	\$ 90,899	\$ 1,707,646	\$ 2,919	\$ 2,730,262	\$ 4,531,726

See accompanying note to supplementary information.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
JUNE 30, 2015

NOTE 1 – PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the United States Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

The following schedule provides reconciliation between revenues reported on the Statement of Revenue, Expenditures, and Changes in Fund Balance, and the related expenditures reported on the Schedule of Expenditures of Federal Awards. The reconciling amounts represent Federal funds that have been recorded as revenues in a prior year that have been expended by June 30, 2015 or Federal funds that have been recorded as revenues in the current year and were not expended by June 30, 2015.

	CFDA Number	Amount
Total Federal Revenues reported in the Statement of Revenues, Expenditures, and Changes in Fund Balance		\$ 16,473,367
Medi-Cal Billing Option	93.778	<u>(397,757)</u>
Total Expenditures reported in the Schedule of Expenditures of Federal Awards		<u>\$16,075,610</u>

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code Sections 46200 through 46208*. During the year ended June 30, 2015, the District participated in the Longer Day incentive funding program. As of June 30, 2015, the District had not yet met its target funding. Through 2014-15, the instructional day and minute requirements have been reduced pursuant to *Education Code Section 46201.2*.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

ANAHEIM CITY SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION, *continued*
JUNE 30, 2015

NOTE 1 – PURPOSE OF SCHEDULES (*continued*)

Reconciliation of Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Annual Financial and Budget Report Unaudited Actuals to the audited financial statements.

Combining Statements – Non-Major Funds

These statements provide information on the District's non-major funds.

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration. (Located in the front of the audit report)

**OTHER INDEPENDENT
AUDITORS' REPORTS**



**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON
COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS**

Christy White, CPA

Michael Ash, CPA

Heather Rubio

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Independent Auditors' Report

Governing Board
Anaheim City School District
Anaheim, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Anaheim City School District, as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the Anaheim City School District's basic financial statements, and have issued our report thereon dated December 14, 2015.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Anaheim City School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Anaheim City School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Anaheim City School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Anaheim City School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

A handwritten signature in cursive script that reads "Christy White Associates".

San Diego, California
December 14, 2015



**REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM; AND REPORT
ON INTERNAL CONTROL OVER COMPLIANCE REQUIRED BY
OMB CIRCULAR A-133**

Christy White, CPA

Michael Ash, CPA

Heather Rubio

Independent Auditors' Report

Governing Board
Anaheim City School District
Anaheim, California

Report on Compliance for Each Major Federal Program

We have audited Anaheim City School District's compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of Anaheim City School District's major federal programs for the year ended June 30, 2015. Anaheim City School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Anaheim City School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Anaheim City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Anaheim City School District's compliance.

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Opinion on Each Major Federal Program

In our opinion, Anaheim City School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2015.

Report on Internal Control Over Compliance

Management of Anaheim City School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Anaheim City School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Anaheim City School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.



San Diego, California
December 14, 2015



REPORT ON STATE COMPLIANCE

Independent Auditors' Report

Governing Board
Anaheim City School District
Anaheim, California

Report on State Compliance

We have audited Anaheim City School District's compliance with the types of compliance requirements described in the *2014-15 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel that could have a direct and material effect on each of Anaheim City School District's state programs for the fiscal year ended June 30, 2015, as identified below.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its state programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Anaheim City School District's state programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2014-15 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on the state programs noted below occurred. An audit includes examining, on a test basis, evidence about Anaheim City School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance with the requirements referred to above. However, our audit does not provide a legal determination of Anaheim City School District's compliance with those requirements.

Christy White, CPA

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Other Matters

The results of our auditing procedures disclosed instances of noncompliance, which are described in the accompanying schedule of findings and questioned costs as item #2015-1. Our opinion on state compliance is not modified with respect to these matters.

Anaheim City School District's response to the noncompliance findings identified in our audit are described in the accompanying schedule of findings and questioned costs and corrective action plan. Anaheim City School District's response was not subjected to the auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Procedures Performed

In connection with the audit referred to above, we selected and tested transactions and records to determine Anaheim City School District's compliance with the state laws and regulations applicable to the following items:

PROGRAM NAME	PROCEDURES PERFORMED
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	Not Applicable
Continuation Education	Not Applicable
Instructional Time for school districts	Yes
Instructional Materials, general requirements	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	Not Applicable
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	Not Applicable
Middle or Early College High Schools	Not Applicable
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Regional Occupation Centers or Programs Maintenance of Effort	Not Applicable
Adult Education Maintenance of Effort	Not Applicable
California Clean Energy Jobs Act	No, see below

(Continued on the next page)

Procedures Performed (continued)

PROGRAM NAME	PROCEDURES PERFORMED
After School Education and Safety Program	Yes
Proper Expenditure of Education Protection Account Funds	Yes
Common Core Implementation Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Attendance; for charter schools	Not Applicable
Mode of Instruction; for charter schools	Not Applicable
Nonclassroom-Based Instruction/Independent Study; for charter schools	Not Applicable
Determination of Funding for Nonclassroom-Based Instruction; for charter schools	Not Applicable
Annual Instructional Minutes – Classroom Based; for charter schools	Not Applicable
Charter School Facility Grant Program	Not Applicable

We did not perform testing for California Clean Energy Jobs Act as the District had no expenditures for the year ended June 30, 2015.

Christy White Associates

San Diego, California
December 14, 2015

**SCHEDULE OF FINDINGS
AND QUESTIONED COSTS**

**ANAHEIM CITY SCHOOL DISTRICT
SUMMARY OF AUDITORS' RESULTS
FOR THE YEAR ENDED JUNE 30, 2015**

FINANCIAL STATEMENTS

Type of auditors' report issued:	Unmodified
Internal control over financial reporting:	
Material weakness(es) identified?	No
Significant deficiency(ies) identified?	None Reported
Non-compliance material to financial statements noted?	No

FEDERAL AWARDS

Internal control over major program:	
Material weakness(es) identified?	No
Significant deficiency(ies) identified?	None Reported
Type of auditors' report issued:	Unmodified
Any audit findings disclosed that are required to be reported in accordance with section .510(a) of OMB Circular A-133?	No
Identification of major programs:	

<u>CFDA Number(s)</u>	<u>Name of Federal Program of Cluster</u>
84.010	Title I, Part A, Basic Grants Low-Income and Neglected
84.365	Title III, Limited English Proficient (LEP) Student Program

Dollar threshold used to distinguish between Type A and Type B programs:	\$ 482,268
Auditee qualified as low-risk auditee?	Yes

STATE AWARDS

Internal control over state programs:	
Material weaknesses identified?	No
Significant deficiency(ies) identified?	Yes
Type of auditors' report issued on compliance for state programs:	Unmodified

ANAHEIM CITY SCHOOL DISTRICT
FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2015

FIVE DIGIT CODE

20000

30000

AB 3627 FINDING TYPE

Inventory of Equipment

Internal Control

There were no financial statement findings for the year ended June 30, 2015.

ANAHEIM CITY SCHOOL DISTRICT
FEDERAL AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015

FIVE DIGIT CODE

50000

AB 3627 FINDING TYPE

Federal Compliance

There were no federal award findings or questioned costs for the year ended June 30, 2015.

**ANAHEIM CITY SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

FIVE DIGIT CODE

10000
40000
42000
60000
61000
62000
70000
71000
72000

AB 3627 FINDING TYPE

Attendance
State Compliance
Charter School Facilities Programs
Miscellaneous
Classroom Teacher Salaries
Local Control Accountability Plan
Instructional Materials
Teacher Misassignments
School Accountability Report Card

FINDING #2015-1 – UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000)

Criteria: Students classified as free or reduced price meal eligible (FRPM) and who are not directly certified on the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report must have supporting documentation that indicates the student was eligible for the determination. Auditors are required to verify compliance with Education Code Section 42238.02(b)(3)(b) in Section W of the 2014-15 *Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*.

Condition: 2 of 120 students tested from the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report who was classified as FRPM did not have proper supporting documentation to support their designation. When the error is extrapolated over the impacted population (1,966 students), 33 students were identified as ineligible.

Cause: The District relies on another school district to provide food service to their students and did not have a system to review the records of the other school district.

Effect: The District is not in compliance with State requirements.

Context: 33 of 35,172 (17,510 for 2014-15 and 17,662 for 2013-14) students reported in the District's Unduplicated Pupil Count did not have proper supporting documentation to support their FRPM designation.

**ANAHEIM CITY SCHOOL DISTRICT
STATE AWARD FINDINGS AND QUESTIONED COSTS,
FOR THE YEAR ENDED JUNE 30, 2015**

**FINDING #2015-1 – UNDUPLICATED LOCAL CONTROL FUNDING FORMULA PUPIL COUNTS (40000),
continued**

Questioned Costs:

LCFF Target Base Grant Amount and Pupil Counts		
1) Total Base Grant Amount		140,973,699
	Section 1: UPP	Section 2: UPP
2) Total Enrollment Count from Unduplicated Pupil Percentage Exhibit	38,496	38,628
3) Unduplicated Pupil Count from Unduplicated Pupil Percentage Exhibit	35,020	35,172

Unduplicated Pupil Percentage Adjustment		
4) Unduplicated Pupil Count	35,020	35,172
5) Number of Unduplicated Pupil Count Adjustment (plus or minus)	(33)	(33)
6) Adjusted Unduplicated Pupil Count	34,987	35,139
7) Unduplicated Pupil Percentage calculated at P-2	0.9097	0.9105
8) Adjusted Unduplicated Pupil Percentage	0.9088	0.9097
9) Funded UPP (Greater of Section 1 or 2)		0.9097

Target Supplemental Audit Adjustment		
10) Target supplemental grant funding calculated at P-2	-	25,671,311
11) Adjusted target supplemental grant funding	-	25,648,755
12) Target supplemental audit adjustment	-	(22,556)

Target Concentration Audit Adjustment		
13) Target Concentration grant funding calculated at P-2	25,354,120	25,410,509
14) Adjusted target concentration grant funding	25,290,682	25,354,120
15) Target concentration audit adjustment	(63,438)	(56,389)

Value of Adjustment in Current Year		
16) Total target supplemental and concentration audit adjustment	(63,438)	(78,945)
17) Statewide gap funding rate	0.3016000000	0.3016000000
18) Estimated value of unduplicated pupil count audit adjustment for 2014-15	(19,133)	(23,810)

Resulting in a total questioned costs of \$23,810.

Recommendation: We recommend that the District ensure that all students listed as FRPM in the CALPADS 1.18 FRPM/English Learner/Foster Youth – Student List Report have proper documentation to support their CALPADS designation.

District Response: The District will annually request a list of students selected by our food services vendor for income verification on November 16th of each year. Any changes in eligibility status for those students as a result of income verification will be updated in CALPADS during the Fall 1 certification or amendment window in order to be reflected accurately on CALPADS 1.18 FRPM/EL/FY Student List.

ANAHEIM CITY SCHOOL DISTRICT
SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2015

FINDING #2014-1 - ATTENDANCE REPORTING (10000)

Criteria: The average daily attendance (ADA) reported on the District's attendance reports submitted to the California Department of Education (CDE) should agree to the supporting summaries of attendance per Education Code Section 46000 et seq. Auditors are required to verify compliance per Section 19817.2 of the *Standards and Procedures for Audits of California K - 12 Local Educational Agencies*.

Condition: During our testing of the Second Principal (P2) Report of Attendance submitted to CDE, it was noted that the amount reported for Grades 4-6 Extended Year Special Education ADA was under reported by 4.49 ADA.

Cause: Clerical error during preparation.

Effect: Under reporting of 4.49 ADA for Grades 4-6 Extended Year Special Education ADA on the Second Principal Report of Attendance.

Questioned Costs: The District's Second Principal Report of Attendance was under reported by 4.49 ADA, however, the Extended Year Special Education program is funded using Annual attendance which was correctly reported, no questioned costs have been identified.

Recommendation: During the audit, we recommended the District revise their Second Principal Report of Attendance to account for the identified difference. This revision was done to our satisfaction.

District Response: The District agrees with the Auditor's recommendation and has submitted a revised Report of Attendance for the Second Period (P2) that reflects an increase of 4.49 ADA.

Current Year Status: Implemented.

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APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Anaheim Elementary School District (the “District”) in connection with the issuance of \$61,475,000 of the District’s General Obligation Bonds, Election of 2010, Series 2016 (the “Series 2016 Bonds”) and \$33,555,000 of the District’s 2016 General Obligation Refunding Bonds (the “Refunding Bonds”, and together with the Series 2016 Bonds, the “Bonds”). The Bonds are being issued pursuant to a Resolutions of the District adopted on June 22, 2016 (collectively, the “Resolution”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with S.E.C. Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolutions, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially Applied Best Practices LLP, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Holders” shall mean registered owners of the Bonds.

“Listed Events” shall mean any of the events listed in Sections 5(a) or (b) of this Disclosure Certificate.

“Official Statement” means the official statement dated as of August 17, 2016 and relating the primary offering and sale of the Bonds.

“Participating Underwriters” shall mean the original underwriters of the bonds or any of the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Repository” shall mean the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District’s fiscal year (presently ending June 30), commencing with the report for the 2015-16 Fiscal Year, which shall be due no later than April 1, 2016, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c).

(b) Not later than 30 days (nor more than 60 days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than 15 Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repository to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a notice to the Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent. The Dissemination Agent shall not be required to file a Notice to Repository of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided.

SECTION 4. Content and Form of Annual Reports.

(a) The District’s Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District’s audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District’s audited financial statements):

- (a) State funding received by the District for the last completed fiscal year;
- (b) Average daily attendance of the District for the last completed fiscal year;
- (c) Outstanding District indebtedness;

- (d) Summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year.
- (e) Information regarding total assessed valuation of taxable properties within the District, if and to the extent provided to the District by the County and;
- (f) Information regarding total secured tax charges and delinquencies on taxable properties within the District, to the extent the County has elected to disenroll the Teeter Plan.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format accompanied by identifying information prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

- 1. principal and interest payment delinquencies.
- 2. tender offers.
- 3. defeasances.
- 4. rating changes.
- 5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, adverse tax opinions or Notices of Proposed Issue (IRS Form 5701-TEB).
- 6. unscheduled draws on the debt service reserves reflecting financial difficulties.
- 7. unscheduled draws on credit enhancement reflecting financial difficulties.
- 8. substitution of the credit or liquidity providers or their failure to perform.
- 9. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the District. For the purposes of the event identified in this Section 5(a)(9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the

entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Bondholders.
3. optional, contingent or unscheduled bond calls.
4. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
5. release, substitution or sale of property securing repayment of the Bonds.
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
7. Appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a) or Section 5(b), as applicable.

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign upon 15 days written notice to the District.

Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District. The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and

(d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(b), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be

necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriters, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: September 7, 2016

ANAHEIM ELEMENTARY SCHOOL DISTRICT

By _____
Assistant Superintendent, Administrative Services

EXHIBIT A

NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: ANAHEIM ELEMENTARY SCHOOL DISTRICT

Name of Bond Issue: General Obligation Bonds, Election of 2010, Series 2016 & 2016 General
Obligation Refunding Bonds

Date of Issuance: September 7, 2016

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect
to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds.
The District anticipates that the Annual Report will be filed by _____.

Dated: _____

ANAHEIM ELEMENTARY SCHOOL DISTRICT

By _____ [form only; no signature required]

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APPENDIX D

BOOK-ENTRY ONLY SYSTEM

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Direct Participants or Indirect Participants (as defined herein) will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, Direct Participants or Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with Participants are on file with DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each of maturity of the Bonds, each in the aggregate principal amount of such bond, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. However, the information presented on such website is not incorporated herein by any reference to such website.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of

Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the Record Date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds or distributions on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds or distributions to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event

that a successor depository is not obtained, Bond certificates are required to be printed and delivered. The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

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APPENDIX E

GENERAL ECONOMIC AND DEMOGRAPHIC DATA FOR THE ORANGE COUNTY AND THE CITY OF ANAHEIM

The following information regarding the City of Anaheim (the “City”), and Orange County (the “County”) is included only for the purpose of supplying general information regarding the local community and economy. The Bonds are not a debt of the City or of the County. This material has been prepared by or excerpted from the sources as noted herein and has not been reviewed for accuracy by the District, Bond Counsel, the Underwriter or the Financial Advisor.

General

City of Anaheim. Located in northwestern Orange County, approximately 28 miles southeast of downtown Los Angeles and 90 miles north of San Diego, Anaheim is home to the Disneyland Resort. Founded in 1857, Anaheim is a charter city with a council-manager form of government. The number of council seats was expanded from five to seven as a result of Measure L on the November 2014 election ballot. Council members are elected by district to serve four-year staggered terms. The mayor serves as the presiding officer of the city council in a first among equals role.

Orange County. Located in southern California, Orange County was incorporated in 1889 and is one of the major metropolitan areas in the state. It ranks sixth most populous in the nation. The economy of the county not only out-performs local surrounding counties, the state and national economies in annual percentage growth, but also currently ranks higher in absolute growth rate dollars than the economies of the majority of the world’s countries. It is a charter county with an electoral process to fill mid-term vacancies on the five-member elected Board of Supervisors, who each serves four-year terms.

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Population

The following table shows historical population figures for the City, the County and the State of California from 2007 through 2016.

POPULATION ESTIMATES
City of Anaheim, Orange County and the State of California
2007 through 2016

<u>Year⁽¹⁾</u>	<u>City of Anaheim</u>	<u>Orange County</u>	<u>State of California</u>
2007	329,780	2,960,659	36,399,676
2008	330,659	2,974,321	36,704,375
2009	332,120	2,990,805	36,966,713
2010 ⁽²⁾	336,265	3,010,232	37,253,956
2011	341,903	3,035,167	37,536,835
2012	346,613	3,069,454	37,881,357
2013	351,611	3,103,654	38,239,207
2014	353,104	3,127,403	38,567,459
2015	355,497	3,151,910	38,907,642
2016	358,136	3,183,011	39,255,883

⁽¹⁾ As of January 1.

⁽²⁾ As of April 1.

Source: 2010: U.S. Department of Commerce, Bureau of the Census, for April 1.

2006-09, 2011-16 (2000 and 2010 Demographic Research Unit Benchmark): California Department of Finance for January 1.

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Income

The following table summarizes per capita personal income for the County, the State of California and the United States for the past ten years.

PER CAPITA PERSONAL INCOME
Orange County, State of California, and United States
2006 through 2015

<u>Year</u>	<u>Orange County</u>	<u>State of California</u>	<u>United States</u>
2006	\$49,931	\$41,567	\$37,698
2007	50,315	43,240	39,461
2008	50,334	43,853	40,674
2009	46,924	42,395	39,635
2010	48,007	42,514	39,937
2011	50,547	44,852	42,453
2012	53,390	47,614	44,266
2013	53,128	48,125	44,438
2014	55,096	49,985	46,049
2015 ⁽¹⁾		52,651	47,669

Note: Per capital personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. Estimates for 2010 through 2015 reflect county population estimates available as of March 2016. All dollar estimates are in current dollars (not adjusted for inflation).

⁽¹⁾ Calendar year 2015 county data is not yet available.

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

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Principal Employers

The following tables list the principal employers located in the City and the County as of June 30, 2015.

PRINCIPAL EMPLOYERS City of Anaheim As of June 30, 2015

<u>Employer Name</u>	<u>Industry</u>	<u>Number of Employees</u>
Disneyland Resort	Amusement and Recreation Services	26,550
Kaiser Foundation Hospital	Services: Health	6,040
Anaheim Regional Medical Center	Services: Health	1,300
Angels Baseball	Amusement and Recreation Services:	1,139
	Commercial Sports	
L-3 Communications	Manufacturing: Electronic	1,070
Hilton Anaheim	Services: Hotels	975
Time Warner Cable Business Class	Communications	900
Carrington Mortgage Services LLC (CMS)	Finance: Service	800
West Anaheim Medical Center	Services: Health	750
Honda Center	Amusement and Recreation Services	700

Source: City of Anaheim, Comprehensive Annual Financial Report, Year Ended June 30, 2015.

PRINCIPAL EMPLOYERS Orange County As of June 30, 2015

<u>Employer Name</u>	<u>Industry</u>	<u>Number of Employees</u>
Walt Disney Co.	Amusement and Recreation Services	27,000
University of California, Irvine	Services: Educational	22,385
County of Orange	Public Administration	18,135
St. Joseph Health System	Services: Health	12,227
Kaiser Permanente	Insurance	7,000
Boeing Co.	Manufacturing: Industrial	6,890
Walmart	Retail Trade: General Merchandise	6,000
Memorial Care Health System	Services: Health	5,650
Bank of America	Finance	5,500
Target Corporation	Retail Trade: General Merchandise	5,400

Source: County of Orange, Comprehensive Annual Financial Report, Year Ended June 30, 2015.

Employment

The following table summarizes the labor force, employment and unemployment figures for the years 2011 through 2015 for the City, the County, the State of California and the United States.

LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT ANNUAL AVERAGES City of Anaheim, Orange County, State of California, and United States 2011 through 2015⁽¹⁾

<u>Year and Area</u>	<u>Labor Force</u>	<u>Employment</u> ⁽²⁾	<u>Unemployment</u> ⁽³⁾	<u>Unemployment Rate (%)</u>
<u>2011</u>				
City of Anaheim	175,800	156,100	19,700	11.2%
Orange County	1,600,100	1,460,100	140,000	8.8
State of California	18,419,500	16,260,100	2,159,400	11.7
United States	153,617,000	139,869,000	13,747,000	8.9
<u>2012</u>				
City of Anaheim	177,200	159,900	17,300	9.7%
Orange County	1,618,700	1,496,000	122,700	7.6
State of California	18,554,800	16,630,100	1,924,700	10.4
United States	154,975,000	142,469,000	12,506,000	8.1
<u>2013</u>				
City of Anaheim	175,600	161,500	14,100	8.0%
Orange County	1,610,900	1,510,600	100,400	6.2
State of California	18,671,600	17,002,900	1,668,700	8.9
United States	155,389,000	143,929,000	11,460,000	7.4
<u>2014</u>				
City of Anaheim	170,400	158,600	11,800	6.9%
Orange County	1,573,800	1,487,400	86,400	5.5
State of California	18,811,400	17,397,100	1,414,300	7.5
United States	155,922,000	146,305,000	9,617,000	6.2
<u>2015</u>				
City of Anaheim	170,700	161,000	9,700	5.7%
Orange County	1,597,100	1,525,600	71,500	4.5
State of California	18,993,900	17,905,100	1,088,800	5.7
United States	157,130,000	148,834,000	8,296,000	5.3

Note: Data is not seasonally adjusted.

(1) Annual averages, unless otherwise specified.

(2) Includes persons involved in labor-management trade disputes.

(3) The unemployment rate is computed from unrounded data; therefore, it may differ from rates computed from rounded figures in this table.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department, March 2015 Benchmark.

Industry

The County is included in the Anaheim-Santa Ana-Irvine Metropolitan Division (the "Metropolitan Division"). The distribution of employment in the Metropolitan Division is presented in the following table for the calendar years 2011 through 2015. These figures may be multi county-wide statistics and may not necessarily accurately reflect employment trends in the County.

INDUSTRY EMPLOYMENT & LABOR FORCE ANNUAL AVERAGES Orange County (Anaheim-Santa Ana-Irvine Metropolitan Division) 2011 through 2015

<u>Category</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Total Farm	3,200	2,800	2,900	2,800	2,500
Total Nonfarm	1,386,400	1,422,800	1,461,200	1,495,500	1,542,700
Total Private	1,237,100	1,274,900	1,312,500	1,343,200	1,386,400
Goods Producing	224,100	230,300	235,500	240,100	248,000
Mining and Logging	600	600	600	700	700
Construction	69,200	71,300	76,800	82,000	90,400
Manufacturing	154,300	158,300	158,000	157,400	156,900
Durable Goods	110,800	114,400	115,100	115,500	115,300
Nondurable Goods	43,500	43,900	43,000	42,000	41,700
Service Providing	1,162,300	1,192,500	1,225,700	1,255,300	1,294,700
Private Service Producing	1,013,000	1,044,700	1,077,000	1,103,100	1,138,500
Trade, Transportation and Utilities	247,300	249,200	252,400	255,900	259,100
Wholesale Trade	77,300	77,200	79,400	80,900	81,000
Retail Trade	142,600	144,000	145,500	148,500	151,200
Transportation, Warehousing and Utilities	27,500	28,000	27,500	26,500	26,900
Information	23,800	24,300	25,000	24,500	25,500
Financial Activities	104,800	108,300	113,100	113,600	116,800
Professional and Business Services	247,700	260,600	267,300	276,600	285,400
Educational and Health Services	172,000	177,000	186,000	190,800	198,800
Leisure and Hospitality	174,000	180,600	187,800	194,500	204,000
Other Services	43,200	44,600	45,600	47,300	48,800
Government	<u>149,300</u>	<u>147,900</u>	<u>148,700</u>	<u>152,200</u>	<u>156,200</u>
Total, All Industries	<u>1,389,600</u>	<u>1,425,600</u>	<u>1,464,100</u>	<u>1,498,200</u>	<u>1,545,200</u>

Note: The "Total, All Industries" data is not directly comparable to the employment data found herein.

Source: State of California, Employment Development Department, Labor Market Information Division, Average Labor Force and Industry Employment. March 2015 Benchmark.

Commercial Activity

Summaries of annual taxable sales for the City and the County from 2009 through 2013 are shown in the following tables.

ANNUAL TAXABLE SALES City of Anaheim 2009 through 2013⁽¹⁾ (Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Taxable Transactions</u>
2009	4,395	\$2,552,807	7,968	\$4,532,491
2010	4,583	2,670,147	8,207	4,702,967
2011	4,549	2,968,543	7,969	5,144,214
2012	4,941	3,162,872	8,427	5,548,091
2013	5,386	3,282,770	8,977	5,806,581

Note: In 2009, retail permits expanded to include permits for food services.

⁽¹⁾ Calendar year 2014 data is not yet available.

Source: "Taxable Sales in California (Sales & Use Tax)," California State Board of Equalization.

ANNUAL TAXABLE SALES Orange County 2009 through 2013⁽¹⁾ (Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Taxable Transactions</u>
2009	56,259	\$31,162,619	90,231	\$45,712,784
2010	58,076	32,552,107	92,047	47,667,179
2011	58,795	35,587,795	92,207	51,731,139
2012	60,273	38,372,456	93,183	55,230,612
2013	62,208	40,025,929	94,862	57,591,217

Note: In 2009, retail permits expanded to include permits for food services.

⁽¹⁾ Calendar year 2014 data is not yet available.

Source: "Taxable Sales in California (Sales & Use Tax)," California State Board of Equalization.

Construction Activity

The annual building permit valuations and number of permits for new dwelling units issued from 2011 through 2015 for the City and the County are shown in the following tables.

BUILDING PERMITS AND VALUATIONS City of Anaheim 2011 through 2015 (Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Valuation					
Residential	\$40,978	\$61,750	\$87,292	\$258,724	\$197,343
Non-Residential	<u>163,514</u>	<u>108,191</u>	<u>220,535</u>	<u>315,618</u>	<u>365,591</u>
Total	\$204,492	\$169,941	\$307,827	\$574,342	\$562,934
Units					
Single Family	27	125	56	33	38
Multiple Family	<u>120</u>	<u>73</u>	<u>364</u>	<u>1,310</u>	<u>985</u>
Total	147	198	420	1,343	1,023

Note: Totals may not add to sum due to rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS Orange County 2011 through 2015 (Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Valuation					
Residential	\$1,236,970	\$1,554,904	\$2,596,543	\$2,633,471	\$2,826,883
Non-Residential	<u>1,300,022</u>	<u>1,271,035</u>	<u>1,611,667</u>	<u>2,000,168</u>	<u>2,203,105</u>
Total	\$2,536,992	\$2,825,939	\$4,208,210	\$4,633,639	\$5,029,988
Units					
Single Family	1,898	2,438	3,889	3,646	3,667
Multi Family	<u>2,909</u>	<u>3,725</u>	<u>6,564</u>	<u>6,990</u>	<u>7,230</u>
Total	4,807	6,163	10,453	10,636	10,897

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

APPENDIX F

ORANGE COUNTY EDUCATIONAL INVESTMENT POOL

The following information concerning the Orange County Educational Investment Pool (the "Pool") has been provided by the Treasurer-Tax Collector (the "Treasurer") specifically for inclusion herein, and has not been confirmed or verified by the District. The District has not made an independent investigation of the investments in the Educational Investment Pool and have made no assessment of the current County investment policy. The value of the various investments in the Educational Investment Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Educational Investment Pool will not vary significantly from the values described herein. Finally, the District does not make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date.

The current County Investment Policy, which applies to all funds managed by the Treasurer, and approved by the County Board of Supervisors on December 15, 2015 can be obtained at <http://ttc.ocgov.com/investments>. However, the information presented on such websites is not incorporated herein by any reference.

The Investment Policy applies to all funds managed by the Treasurer as delegated by the County Board, including the Orange County Investment Pool, the Orange County Educational Investment Pool, the John Wayne Airport Investment Fund and various other small non-Pooled investment funds. The primary goal is to invest public funds in a manner which will provide the maximum security of principal invested with secondary emphasis on providing adequate liquidity to Pool Participants and lastly to achieve a market rate of return within the parameters of prudent risk management while conforming to all applicable statutes and resolutions governing the investment of public funds. The main investing objectives, in order of priority are: Safety, Liquidity and Yield.

Oversight of the investments is conducted in several ways. First, the County Board established the County Treasury Oversight Committee (the "Committee") on December 19, 1995, pursuant to California Government Code Section 27130 *et seq.* The Committee's primary responsibilities are as follows: to review and monitor the annual investment policy; cause an annual audit to be conducted to determine if the County Treasurer is in compliance with California Government Code Sections 27130 to 27137, and to investigate any and all irregularities in the treasury operation that are reported. The County Treasurer nominates the public members and the County Board confirms the members of the Committee, which is comprised of the County Executive Officer, the County Auditor-Controller, the County Superintendent of Schools, and four public members. Next, the Auditor-Controller's Internal Audit Division audits the portfolio on a quarterly and annual basis pursuant to California Government Code Sections 26920 and 26922. Finally, an annual compliance audit is conducted as required by California Government Code Sections 27134. All investment audit reports and the monthly Treasurer's Investment Report are available on-line at ocgov.com/ocinvestments. (This reference is for convenience of reference only and not considered to be incorporated as part of this Official Statement.)

The School District's funds held by the Treasurer are invested in the Educational Investment Pool (the "Pool"), which pools most of the District's funds. As of May 31, 2016, the balance in the School District's funds was \$58,319,244.20 or 1.39% of the Pool. The Pool is invested 98% in securities rated in the two highest rating categories. As of May 31, 2016, the Pool has a weighted average maturity of 357 days and the year-to-date net yield is 0.57%.

The following represents the composition of the Pool as of May 31, 2016:

Type of Investment	Market Value (In thousands)	% of Pool
U.S. Government Agencies	\$2,439,658	58.37%
U.S. Treasuries	917,575	21.95
Medium-Term Notes	299,045	7.15
Money Market Funds	276,108	6.61
Municipal Debt	87,835	2.10
Certificates of Deposit	59,758	3.82
Total	<u>\$4,179,979</u>	<u>100%</u>

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